This Official Statement Dated December 10, 2020

**NEW ISSUE**
**Book Entry Only**

**RATINGS: Standard & Poor's "AA" (Insured)**
**Standard & Poor's "A+" (Underlying)**
**(see "RATINGS" herein)**

*In the opinion of Barnes & Thornburg LLP, Indianapolis, Indiana, under existing laws, interest on the Bonds, as defined herein, is excludable from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended and in effect on the date of issuance of the Bonds (the "Code"). In the opinion of Barnes & Thornburg LLP, Indianapolis, Indiana, under existing laws, interest on the Bonds is exempt from income taxation in the State of Indiana for all purposes, except the Indiana financial institutions tax. The Bonds are NOT "qualified tax-exempt obligations" for purposes of Section 265(b)(3) of the Code. See " TAX MATTERS" and Appendix C herein.*

# $24,445,000
# CITY OF BLOOMINGTON, INDIANA
# Sewage Works Revenue Bonds of 2020

Dated: Date of Delivery

Due: January 1st as shown below

The City of Bloomington, Indiana ("City") is issuing its Sewage Works Revenue Bonds of 2020 (the "Bonds") for the purpose of paying the costs of certain additions, extensions and improvements (the "Project") to the City's municipal sewage works and paying issuance expenses. The Bonds will be dated as of delivery with interest payable semi-annually on January 1 and July 1 of each year, commencing on July 1, 2021 by check mailed one business day prior to the interest payment date to the registered owners or by wire transfer to depositories.

The Bonds will be issued as provided in Ordinance No. 20-26 (the "Bond Ordinance" or "Ordinance"), adopted by the Common Council of the City on November 4, 2020. The Bonds will be payable from the Net Revenues of the City's sewage works (the "Sewage Works") (See "Security for the Bonds", herein). The Bonds will rank on a parity with the City's (i) Sewage Works Revenue Bonds of 2006, Series A amended on March 26, 2015 ("2006A-1 Bonds"), with an amended amount of $5,240,000, now outstanding in the amount of $3,301,700, and maturing annually over a period ending January 1, 2027; (ii) Sewage Works Refunding Revenue Bonds of 2012, Series A dated April 10, 2012 ("2012A Refunding Bonds"), originally issued in the amount of $6,665,000, now outstanding in the amount of $3,880,000, and maturing annually over a period ending January 1, 2029; (iii) Sewage Works Revenue Bonds of 2012, Series C dated May 15, 2012 ("2012C Bonds"), originally issued in the amount of $5,000,000, now outstanding in the amount of $3,615,000, and maturing annually over a period ending January 1, 2033; (iv) Sewage Works Refunding Revenue Bonds, Series 2013 dated May 17, 2013 ("2013 Refunding Bonds"), originally issued in the amount of $20,190,000, now outstanding in the amount of $6,735,000, and maturing annually over a period ending January 1, 2025; (v) Sewage Works Revenue Bonds of 2017 dated August 8, 2017 ("2017 Bonds"), originally issued in the amount of $6,795,000, now outstanding in the amount of $6,240,000, and maturing annually over a period ending January 1, 2037 and (vi) Sewage Works Refunding Revenue Bonds, Series 2019 dated November 6, 2019 ("2019 Refunding Bonds"), originally issued in the amount of $6,780,000, now outstanding in the amount of $5,920,000, and maturing annually over a period ending January 1, 2027; (collectively, the "Outstanding Parity Bonds").

The Bonds are subject to optional redemption as described herein.

The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the delivery of the Bonds by **BUILD AMERICA MUTUAL ASSURANCE COMPANY**. (See "BOND INSURANCE" Appendix F herein.)

The Bonds are issuable only as fully registered bonds and, when issued, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York ("DTC"). Purchases of beneficial interests in the Bonds will be made in book-entry-only form, in the denomination of $5,000 or any integral multiple thereof. Purchasers of beneficial interests in the Bonds (the "Beneficial Owners") will not receive physical delivery of certificates representing their interests in the Bonds. Interest, together with principal on the Bonds, will be paid directly to DTC by BOK Financial, N.A., as paying agent, so long as DTC or its nominee is the registered owner of the Bonds. The final disbursements of such payments to the Beneficial Owners of the Bonds will be the responsibility of DTC Participants and the Indirect Participants, all as defined and more fully described herein under the caption "Book-Entry-Only System".

The Bonds are offered when, as and if issued and received by the Underwriter, subject to prior sale, the withdrawal or modification of the offer without notice, and to the unqualified approval as to the legality of the Bonds by Barnes & Thornburg LLP. It is expected that the Bonds, in definitive form, will be available for delivery to DTC in New York, New York on or about December 23, 2020.

STIFEL

**This cover page contains certain information for guide reference only. It is not a summary of this issue. Investors must read the entire Official Statement to obtain information essential in the making of an informed investment decision.**

## Maturity Schedule

(BASE CUSIP© 094725)

| Maturity | Principal | Interest Rate | Price (1) | CUSIP | Maturity | Principal | Interest Rate | Price (1) | CUSIP |
|---|---|---|---|---|---|---|---|---|---|
| | | 2.00% | | | | | | | |
| 01/1/2027 | $400,000 | 2.00% | 107.898 | LV8 | 01/1/2034 | $1,470,000 | 4.00% | 125.187 | MC9 |
| 01/1/2028 | 1,585,000 | 4.00% | 121.809 | LW6 | 01/1/2035 | 1,525,000 | 4.00% | 124.762 | MD7 |
| 01/1/2029 | 1,650,000 | 4.00% | 123.678 | LX4 | 01/1/2036 | 1,585,000 | 4.00% | 124.338 | ME5 |
| 01/1/2030 | 2,220,000 | 4.00% | 125.721 | LY2 | 01/1/2037 | 1,650,000 | 4.00% | 123.916 | MF2 |
| 01/1/2031 | 2,310,000 | 4.00% | 127.122 | LZ9 | 01/1/2038 | 1,715,000 | 4.00% | 123.496 | MG0 |
| 01/1/2032 | 1,355,000 | 4.00% | 126.365 | MA3 | 01/1/2039 | 1,785,000 | 4.00% | 123.077 | MH8 |
| 01/1/2033 | 1,410,000 | 4.00% | 125.828 | MB1 | 01/1/2040 | 1,855,000 | 4.00% | 122.660 | MJ4 |
| | | | | | 01/1/2041 | 1,930,000 | 4.00% | 122.245 | MK1 |

(1) Priced to first optional call date of January 1, 2031.

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This Official Statement should be considered in its entirety. No one factor should be considered more or less important than any other by reason of its position in this Official Statement. Where statutes, ordinances, reports or other documents are referred to in this Official Statement, reference should be made to those documents for more complete information regarding their subject matter.

This Official Statement may contain statements that are "forward-looking statements" as that term is defined in Section 27A of the Securities Act of 1933, as amended, and Section 21E of the Securities Exchange Act of 1934, as amended. Forward-looking statements are subject to risks and uncertainties, some of which are discussed herein, that could cause actual results to differ materially from those contemplated in such forward-looking statements. Investors and prospective investors are cautioned not to place undue reliance on forward-looking statements, which speak only as of the date of this Official Statement.

Build America Mutual Assurance Company ("BAM") makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "Bond Insurance" and "Appendix F - Specimen Municipal Bond Insurance Policy".

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVER-ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET, AND SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

No dealer, broker, salesperson or other person has been authorized by the City to give any information to or make any representations, other than those contained in this Official Statement, and if given or made, such other information or representations must not be relied upon as having been authorized by the City. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the securities described herein by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale. The information set forth herein has been obtained by the City, and other sources which are believed to be reliable, but it is not guaranteed as to accuracy or completeness. The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement nor any sale of the securities described herein shall, under any circumstances, create any implication that there has been no change in the affairs of the City since the date of delivery of the securities described herein to the initial purchaser thereof. However, upon delivery of the securities, the City will provide a certificate stating that there have been no material changes in the information contained in the Final Official Statement since its delivery.

THE UNDERWRITER HAS PROVIDED THE FOLLOWING SENTENCE FOR INCLUSION IN THIS OFFICIAL STATEMENT. THE UNDERWRITER HAS REVIEWED THE INFORMATION IN THIS OFFICIAL STATEMENT IN ACCORDANCE WITH, AND AS PART OF, ITS RESPONSIBILITIES TO INVESTORS UNDER THE FEDERAL SECURITIES LAWS AS APPLIED TO THE FACTS AND CIRCUMSTANCE OF THIS TRANSACTION, BUT THE UNDERWRITER DOES NOT GUARANTEE THE ACCURACY OR COMPLETENESS OF SUCH INFORMATION.

THE BONDS HAVE NOT BEEN REGISTERED WITH THE SECURITIES AND EXCHANGE COMMISSION UNDER THE SECURITIES ACT OF 1933, AS AMENDED. IN MAKING AN INVESTMENT DECISION, INVESTORS MUST RELY ON THEIR OWN EXAMINATION OF THE CITY AND THE TERMS OF THE OFFERING, INCLUDING THE MERIT AND RISK INVOLVED. THE BONDS HAVE NOT BEEN RECOMMENDED BY ANY FEDERAL OR STATE SECURITIES COMMISSION OR REGULATORY AUTHORITY. FURTHERMORE, THE FOREGOING AUTHORITIES HAVE NOT CONFIRMED THE ACCURACY OR DETERMINED THE ADEQUACY OF THIS DOCUMENT. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.

Pursuant to continuing disclosure requirements promulgated by the Securities and Exchange Commission in Securities and Exchange Commission Rule 15c2-12, as amended, the City will enter into a Continuing Disclosure Undertaking Agreement. See "CONTINUING DISCLOSURE" herein and Appendix E hereto.

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## PROJECT PERSONNEL

Names and positions of the City officials and other professionals who have taken part in the planning of the proposed bond issue are:

**Mayor**

Honorable John Hamilton

**Common Council Members**

Stephen Volan, President
Jim Sims, Vice President
Dave Rollo
Sue Sgambelluri
Matt Flaherty
Isabel Piedmont-Smith
Ron Smith
Kate Rosenbarger
Susan Sandberg

**City Controller**

Jeffrey Underwood

**Management**

Vic Kelson
Utility Director

**Corporate Counsel**

Philippa Guthrie
City of Bloomington
Bloomington, Indiana

**Bond Counsel**

Barnes & Thornburg LLP
Indianapolis, Indiana

**Financial Advisor**

O.W. Krohn & Associates LLP
Westfield, Indiana

**Underwriter**

Stifel, Nicolaus & Company, Incorporated
Indianapolis, Indiana

**Underwriter's Counsel**

Frost Brown Todd LLC
Indianapolis, Indiana

# OFFICIAL STATEMENT

## $24,445,000
## CITY OF BLOOMINGTON, INDIANA
## Sewage Works Revenue Bonds of 2020

## INTRODUCTION

This Official Statement, which includes the cover page and appendices, is intended solely for the purpose of providing certain information concerning the sale and delivery of the $24,445,000 in aggregate principal amount of Sewage Works Revenue Bonds of 2020 (the "Bonds") by the City of Bloomington, Indiana (the "City").

The statutory authority for the issuance of the Bonds is provided by Indiana Code 36-9-23, as in effect on the date of delivery of the Bonds. The Bonds were authorized and issued pursuant to Ordinance No. 20-26 (the "Bond Ordinance" or "Ordinance") adopted by the City's Common Council on November 4, 2020. A copy of the Ordinance is included herein as Appendix D.

The Bonds, when issued, will be valid and legally binding limited obligations of the City, payable solely out of and constituting a first charge against the Net Revenues (defined as gross revenues after the payment of the reasonable expenses of operation, repair and maintenance) to be derived from the operation of the sewage works owned by the City (the "Sewage Works") on a parity with the pledge thereof to the Outstanding Parity Bonds (see "Security for the Bonds"). Such Bonds are not a pecuniary liability of or a charge against the general credit of the City and do not constitute indebtedness thereof within the meaning of any constitutional or statutory limitation or provision. Neither the credit nor the taxing power of the City is, or under any circumstances shall be, pledged as security for the payment of the Bonds.

The definitions of certain words and terms used in this Official Statement, unless the context clearly indicates otherwise, shall have the same meanings as set forth in the Ordinance. This Official Statement contains summaries of selected portions of the Ordinance, and such summaries are qualified in their entirety by the full text of the Ordinance.

**Investors must read the entire Official Statement to obtain information essential to the making of an informed investment.**

## PURPOSE OF THE ISSUE

The proceeds from the sale of the Bonds will be used to make certain improvements to the sewage treatment and collection system and to pay the costs incurred by the City incident to the sale and issuance of the Bonds.

## DESCRIPTION OF THE PROJECT

Dillman Road Wastewater Treatment Plant Project:
The Dillman Road Wastewater Treatment Plant project is the first phase of the treatment plant expansion and modernization plan. The focus of this phase of the project is the replacement of select electrical and mechanical systems due to age and condition. The equipment replacement will include process modernization of the mixed liquor and aerobic digestion aeration systems. The project also includes the addition of a new disc filter and building to expand filtration capacity from 15 million gallons per day (mgd) to 20 mgd.

Jordan Culvert Project:
Jordan Culvert project is the replacement of the existing storm culvert system with new 24 ft x 5 ft and 20 ft x 5 ft storm culvert sections approximately 1,850 feet in length as well as associated replacements and relocations of the water, sanitary sewer and storm sewer systems in the vicinity of the culvert and other surface restoration work necessary to complete the work.

Construction Program:

Construction bids for the Dillman Road WWTP Project were received on March 20, 2020. Construction began April 16, 2020 and is anticipated to be complete May 21, 2022. Construction bids for the Jordan Culvert project will be received on November 28, 2020. Construction will begin in January 2021 and is anticipated to be complete by December 2022.

## ESTIMATED SOURCES AND USES OF FUNDS

Sources of funds include proceeds from the sale of the Bonds and funds on hand. The estimated sources and uses of funds are summarized below:

| | |
|---|---|
| Sources of Funds: | |
| Principal Amount of Bonds | $24,445,000.00 |
| Premium | 5,879,689.65 |
| Funds on Hand | 8,000,000.00 |
| Total | $38,324,689.65 |
| Uses of Funds: | |
| Dillman Road WWTP | $25,043,700.00 |
| Jordan River Culvert | 11,194,800.00 |
| Construction Contingency | 1,119,480.00 |
| Easements | 475,000.00 |
| Additional Engineering | 50,000.00 |
| Cost of Issuance, including Underwriter's Discount | 441,709.65 |
| Total | $38,324,689.65 |

# PROPOSED PAYMENT SCHEDULE

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

AMORTIZATION SCHEDULE OF PROPOSED $24,445,000 SEWAGE WORKS REVENUE BONDS OF 2020

ASSUMED CLOSING DATE: DECEMBER 23, 2020

| PAYMENT DATE | PRINCIPAL BALANCE | INTEREST RATES | DEBT SERVICE PRINCIPAL | DEBT SERVICE INTEREST | DEBT SERVICE TOTAL | BOND YEAR TOTAL |
|---|---|---|---|---|---|---|
| 7/1/2021 | | | | $ 506,451.11 | $ 506,451.11 | |
| 1/1/2022 | $ 24,445,000 | | | 484,900.00 | 484,900.00 | $ 991,351.11 |
| 7/1/2022 | | | | 484,900.00 | 484,900.00 | |
| 1/1/2023 | 24,445,000 | | | 484,900.00 | 484,900.00 | 969,800.00 |
| 7/1/2023 | | | | 484,900.00 | 484,900.00 | |
| 1/1/2024 | 24,445,000 | | | 484,900.00 | 484,900.00 | 969,800.00 |
| 7/1/2024 | | | | 484,900.00 | 484,900.00 | |
| 1/1/2025 | 24,445,000 | | | 484,900.00 | 484,900.00 | 969,800.00 |
| 7/1/2025 | | | | 484,900.00 | 484,900.00 | |
| 1/1/2026 | 24,445,000 | | | 484,900.00 | 484,900.00 | 969,800.00 |
| 7/1/2026 | | | | 484,900.00 | 484,900.00 | |
| 1/1/2027 | 24,445,000 | 2.000% | $ 400,000 | 484,900.00 | 884,900.00 | 1,369,800.00 |
| 7/1/2027 | | | | 480,900.00 | 480,900.00 | |
| 1/1/2028 | 24,045,000 | 4.000% | 1,585,000 | 480,900.00 | 2,065,900.00 | 2,546,800.00 |
| 7/1/2028 | | | | 449,200.00 | 449,200.00 | |
| 1/1/2029 | 22,460,000 | 4.000% | 1,650,000 | 449,200.00 | 2,099,200.00 | 2,548,400.00 |
| 7/1/2029 | | | | 416,200.00 | 416,200.00 | |
| 1/1/2030 | 20,810,000 | 4.000% | 2,220,000 | 416,200.00 | 2,636,200.00 | 3,052,400.00 |
| 7/1/2030 | | | | 371,800.00 | 371,800.00 | |
| 1/1/2031 | 18,590,000 | 4.000% | 2,310,000 | 371,800.00 | 2,681,800.00 | 3,053,600.00 |
| 7/1/2031 | | | | 325,600.00 | 325,600.00 | |
| 1/1/2032 | 16,280,000 | 4.000% | 1,355,000 | 325,600.00 | 1,680,600.00 | 2,006,200.00 |
| 7/1/2032 | | | | 298,500.00 | 298,500.00 | |
| 1/1/2033 | 14,925,000 | 4.000% | 1,410,000 | 298,500.00 | 1,708,500.00 | 2,007,000.00 |
| 7/1/2033 | | | | 270,300.00 | 270,300.00 | |
| 1/1/2034 | 13,515,000 | 4.000% | 1,470,000 | 270,300.00 | 1,740,300.00 | 2,010,600.00 |
| 7/1/2034 | | | | 240,900.00 | 240,900.00 | |
| 1/1/2035 | 12,045,000 | 4.000% | 1,525,000 | 240,900.00 | 1,765,900.00 | 2,006,800.00 |
| 7/1/2035 | | | | 210,400.00 | 210,400.00 | |
| 1/1/2036 | 10,520,000 | 4.000% | 1,585,000 | 210,400.00 | 1,795,400.00 | 2,005,800.00 |
| 7/1/2036 | | | | 178,700.00 | 178,700.00 | |
| 1/1/2037 | 8,935,000 | 4.000% | 1,650,000 | 178,700.00 | 1,828,700.00 | 2,007,400.00 |
| 7/1/2037 | | | | 145,700.00 | 145,700.00 | |
| 1/1/2038 | 7,285,000 | 4.000% | 1,715,000 | 145,700.00 | 1,860,700.00 | 2,006,400.00 |
| 7/1/2038 | | | | 111,400.00 | 111,400.00 | |
| 1/1/2039 | 5,570,000 | 4.000% | 1,785,000 | 111,400.00 | 1,896,400.00 | 2,007,800.00 |
| 7/1/2039 | | | | 75,700.00 | 75,700.00 | |
| 1/1/2040 | 3,785,000 | 4.000% | 1,855,000 | 75,700.00 | 1,930,700.00 | 2,006,400.00 |
| 7/1/2040 | | | | 38,600.00 | 38,600.00 | |
| 1/1/2041 | 1,930,000 | 4.000% | 1,930,000 | 38,600.00 | 1,968,600.00 | 2,007,200.00 |
| TOTALS | | | $ 24,445,000 | $ 13,068,151.11 | $ 37,513,151.11 | $ 37,513,151.11 |

# THE BONDS

**General Description**

The Bonds will be issued as fully registered bonds in denominations of $5,000 or any integral multiple thereof. The Bonds will be originally dated as of the date of delivery.

Interest on the Bonds will be payable semi-annually on January 1 and July 1 of each year, commencing July 1, 2021 (each an "Interest Payment Date"). The Bonds will bear interest (calculated on the basis of a 30-day month and a 360-day year) at the rates and will mature on the dates and in the principal amounts set forth on the cover page of this Official Statement.

The Bonds are anticipated to be available for delivery to DTC in New York, New York, on or about December 23, 2020.

Each Bond will be registerable at and shall be transferable or exchangeable only upon the books of the City kept for that purpose at the principal corporate trust office of BOK Financial, N.A., located in Indianapolis, Indiana, the Registrar ("Registrar"), by the registered owner in person, or by its attorney duly authorized in writing, upon surrender of such Bond together with a written instrument of transfer or exchange satisfactory to the Registrar. A further description of the registration and exchange features of the Bonds can be found in the Ordinance (see Appendix D).

If any Bond is mutilated, lost, stolen, or destroyed, the Registrar shall certify and deliver, subject to the provisions of the Ordinance, a replacement Bond or Bonds of like denomination and tenor. In the case of destruction, theft, or loss, the applicant for a substituted Bond shall furnish to the Registrar evidence of the destruction of such Bond so destroyed, which evidence must be satisfactory to the Registrar, in its discretion, and such applicant shall also furnish indemnity satisfactory to the Registrar. The Registrar shall have the right to require the payment of the expense of issuing such replacement prior to the delivery of a new Bond.

When issued, the Bonds will be registered in the name of and held by Cede & Co., as nominee for The Depository Trust Company, New York, New York ("DTC"). Purchases of beneficial interests in the Bonds will be made in book-entry-only form. Purchasers of beneficial interests in the Bonds (the "Beneficial Owners") will not receive physical delivery of certificates representing their interests in the Bonds. For so long as the Bonds are held in book-entry-only form, payments of principal of and interest on the Bonds will be paid by the Paying Agent only to DTC or its nominee. Neither the Issuer nor the Paying Agent will have any responsibility for a Beneficial Owner's receipt from DTC or its nominee, or from any Direct Participant (as hereinafter defined) or Indirect Participant (as hereinafter defined), of any payments of principal of or interest on any Bonds. See "BOOK-ENTRY-ONLY SYSTEM" in this Official Statement.

**Provisions for Payment**

The principal of the Bonds shall be payable at the principal corporate trust office of BOK Financial, N.A., located in Indianapolis, Indiana, the Paying Agent ("Paying Agent"). All payments of interest on the Bonds shall be paid by check, mailed one business day prior to the interest payment date to the registered owners as the names appear on the 15th day of the month preceding the interest payment date ("Record Date") and at the addresses as they appear on the registration books kept by the Registrar, or at such other address as is provided to the Paying Agent. If payment of principal or interest is made to a depository, payment shall be made by wire transfer on the payment date in same-day funds. If the payment date occurs on a date when financial institutions are not open for business, the wire transfer shall be made on the next succeeding business day. The Paying Agent shall be instructed to wire transfer payments by 1:00 p.m. (New York City time) so such payments are received at the depository (see "Book-Entry-Only System", below) by 2:30 p.m. (New York City time). Payments on the Bonds shall be made in any coin or currency of the United States of America which, on the date of such payment, shall be legal tender.

# REDEMPTION

***Optional Redemption.*** The 2020 Bonds maturing on or after January 1, 2032 are redeemable prior to maturity at the option of the City in whole or in part, in any order of maturity, as determined by the City and by lot within maturities, on any date not earlier than January 1, 2031 at face value plus accrued interest to the date fixed for redemption and without any redemption premium.

If less than all of the Bonds are called for redemption at one time, the Bonds shall be redeemed in order of maturity as determined by the City and by lot within maturity. Each $5,000 principal amount shall be considered a separate Bond for purposes of optional redemption.

***Notice and Effect of Redemption***. Notice of redemption shall be given by the Registrar by mailing a copy of the redemption notice, not less than thirty (30) days prior to the redemption date, to the owners of the Bonds to be redeemed as the names appear as of the date which is forty-five (45) days prior to such redemption date. No failure or defect in that notice with respect to any Bonds shall affect the validity of the proceedings for the redemption of any other Bonds for which notice has been properly given.

If notice of redemption has been given and provisions for payment of the redemption price, and accrued interest has been made, the Bonds to be redeemed shall be due and payable on the redemption date at the redemption price, and from and after the redemption date interest on the Bonds will cease to accrue, and the owners of the Bonds shall have no rights in respect thereof, except to receive payment of the redemption price including unpaid interest accrued to the redemption date.

For so long as the Bonds are held in book-entry-only form, the Registrar will send notices of redemption of the Bonds only to DTC or its nominee, as the registered owner of the Bonds, in accordance with the preceding paragraphs. Neither the Issuer nor the Registrar will have any responsibility for any Beneficial Owners' receipt from DTC or its nominee, or from any Direct Participant or Indirect Participant, of any notices of redemption. See "BOOK-ENTRY-ONLY SYSTEM" in this Official Statement.

## BOOK-ENTRY-ONLY SYSTEM

The Depository Trust Company ("DTC"), New York, NY, will act as depository for the Bonds. The Bonds will be issued as fully-registered Bonds registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of each series of the Bonds, each in the aggregate principal amount of such issue, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the City, the Registrar or the Paying Agent on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with Bonds held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the City, the Registrar or the Paying Agent, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the City, the Registrar or Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the City or the Registrar and Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, bond certificates are required to be printed and delivered.

The City may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the City believes to be reliable, but the City takes no responsibility for the accuracy thereof.

## REVISION OF BOOK ENTRY ONLY SYSTEM

In the event that either (1) the City receives notice from DTC to the effect that DTC is unable or unwilling to discharge its responsibilities as a clearing agency for the Bonds or (2) the City elects to discontinue its use of DTC as a clearing agency for the Bonds, then the City will do or perform or cause to be done or performed all acts or things, not adverse to the rights of the holders of the Bonds, as are necessary or appropriate to discontinue use of DTC as a clearing agency for the Bonds and to transfer the ownership of each of the Bonds to such person or persons, including any other clearing agency, as the holder of such Bonds may direct. Any expenses of such a discontinuation and transfer, including any expenses of printing new certificates to evidence the Bonds, will be paid by the City.

## SECURITY FOR THE BONDS

The Bonds, when issued, will be under the terms of the Ordinance and together with any parity bonds constitute valid and legally binding limited obligations of the City. The Bonds shall be payable from and secured by an irrevocable pledge of and shall constitute a first charge upon all the "Net Revenues" (defined in the Ordinance as gross revenues after the payment of the reasonable expense of operation, repair and maintenance) derived by the City from the operation of the Sewage Works.

The Bonds will rank on a parity with the City's (i) Sewage Works Revenue Bonds of 2006, Series A amended on March 26, 2015 ("2006A-1 Bonds"), with an amended amount of $5,240,000, now outstanding in the amount of $3,301,700; (ii) the Sewage Works Refunding Revenue Bonds, Series 2012 A, dated April 10, 2012 originally issued in the amount of $6,665,000, now outstanding in the amount of $3,880,000; (iii) the Sewage Works Revenue Bonds,

Series 2012 C, dated May 15, 2012 originally issued in the amount of $5,000,000, now outstanding in the amount of $3,615,000; (iv) the Sewage Works Refunding Revenue Bonds, Series 2013, dated May 17, 2013 originally issued in the amount of $20,190,000, now outstanding in the amount of $6,735,000; (v) the Sewage Works Revenue Bonds of 2017, dated August 8, 2017 originally issued in the amount of $6,795,000, now outstanding in the amount of $6,240,000 and (vi) Sewage Works Refunding Revenue Bonds, Series 2019 dated November 6, 2019 ("2019 Refunding Bonds"), originally issued in the amount of $6,780,000, now outstanding in the amount of $5,920,000 (collectively, the "Outstanding Parity Bonds").

The Bonds are further secured by a Debt Service Reserve Account (the "Reserve Account"). The reserve requirement will be combined maximum annual debt service on the Bonds and the outstanding Parity Bonds. It is anticipated that the Reserve Account will be fully funded at closing.

Such Bonds are not a pecuniary liability of or a charge against the general credit of the City and do not constitute an indebtedness thereof within the meaning of any constitutional or statutory limitation or provisions. Neither the credit nor the taxing power of the City is, or under any circumstances shall be, pledged as security for the payment of the Bonds.

## RATE COVENANT

The City covenants and agrees that it will establish and maintain just and equitable rates or charges for the use of and the service rendered by the Sewage Works, to be paid by the owner of each and every lot, parcel or real estate or building that is connected with and uses said Sewage Works by or through any part of the sewage system of the City, or that in any way uses or is served by such works, at a level adequate to produce and maintain sufficient revenue to provide for the proper operation, repair and maintenance of the Sewage Works, to comply with and satisfy all covenants contained in the Ordinance (as defined and further described in the Ordinance) with respect to its outstanding bonds, if any, held by the City, and to pay all obligations of the Sewage Works and of the City with respect to the Sewage Works. Such rates or charges shall, if necessary, be changed and readjusted from time to time so that the revenues therefrom shall always be sufficient to meet the expenses of operation, repair and maintenance of the Sewage Works and the requirements of the Sinking Fund (as defined in the Ordinance). The rates or charges so established shall apply to any and all use of such works by and service rendered to the City and all departments thereof, and shall be paid by the City or the various departments thereof as the charges accrue.

## FLOW OF FUNDS

Sewage Works revenues will be accounted for separate and apart from all other funds of the City and apportioned among the funds and accounts specified below:

General Account. The City shall segregate, deposit and keep in a special fund, separate and apart from all other funds of the City, all gross revenues received on account of the rates and charges of the Sewage Works, which special fund was established and designated as the "City of Bloomington, Sewage Works General Account" (the "General Account") and is continued hereby. Out of said revenues the proper and reasonable expenses of operation, repair and maintenance of the Sewage Works shall be paid, the principal and interest of all bonds and fiscal agency charges of bank paying agents shall be paid, reserves shall be funded, and the costs of replacements, extensions, additions and improvements shall be paid as hereinafter provided.

The balance maintained in the General Account shall be sufficient to pay the expenses of operation, repair and maintenance of the Sewage Works for the then next succeeding two (2) calendar months. The moneys credited to the General Account shall be used for the payment of the reasonable and proper expenses of operation, repair and maintenance of the Sewage Works on a day-to-day basis, including the reasonable legal and professional expenses not taken into account in the definition of Net Revenues, but none of the moneys in the General Account shall be used for depreciation, payments in lieu of taxes, replacements, improvements, extensions or additions. Any moneys in the General Account may be transferred to the Sinking Fund if necessary to prevent a default in the payment of principal of and interest on the Outstanding Parity Bonds of the Sewage Works, or if necessary to eliminate any deficiencies in credits to, or minimum balance in, the Reserve Account, as defined and described below.

Moneys in the General Account shall be transferred from time to time to meet the requirements of the Sinking Fund (as hereinafter defined). Moneys in excess of those transferred to the Sinking Fund may be transferred to the Improvement Fund (as hereinafter defined) or may be retained in the General Account, in the discretion of Utility Services Board of the City (the "Board"), and in a manner consistent with the requirements of the Ordinance. Moneys in excess of those required to be in the General Account and the Sinking Fund may also be used, in the discretion of the Board, for any other lawful purpose related to the Sewage Works. Notwithstanding the foregoing, in the event that any amounts are due to any providers (including their successors and assigns) of any municipal bond insurance policies or debt service reserve surety policies acquired by the City in connection with the Bonds or any of the

Outstanding Parity Bonds, any excess moneys in the General Account after making all required transfers to the Sinking Fund shall be first used to pay any amounts owed under such policies.

Sewage Works Sinking Fund. There is continued under the Ordinance a fund for the payment of the principal of and interest on revenue bonds which by their terms are payable from the Net Revenues of the Sewage Works and the payment of any fiscal agency charges in connection with the payment of the bonds and interest, which fund has been previously designated as the Sewage Works Sinking Fund ("Sinking Fund"). There shall be set aside, transferred and deposited into the Sinking Fund from the General Account, as available and as hereinafter provided, a sufficient amount of the Net Revenues of the Sewage Works to meet the requirements of the Bond and Interest Account (as hereinafter defined) and the Reserve Account (as hereinafter defined) hereby continued in the Sinking Fund. Such payments shall continue until the balances in the Bond and Interest Account and the Reserve Account equal the principal of and interest on all of the then outstanding bonds of the Sewage Works to their final maturity and provide for payment of all fiscal agency charges.

a) Bond and Interest Account. The Bond and Interest Account is continued under the Ordinance. There shall be credited, on the last day of each calendar month from the General Account to the Bond and Interest Account an amount of the Net Revenues equal to at least one-sixth (1/6) of the principal of and interest on all then outstanding bonds payable on the then next succeeding Interest Payment Date and at least one-twelfth (1/12) of the principal on all then outstanding bonds payable on the then next succeeding principal payment date, until the amount of interest and principal payable on the then next succeeding interest and principal payment dates shall have been so credited; provided, that such fractional amounts shall be appropriately increased, if necessary, to provide for the first interest and principal payments on the Bonds. There shall similarly be credited to the account any amount necessary to pay the bank fiscal agency charges, if any, for paying principal and interest on the bonds as the same become payable. The City shall, from the sums deposited in the Sinking Fund and credited to the Bond and Interest Account, remit promptly to the registered owner or to the bank fiscal agency sufficient moneys to pay the interest and principal on the due dates thereof together with the amount of any bank fiscal agency charges.

b) Reserve Account. The Reserve Account is continued under the Ordinance. On the date of delivery of the Bonds, the City shall cause funds on hand of the Sewage Works, proceeds of the Bonds or such other bonds, or a combination thereof to be deposited into the Reserve Account so that the balance therein shall equal, but not exceed, the maximum annual debt service requirements on the Outstanding Parity Bonds and the Bonds (such amount, the "Reserve Requirement").

   If the initial deposit into the Reserve Account does not equal the Reserve Requirement or if no deposit is made, the City shall deposit a sum of Net Revenues into the Reserve Account on the last day of each calendar month, beginning with the first month after the Bonds are delivered, until the balance therein equals the Reserve Requirement. The monthly deposits shall be equal in amount and sufficient to accumulate the Reserve Requirement within five (5) years of the date of delivery of the Bonds.

   The Reserve Account shall constitute the margin for safety and protection against default in the payment of principal of and interest on the Outstanding Parity Bonds, the Bonds and any Additional Parity Bonds (as defined herein), and the moneys in the Reserve Account shall be used to pay current principal and interest on the Outstanding Parity Bonds, the Bonds and any Additional Parity Bonds to the extent that moneys in the Bond and Interest Account are insufficient for that purpose. Any deficiency in the balance maintained in the Reserve Account shall be promptly made up from the next available Net Revenues remaining after credits into the Bond and Interest Account. If moneys in the Reserve Account are transferred to the Bond and Interest Account to pay principal and interest on outstanding bonds, then such depletion of the balance in the Reserve Account shall be made up from the next available Net Revenues after the credits into the Bond and Interest Account. Any moneys in the Reserve Account in excess of the Reserve Requirement shall, at the direction of the Board, either be transferred to the General Account or be used for the purchase of outstanding bonds or installments of principal of fully registered bonds at a price not exceeding the par plus accrued interest and redemption premium, if any.

   Notwithstanding anything in the Ordinance to the contrary, but subject to the terms of the Prior Ordinances, the City reserves the right to satisfy the Reserve Account at any time with funds on hand of the Sewage Works, proceeds of the Bonds or other bonds, a debt service reserve surety bond or a combination thereof. Any such surety bond must be issued by an insurance company rated at the time of issuance of such instrument in one of the two highest rating categories by Standard & Poor's Global Ratings Services and Moody's Investors Service. If such surety bond is purchased, the Mayor and the Controller are hereby authorized to execute and deliver all agreements with the provider of the surety bond to the extent necessary to comply with the terms of such surety bond and the commitment to issue such surety. Such agreement shall be deemed a part of the Ordinance for all purposes and is hereby incorporated herein by reference.

Sewage Works Improvement Fund. After meeting the requirements of the Sinking Fund, any excess Net Revenues may be transferred or credited to the fund previously designated as the "Sewage Works Improvement Fund" (the "Improvement Fund"), continued under the Ordinance. The Improvement Fund shall be used for improvements, replacements, additions and extensions of the Sewage Works, and payments in lieu of taxes. Moneys in the Improvement Fund shall be transferred to the Sinking Fund if necessary to prevent a default in the payment of principal and interest on the then outstanding bonds or, if necessary, to eliminate any deficiencies in credits to, or minimum balance in, the Reserve Account of the Sinking Fund or may be transferred to the General Account to meet unforeseen contingencies in the operation and maintenance of the Sewage Works.

## PARITY BONDS

The City reserves the right to authorize and issue additional bonds payable out of the Net Revenues of the Sewage Works ranking on a parity with the Outstanding Parity Bonds and the Bonds ("Additional Parity Bonds") for the purpose of financing the cost of future additions, extensions, and improvements to the Sewage Works, or to refund obligations, subject to the following conditions:

(a) All required payments into the Sinking Fund shall have been made in accordance with the provisions of the Ordinance, and the interest on and principal of all bonds payable from the Net Revenues of the Sewage Works shall have been paid to date in accordance with the their terms thereof.

(b) The Net Revenues of the Sewage Works in the fiscal year immediately preceding the issuance of any such Parity Bonds shall be not less than 125% of the maximum annual interest and principal requirements of the then outstanding bonds and the Additional Parity Bonds then proposed to be issued; or, prior to the issuance of said Parity Bonds, the sewage rates and charges shall be increased sufficiently so that said increased rates and charges applied to the previous year's operations would have produced Net Revenues for said period equal to not less than 125% of the maximum annual interest and principal requirements of the then outstanding bonds and the Additional Parity Bonds then proposed to be issued. For purposes of this computation, the records of the Sewage Works shall be analyzed, and all showings prepared by a certified public accountant employed by the City for that purpose.

(c) The interest on any Additional Parity Bonds shall be payable semiannually on the first days of January and July and the principal of, or the mandatory sinking fund redemption dates for, any Additional Parity Bonds shall be payable annually on the first day of January.

(d) The Reserve Requirement shall be satisfied for the any Additional Parity Bonds either at the time of delivery of the Additional Parity Bonds or over a five (5) year or shorter period, in a manner which is commensurate with the requirements established in Section 13(c) of the Ordinance.

## POTENTIAL IMPACTS RESULTING FROM EPIDEMICS OR PANDEMICS, SUCH AS THE NOVEL CORONAVIRUS (COVID-19)

Regional, national or global epidemics or pandemics, such as the present outbreak of the novel coronavirus ("COVID-19"), could have materially adverse local, regional, national or global economic and social impacts. The present outbreak of COVID-19 is adversely impacting local, state, national and global economies, as governments, businesses and citizens react to, plan for, and try to prevent or slow further transmission of COVID-19. Financial markets in the United States and across the world saw substantial declines in March and April 2020. On March 6, 2020, Indiana Governor Eric Holcomb issued Executive Order 20-02 ("EO 20-02"), which declared the COVID-19 outbreak in the State to be a public health emergency. On March 11, 2020, the World Health Organization proclaimed the COVID-19 outbreak to be a pandemic, and on March 13, 2020, the President of the United States declared a national emergency in connection with COVID-19. The declaration of a public health emergency set forth in EO 20-02 has been renewed nine times by separate Executive Orders, the most recent of which is Executive Order 20-49, which Governor Holcomb issued on December 1, 2020. Such declaration now expires on December 31, 2020.

In order to address certain economic impacts of COVID-19, the Governor issued several subsequent executive orders, including Executive Order 20-05 on March 19, 2020 ("EO 20-05"). EO 20-05 provided that providers of gas and electric utilities, broadband, telecommunication, water and wastewater services were prohibited from discontinuing service to any customer in the State, because these services are essential to Hoosiers and Hoosier businesses, particularly during this state of public health emergency. EO 20-05 was extended by other Executive Orders issued by the Governor, the most recent of which was Executive Order 20-33 issued on June 30, 2020 ("EO 20-33"), which extended this prohibition until August 14, 2020. The Governor did not extend this prohibition. Instead, on August 12, 2020, the Indiana Utility Regulatory Commission (the "IURC") issued an order, declining to extend beyond August 14, 2020, the prohibition on utility service disconnections. This action allows service disconnections to resume after

August 14, 2020. The IURC's August 12, 2020 order does, however, extend by 60 days the requirement in one of its prior orders that jurisdictional Indiana utilities not collect late fees, deposits, and disconnection/reconnection fees. In addition, the IURC approved the associated regulatory accounting treatment for COVID-19 costs associated with the disconnection moratorium, the waiver of certain fees and the use of expanded payment arrangements to aid customers, consistent with the findings from one of its prior orders. The IURC's August 12, 2020 order does, however, allow utilities to resume the collection of convenience fees.

In addition, in order to take certain steps to increase containment of COVID-19, the Governor issued various Executive Orders, which included stay-at-home orders and face covering requirements, extended the deadlines for paying certain State and local taxes, directed the closing of State government buildings and restricted retail establishments and in-person dining at restaurants, among other things. In order to continue the mitigation of COVID-19 and to lower the risk of resurgence, the Governor issued several Executive Orders, which instituted a measured and staggered approach to reopening businesses and entities. Five stages were outlined, with each ensuing stage being subject to fewer restrictions and limitations than the previous stage. Those stages were initiated on March 23, 2020 and continued through November 14, 2020 at which time the stage system was rescinded by Executive Order 20-48 ("EO 20-48"), issued by the Governor on November 13, 2020.

The Governor issued Executive Order 20-48, because, in part, key data points or numbers regarding COVID-19, had, as of the date of EO 20-48, significantly and steadily increased over the past several weeks in the State. In particular, the number of positive cases had doubled every week for the past four weeks, hospitalizations were at an all-time high and the seven-day positivity rate went from 3.9% in late September to 10.6% as of the date of EO 20-48. Based on those and other factors, EO 20-48 rescinded the stage designations and provided that, going forward, the State shall use county-based assessments to determine which measures and restrictions are needed to counter the spread or impact of COVID-19 within a particular county. EO 20-48 indicated that the State has implemented a color-coded system to inform Hoosiers about the status of COVID-19 in each county across the State. EO 20-48 expired on December 13, 2020.

In its place, on December 10, 2020, the Governor issued Executive Order 20-50 ("EO 20-50"), which generally continued the restrictions and limitation of EO 20-48, but on a more restrictive basis, due, in part, to the fact that hospitalizations were at an all-time high and the seven-day positivity rate had risen to over 14% as of the date of WO 20-50. One of those more restrictive provisions is a requirement that licensed hospitals, during the period beginning December 16, 2020, through January 3, 2021, postpone and/or reschedule non-emergent procedures to be performed in an in-patient setting, which are unlikely to result in significant risk to a patient's acute condition or long-term outcome.

Under EO 20-50, the Indiana State Department of Health ("ISDH") will continue to update each county's status under the color-coded system at least weekly. In making the weekly assessments, the ISDH will continue to consider the following: (1) the seven-day positivity rate for all tests (percentage of positive test results over the number of tests performed); (2) new weekly cases per 100,000 residents; (3) whether a county's positivity rate has increased or decreased from the previous week; and (4) whether any increase in the percentage of positive cases is isolated to congregate living settings or is from the community at large. The four levels of the monitoring system are as follows: (1) blue zone, in which the community spread is low; (2) yellow zone, in which the community spread is moderate; (3) orange zone, in which the community spread is approaching high levels; and (4) red zone, in which the community spread is high. As of certain recent dates, out of the State's 92 counties, the number of counties that were in blue, yellow, orange, and red zones, are set forth below:

| Date | Blue | Yellow | Orange | Red |
|---|---|---|---|---|
| November 8, 2020 | 0 | 5 | 78 | 9 |
| November 30, 2020 | 0 | 1 | 74 | 17 |
| December 9, 2020 | 0 | 0 | 56 | 36 |

Generally, the size of a social gathering or an event (as both such terms are defined in EO 20-50 is limited to: (1) 25 individuals in counties designated as red; (2) 50 individuals in counties designated as orange; (3) 100 individuals in counties designated as yellow; and (4) 250 individuals in counties designated as blue. As of December 6, 2020, the City is located in a county that is designated as orange. The most recent color designation of the county in which the City is located can be ascertained at the following link: https://www.coronavirus.in.gov/2393.htm. The information at this link is hereby incorporated by reference into this Official Statement only with respect to such designation. No other information as this link is incorporated by reference into this Official Statement.

EO 20-50 continues to require every individual within the State to wear a face covering over the nose and mouth when, with certain exceptions: (1) inside a business, public building or other indoor place open to the public; (2) in an outdoor public space wherever it is not feasible to maintain six feet of social distancing from another person not in the same household; and (3) using public transportation or while in a taxi, private car service or ride-sharing vehicle. EO 20-50 continues to require all Hoosiers who have received a positive COVID-19 test to self-quarantine. EO 20-50 continues to require each business and entity continuing operations or resuming full operations to develop a COVID-19 response plan as described in EO 20-50, to provide it to each employee or staff and to post it publicly. EO 20-50 continues to authorize: (1) the enforcement of its workplace safety provisions by the Indiana Occupational Safety and Health Administration; and (2) the ISDH, the Indiana Department of Homeland Security, the Indiana Alcohol and Tobacco Commission, local boards of health and other State and local officials or law enforcement officers to take all available administrative and enforcement actions against businesses or entities failing to comply with the restrictions set forth therein. Unless prohibited by an Executive Order issued by the Governor, EO 20-50 continues to permit local ordinances, directives and orders to be more restrictive than those set forth therein. EO 20-50 expires on January 4, 2021, at which time the Governor may issue one or more directives, which rescind, modify or extend EO 20-50.

The finances and operations of the City's Sewage Works utility system may be materially adversely affected by epidemics and pandemics, including, but not limited to, COVID-19. The City cannot predict the extent to which the demand for the services provided by the City's Sewage Works utility system will decline nor the amount of increased costs, if any, that may be incurred by the City associated with operating during any epidemic or pandemic, like COVID-19, including, but not limited to, the amount of (1) costs to clean, sanitize and maintain its facilities, (2) costs to hire substitute employees, or (3) costs to operate remotely and support the customers and employees of the City's Sewage Works utility system. Accordingly, the City cannot predict the effect any epidemic or pandemic, including, but not limited to, COVID-19, will have on the finances or operations of the City's Sewage Works utility system, including, but not limited to, the collection of rates and fees for its services, or the Net Revenues derived from which are used to pay the debt service on the Bonds.

## TAX MATTERS

In the opinion of Barnes & Thornburg LLP, Indianapolis, Indiana ("Bond Counsel"), under existing laws, interest on the Bonds is excludable from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended and in effect on the date of issuance of the Bonds (the "Code"). The opinion of Bond Counsel is based on certain certifications, covenants and representations of the City and is conditioned on continuing compliance therewith. In the opinion of Bond Counsel, under existing laws, interest on the Bonds is exempt from income taxation in the State for all purposes, except the State financial institutions tax. See Appendix C herein for the form of opinion of Bond Counsel.

The Code imposes certain requirements which must be met subsequent to the issuance of the Bonds as a condition to the excludability of the interest on the Bonds from gross income for federal income tax purposes. Noncompliance with such requirements may cause interest on the Bonds to be included in gross income for federal income tax purposes retroactively to the date of issue, regardless of the date on which noncompliance occurs. Should the Bonds bear interest that is not excludable from gross income for federal income tax purposes, the market value of the Bonds would be materially and adversely affected. It is not an event of default if interest on the Bonds is not excludable from gross income from federal income tax purposes pursuant to any provision of the Code which is not in effect on the date of issuance of the Bonds.

The interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax.

The Bonds are NOT "qualified tax-exempt obligations" for purposes of Section 265(b)(3) of the Code.

Indiana Code 6-5.5 imposes a franchise tax on certain taxpayers (as defined in Indiana Code 6-5.5), which, in general, include all corporations which are transacting the business of a financial institution in the State. The franchise tax is measured in part by interest excluded from gross income under Section 103 of the Code minus associated expenses disallowed under Section 265 of the Code.

Although Bond Counsel will render an opinion that interest on the Bonds is excludable from federal gross income for federal income tax purposes and exempt from State income tax, the accrual or receipt of interest on the Bonds may otherwise affect an owner's federal or state tax liability. The nature and extent of these other tax consequences will depend upon the owner's particular tax status and the owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any other such tax consequences.

The foregoing does not purport to be a comprehensive description of all of the tax consequences of owning the Bonds. Prospective purchasers of the Bonds should consult their own tax advisors with respect to the foregoing and other tax consequences of owning the Bonds.

## AMORTIZABLE BOND PREMIUM

The initial offering prices of the Bonds maturing on January 1, 2027, through and including January 1, 2041 (collectively, the "Premium Bonds"), are greater than the principal amounts thereof payable at maturity or on an earlier call date. As a result, the Premium Bonds will be considered to be issued with amortizable bond premium (the "Bond Premium"). An owner who acquires a Premium Bond in the initial public offering will be required to adjust the owner's basis in the Premium Bond downward as a result of the amortization of the Bond Premium, pursuant to Section 1016(a)(5) of the Code. Such adjusted tax basis will be used to determine taxable gain or loss upon disposition of the Premium Bonds (including sale, redemption or payment at maturity). The amount of amortizable Bond Premium will be computed on the basis of the taxpayer's yield to maturity, with compounding at the end of each accrual period. Rules for determining (1) the amount of amortizable Bond Premium and (2) the amount amortizable in a particular year are set forth in Section 171(b) of the Code. No income tax deduction for the amount amortizable Bond Premium will be allowed pursuant to Section 171(a)(2) of the Code, but amortization of Bond Premium may be taken into account as a reduction in the amount of tax-exempt income for purposes of determining other tax consequences of owning the Premium Bonds. Owners of the Bonds should consult their tax advisors with respect to the precise determination for federal income tax purposes of the treatment of Bond Premium upon the sale or other disposition of such Premium Bonds and with respect to the state and local tax consequences of owning and disposing of Premium Bonds.

Special rules governing the treatment of Bond Premium, which are applicable to dealers in tax-exempt securities are found at Section 75 of the Code. Dealers in tax-exempt securities are urged to consult their tax advisors concerning treatment of Bond Premium.

## CONTINUING DISCLOSURE

### General

Pursuant to continuing disclosure requirements promulgated by the United States Securities and Exchange Commission in SEC Rule 15c2-12, as amended (the "Rule"), the City (the "Obligor"), will execute a Continuing Disclosure Undertaking Agreement ("the Agreement"). The Agreement will contain certain promises of the City including a promise to provide continuing disclosure of certain information. A copy of the Form of Continuing Disclosure Undertaking Agreement is attached to this Official Statement as Appendix E.

### Compliance with Previous Undertakings

In the previous five (5) years, the City has not failed to comply, in all material respects, with any previous undertakings in a written contract or agreement specified in subsection (b)(5)(i) of Rule 15c2-12 (the "SEC Rule") promulgated by the Securities and Exchange Commission pursuant to the Securities Exchange Act of 1934, as amended, except to the extent the following is deemed to be material: (i) the City has had instances of late filing of audited financial statements, operating data, and notices of rating changes, and (ii) instances of failure to file notices of late filings and unaudited financial statements. All information and filings required by the City have since been made and the City is currently in compliance with all obligations under the SEC Rule and their previous undertakings. As of the date hereof, the City's 2019 fiscal year audited financial statements are not yet available for filing; however, the City expects the 2019 audited financial statements to be filed within 60 days of receipt from the Indiana State Board of Accounts.

## LEGAL MATTERS

Certain legal matters incident to the issuance of the Bonds with regard to the tax status of the interest thereon (see "TAX MATTERS") will be passed upon by Bond Counsel. A signed copy of that opinion, dated and premised on facts and laws existing as of the date of original delivery of the Bonds, will be delivered to the purchaser at the time of the original delivery of the Bonds.

The engagement of Bond Counsel is limited generally to the examination of the documents contained in the transcript of proceedings and the law incident to rendering the approving legal opinion referred to above and the rendering of such approving legal opinion. In its capacity as Bonds Counsel, it has reviewed those portions of this Official Statement under the captions "THE BONDS," "SECURITY FOR THE BONDS," "LEGAL MATTERS," "TAX MATTERS," AND "AMORTIZABLE BOND PREMIUM" and Appendix C herein. Bond Counsel has not examined or attempted to examine and verify any of the financial or statistical statements or data contained in this Official Statement. Bond Counsel has not participated in the preparation of this Official Statement and will not pass upon its accuracy, completeness, or sufficiency.

## LEGAL OPINIONS AND ENFORCEABILITY OF REMEDIES

The enforceability of the rights and remedies of the registered owners of the Bonds under the Ordinance are in many respects dependent upon judicial actions which are often subject to discretion and delay. Under existing constitutional and statutory law and judicial decisions, including specifically Title 11 of the United States Code (the federal bankruptcy code), the enforceability of the rights and remedies provided in the Ordinance may be limited.

The various legal opinions to be delivered concurrently with the delivery of the Bonds will be qualified as to the enforceability of the carious legal instruments by limitations imposed by the valid exercise of the constitutional powers of the State and the United States of America and bankruptcy, reorganization, insolvency or other similar laws affecting the rights of creditors generally, and by general principles of equity (regardless of whether such enforceability is considered in a proceeding in equity or at law). Those exceptions would encompass any exercise of federal, State or local police powers (including police powers of the City and the State), in a manner consistent with the public health and welfare. The enforceability of the Ordinance, in a situation where such enforcement may adversely affect public health and welfare, may be subject to these police powers.

## LEGISLATIVE PROPOSALS

Legislation affecting municipal bonds is considered from time to time by the United States Congress and the Executive Branch, including some proposed changes under consideration at the time of issuance of the Bonds. Bond Counsel's opinion is based upon the law in existence on the date of issuance of the Bonds. It is possible that legislation enacted after the date of issuance of the Bonds or proposed for consideration will have an adverse effect on the excludability of all or a part of the interest on the Bonds from gross income, the manner in which such interest is subject to federal income taxation or the market price of the Bonds.

Legislation affecting municipal bonds is considered from time to time by the Indiana legislature and Executive Branch. It is possible that legislation enacted after the date of issuance of the Bonds or proposed for consideration will have an adverse effect on payment or timing of payment or other matters impacting the Bonds.

The City cannot predict the outcome of any such federal or state proposals as to passage, ultimate content or impact if passed, or timing of consideration or passage. Purchasers of the Bonds should reach their own conclusions regarding the impact of any such federal or state proposals.

## LITIGATION

At the time of delivery of the Bonds, the City will certify that there is no litigation or proceeding pending or, to the knowledge of the City threatened, in any court, agency or other administrative body restraining or contesting the issuance of the Bonds, or the pledging of Net Revenues, or in any way affecting the validity of any provision of the Bonds or the Ordinance.

## UNDERWRITING

The Bonds are being purchased by Stifel, Nicolaus & Company, Incorporated (the "Underwriter"), for the amount equal to $30,223,242.90 (which represents principal amount of the Bonds less Underwriter's discount of $101,446.75, plus an original issue premium of $5,879,689.65). The Underwriter may make a secondary market in the Bonds; however, no assurance can be given that such a market will develop or be maintained in the future.

The Underwriter may make a secondary market in the Bonds; however, no assurance can be given that such a market will develop or be maintained in the future. The Underwriter may offer and sell the Bonds to certain dealers (including dealers depositing the Bonds into unit investment trusts, certain of which may be sponsored or managed by the Underwriter) at prices lower than the initial public offering process stated on the cover page. The initial public offering prices of the Bonds may be change, from time to time, by the Underwriter.

## BOND RATINGS

S&P Global Ratings (S&P) has assigned a bond rating of "AA" to the Bonds with the understanding that, upon delivery of the Bonds, a policy insuring the payments when due of the principal of and interest on the Bonds will be issued by Build America Mutual Assurance Company. The City has also obtained an underlying rating on the Bonds from S&P of "A+". These ratings reflect only the views of S&P and any explanation of the significance of such rating may only be obtained from S&P. There is no assurance that any rating will continue for any given period of time or that any rating will not be revised downward or withdrawn entirely if, in the judgment of S&P, circumstances so warrant. Any such downward revision or withdrawal of any rating may have an adverse effect on the market price or marketability of the Bonds.

The City did not apply to any other rating service for a rating on the Bonds.

# BOND INSURANCE

**Bond Insurance Policy**

Concurrently with the issuance of the Bonds, Build America Mutual Assurance Company ("BAM") will issue its Municipal Bond Insurance Policy for the Bonds (the "Policy"). The Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included as an exhibit to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

**Build America Mutual Assurance Company**

BAM is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. BAM provides credit enhancement products solely to issuers in the U.S. public finance markets. BAM will only insure obligations of states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM.

The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM's financial strength is rated "AA/Stable" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of BAM should be evaluated independently. The rating reflects the S&P's current assessment of the creditworthiness of BAM and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Bonds. BAM only guarantees scheduled principal and scheduled interest payments payable by the issuer of the Bonds on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the Policy), and BAM does not guarantee the market price or liquidity of the Bonds, nor does it guarantee that the rating on the Bonds will not be revised or withdrawn.

*Capitalization of BAM*

BAM's total admitted assets, total liabilities, and total capital and surplus, as of September 30, 2020 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were $505.3 million, $158.1 million and $347.2 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM's website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "BOND INSURANCE".

*BAM GreenStar Bonds*

The Bonds have been designated *BAM GreenStar Bonds* because BAM has determined that the use of bond proceeds by the Issuer as described in this Official Statement and in any additional information obtained by BAM aligns with one of the Green Bond Principles ("GBPs") developed by the International Capital Markets Association ("ICMA"). The GBPs were developed by the ICMA with the goal of establishing universally accepted guidelines for the issuance of green bonds, and one of the key requirements addresses the use of proceeds. BAM has been identified by the ICMA as an observer organization that is active in the field of green and/or social or sustainability finance and as a Climate Bond Initiative approved verifier. The GreenStar Credit Profile prepared by BAM for the Bonds will identify which of the following GBP categories applies to the Bonds:

- renewable energy
- energy efficiency
- pollution prevention and control
- environmentally sustainable management of living natural resources and land use
- terrestrial and aquatic biodiversity
- clean transportation
- climate change adaptation
- sustainable water and wastewater management
- green buildings

Each of the GBPs correlates to one of the following UN Sustainable Development Goals which will also be included in the GreenStar Credit Profile for the Bonds:

- clean water and sanitation
- affordable and clean energy
- sustainable cities and communities
- industry innovation and infrastructure
- responsible consumption and production
- climate action
- life below water
- life on land

*The Issuer makes no representation regarding the applicability of or suitability of the GreenStar designation. The term "GreenStar" is neither defined in, nor related to, the security documents relating to the Bonds. The GreenStar designation is solely for identification purposes and is not intended to provide or imply that the owners of the Bonds are entitled to any security other than that described in this official statement. The Issuer is under no contractual or other legal obligation to ensure compliance with any legal or other principles relating to "GreenStar" designation. The Issuer has made no commitment to provide ongoing reporting or information regarding the designation or compliance with the GBPs.*

The BAM GreenStar designation is based upon an assessment by BAM at the time of the issuance of the Bonds and such designation by BAM reflects only the views of BAM. BAM does not charge a fee in connection with the designation, does not perform an audit and undertakes no duty of due diligence or independent verification of any information it receives. The designation is provided on an "AS IS" basis and is based on BAM's own investigation, studies, assumptions, and criteria using its reasonable best efforts. In issuing its GreenStar designation, BAM has assumed and relied upon the accuracy and completeness of the information made publicly available by the Issuer or that was otherwise made available to BAM. BAM makes no representation or warranty, express or implied, including, but not limited to, the accuracy, results, timeliness, completeness, merchantability or fitness for any particular purpose with respect to the designation. A complete description of BAM GreenStar, and its limitations and terms of use, are available on BAM's website https://buildamerica.com/greenstar and https://buildamerica.com/terms-of-use and incorporated herein by reference. The BAM GreenStar designation is determined solely by BAM; it has not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for such designation.

BAM's GreenStar designation does not and is not intended to make any representation or give any assurance with respect to any other matter relating to the Bonds and is not a recommendation to any person to purchase, hold, or sell the Bonds. Such labeling does not address the market price, marketability or suitability of these Bonds for a particular investor. There is no assurance that the designation will be retained for any given period of time or that the designation will not be revised, suspended, or withdrawn by BAM if, in its judgment, circumstances so warrant.

*Additional Information Available from BAM*

**Credit Insights Videos.** For certain BAM-insured issues, BAM produces and posts a brief Credit Insights video that provides a discussion of the obligor and some of the key factors BAM's analysts and credit committee considered when approving the credit for insurance. The Credit Insights videos are easily accessible on BAM's website at http://www.buildamerica.com/videos. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

**Credit Profiles.** Prior to the pricing of bonds that BAM has been selected to insure, BAM may prepare a pre-sale Credit Profile for those bonds. These pre-sale Credit Profiles provide information about the sector designation (e.g. general obligation, sales tax); a preliminary summary of financial information and key ratios; and demographic and economic data relevant to the obligor, if available. Subsequent to closing, for any offering that includes bonds insured by BAM, any pre-sale Credit Profile will be updated and superseded by a final Credit Profile to include information about the gross par insured by CUSIP, maturity and coupon. BAM pre-sale and final Credit Profiles are easily accessible on BAM's website at www.buildamerica.com/credit-profiles. BAM will produce a Credit Profile for all bonds insured by BAM, whether or not a pre-sale Credit Profile has been prepared for such bonds. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

**Disclaimers.** The Credit Profiles and the Credit Insights videos and the information contained therein are not recommendations to purchase, hold or sell securities or to make any investment decisions. Credit-related and other analyses and statements in the Credit Profiles and the Credit Insights videos are statements of opinion as of the date expressed, and BAM assumes no responsibility to update the content of such material. The Credit Profiles and Credit Insight videos are prepared by BAM; they have not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for their content.

BAM receives compensation (an insurance premium) for the insurance that it is providing with respect to the Bonds. Neither BAM nor any affiliate of BAM has purchased, or committed to purchase, any of the Bonds, whether at the initial offering or otherwise.

## FINANCIAL ADVISOR

O.W. Krohn & Associates LLP (the "Financial Advisor") has been retained by the City to provide certain financial advisory services including, among other things, preparation of the deemed "nearly final" Preliminary Official Statement and the Final Official Statement (the "Official Statements"). The information contained in the Official Statements has been compiled from records and other materials provided by the City and City officials and other sources deemed to be reliable.

To the best of the Financial Advisor's knowledge, all of the information contained in the Official Statements, while it may be summarized is (i) complete and accurate; (ii) does not contain any untrue statement of a material fact; and (iii) does not omit any material fact, or make any statement which would be misleading in light of the circumstances under which these statements are being made. However, the Financial Advisor has not and will not independently verify the completeness and accuracy of the information contained in the Official Statements.

The Financial Advisor's duties, responsibilities and fees arise solely as financial advisor to the City and it has no secondary obligations or other responsibility. The Financial Advisor's fees are expected to be paid from the proceeds of the Bonds.

O.W. Krohn & Associates LLP is a Municipal Advisor registered with the Securities and Exchange Commission and the Municipal Securities Rulemaking Board. As such, O.W. Krohn is providing certain specific municipal advisory services to the City but is neither a placement agent to the City nor broker/dealer.

## STATEMENT OF ISSUER

The information and descriptions of documents included in this Official Statement do not purport to be complete and are expressly made subject to the exact provisions of the complete documents. Prospective purchasers of the Bonds are referred to the documents for details of all terms and conditions thereof relating to the Bonds.

Neither this Official Statement, nor any statement which may have been made orally or in writing is to be constructed as a contract with the owners of any of the Bonds. Any statements in this Official Statement involving matters of opinion whether or not expressly so stated, are intended as such and not as representations of fact.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and are not presented as unqualified statements of fact. The information contained herein has been carefully compiled from sources deemed reliable, and to the best knowledge and belief of the City there are no untrue statements

nor omissions of material facts in the Official Statement which would make the statements and representations therein misleading.

Certain supplemental information concerning the financial condition of the City which is exhibited hereafter is considered part of this Official Statement. The presentation for unaudited historical tax and other financial data exhibited elsewhere herein is intended to show recent trends and conditions. There is no intention to represent by such data that such trends will continue in the future, nor that any pending improvement or diminution of local conditions is indicated thereby.

This Official Statement has been authorized and approved by the City of Bloomington, Indiana.

CITY OF BLOOMINGTON, INDIANA
/s/ John Hamilton
John Hamilton, Mayor

# APPENDIX A

# GENERAL INFORMATION

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THE FOLLOWING SUMMARY INFORMATION REGARDING THE UTILITY IS PRESENTED FOR GENERAL INFORMATION PURPOSES ONLY, AND IT IS NOT THE BASIS ON WHICH THE 2020 BONDS ARE BEING OFFERED TO INVESTORS. THE 2020 BONDS ARE PAYABLE SOLELY FROM NON-PROPERTY TAX REVENUES AND NOT ON THE BASIS OF THE FINANCIAL STRUCTURE OR PROPERTY TAX BASE OF THE CITY OR THE UTILITY.

## CITY OF BLOOMINGTON, INDIANA

## DESCRIPTION OF THE SEWAGE WORKS

### EXISTING FACILITY

The City of Bloomington owns and operates a sewage works utility (the "Sewage Works" or "Utility") including the Blucher Poole and Dillman Road Wastewater Treatment Plants and collection system, serving residential, commercial and industrial customers in the City and the greater Bloomington area. The utility provides wastewater collection services to approximately 22,500 customers. The Dillman Road Plant has a 15 MGD capacity and the Blucher Poole Plant has a 6 MGD capacity. The system includes over 320 miles of sewer pipe and more than 45 lift stations. The Sewage Works is the largest in Indiana with a separate sanitary sewer system.

### UTILITY MANAGEMENT

Management of the Bloomington Sewage Works is under the direction of the nine-member Utilities Service Board, the nine elected members of the City Council, a Controller and the Mayor. Direct management of the Utility is the responsibility of the Utility Director. The Utility currently employs 175 personnel for operation and maintenance, clerical staff and the Director.

### RATES AND CHARGES

Rates for services provided by the Utility are established by the City Council of the City of Bloomington. Bills for sewer service are collected monthly. The City's current sewer and stormwater rates were adopted by the City Council by Ordinance Nos. 19-16 and 19-02 on February 20, 2019. The sewer rates became effective January 1, 2020 and the storm water rates were adopted in two phases with the phase effective July 1, 2019 and second phase effective July 1, 2020. See Appendix B for a description of the current rates and charges.

### USER CONNECTIONS

Based upon information provided by City personnel, a history of the number of Bloomington Sewage Works customers follows:

| Year | Customers |
|---|---|
| 2015 | 22,271 |
| 2016 | 22,415 |
| 2017 | 22,543 |
| 2018 | 22,625 |
| 2019 | 22,413 |

Note: The 2017 and 2018 customer counts are presented as information was obtained from the City's billing software. The irregularity in 2017 and 2018 were due to upgrading their meters to smart meters. The metering program was complete in 2018, therefore 2019 provides an accurate customer count.

### LARGE USERS

The following is a list of the ten largest users of the Utility according to the utility records. Total billed gallons for the year of 2019 were 3,196,503,000.

| | | 12 Months Ended 12/31/2019 | | |
|---|---|---|---|---|
| Customers | Type of Business | Billed Gallons | Revenues | % of Total |
| Indiana University | Higher Education | 521,649,000 | $ 3,393,393 | 13.42% |
| Oakdale Apartments LLC | Apartments | 97,720,000 | 760,851 | 3.01% |
| Baxter Pharmaceutical Solutions LLC | Pharmaceuticals | 49,126,000 | 410,748 | 1.62% |
| Cook Pharmica | Medical Devices | 47,960,000 | 371,809 | 1.47% |
| Cook Inc | Medical Equipment | 36,824,000 | 260,648 | 1.03% |
| IU Health Bloomington | Hospital | 32,296,000 | 253,226 | 1.00% |
| 1150 S Clarizz LLC | Apartments | 21,326,000 | 158,430 | 0.63% |
| Monroe County Community Schools | Education | 20,534,000 | 154,142 | 0.61% |
| Platos Court LLC | Apartments | 19,269,000 | 149,806 | 0.59% |
| City of Bloomington Parks & Rec | Municipal Parks | 15,936,000 | 39,295 | 0.16% |

## GENERAL, PHYSICAL AND DEMOGRAPHIC INFORMATION

### LOCATION

The City of Bloomington, Indiana (the "City") is the county seat of Monroe County located in the southern region of Indiana 50 miles southwest of Indianapolis, Indiana.

### HISTORY AND GENERAL CHARACTERISTICS

The City was established in 1818 by a group of settlers from Kentucky, Tennessee, the Carolinas and Virginia who were so impressed with "a haven of blooms" that they called it Bloomington. In early years, most people made a living by farming, limestone extraction and timbering for the furniture industry. The 1900s brought many changes and growth to the area. Changes included improved roads, Rural Free Mail Delivery service, another railroad, Bloomington Hospital, water and city sewers. After World War II many businesses grew, and national companies began locating plants in Monroe County. Since the 1980s the economy has been moving toward high tech, entrepreneurship, nonprofit, service and governmental employments. Today, Bloomington is known as the "Gateway to Science Southern Indiana". Indiana University was established in 1820 and renamed to the current name in 1839.

### POPULATION

| | City of Bloomington | | Monroe County | |
|---|---|---|---|---|
| Year | Population | Percentage Change | Population | Percentage Change |
| 1970 | 43,262 | - | 85,221 | - |
| 1980 | 52,663 | 21.7% | 98,783 | 15.9% |
| 1990 | 60,633 | 15.1% | 108,978 | 10.3% |
| 2000 | 69,291 | 14.3% | 120,563 | 10.6% |
| 2010 | 80,405 | 16.0% | 137,974 | 14.4% |

Source: U.S. Census Bureau

## GOVERNMENT

The City of Bloomington is a second-class city. As such, the City is governed by a nine-member Common Council, a Mayor and a City Clerk. The City's fiscal officer is the Controller. Six of the Council members represent individual districts and three of the members serve the city-at-large. The Common Council is responsible for passing ordinances, resolutions, orders and motions for the governing of the City.

## PLANNING AND ZONING

The Bloomington Plan Commission promotes orderly growth throughout the City. The Plan Commission is comprised of 9 voting members. A member of the Common Council serves a rotational term on the Plan Commission. The Traffic and Transportation Engineer is an ex-officio member.

The City also has a five-member Board of Zoning Appeals which is responsible for hearing zoning variances within its jurisdiction. The City has a Director of Planning and Transportation and staff to promote the orderly growth of the City. Building permit data can be found on page A-7.

## TRANSPORTATION

Major interstates are easily accessible with Interstate 69 located west of the City. In addition, State roads 37, 45, 46, 48 and 446 traverse the area. All major freight carriers serving the Indianapolis metropolitan area serve the City as well.

The Indianapolis International Airport is located 50 miles north of the City. The Monroe County Airport is located 5 miles southwest of the City.

## POLICE AND FIRE PROTECTION

The City of Bloomington operates a full-service police agency providing police protection to approximately 85,000 residents and a land area of approximately 20 square miles. The City's Police Department includes 103 sworn officers and 50 civilian employees providing police protection for the residents of the City. Many patrol officers specialize in other areas such as critical incident response team, central emergency dispatch, detectives, dive team, patrol division, property and evidence division, records division, and K-9. In addition, the Monroe County Sheriff's Department serves the City.

The City's Fire Department consists of 103 full-time firefighters. The department also employs seven full-time staff that includes the Fire Chief, Deputy Fire Chief, Battalion Chief of Training, 2 Fire Prevention Officers, Fire Inspection Officer, Fire Inspector and one administrative assistant. The Operations division serves as a critical element in the provision of resources to the City of Bloomington and surrounding communities. Members assigned to this system tackle all emergencies that deal with immediate medical assistance, hazardous conditions, structure fires and traffic accidents.

## EDUCATION

The Monroe County Community School Corporation covers approximately 339 square miles. The school system has four high schools, three middle schools, and fourteen elementary schools. Total enrollment was reported at approximately 11,000 for the 2020/2021 school year. A certified and non-certified staff of approximately 2,100 provide educational opportunities for school-aged children. Additionally, Richland-Bean Blossom School Corporation provides educational opportunities for a small portion of Bloomington residents located in Richland Township. The school system has one primary school (grades K-2), one intermediate school (grades 3-5), one middle school and one high school. Total enrollment is reported at 2,606 for the 2020/2021 school year. A staff of 195 certified and 199 non-certified provide educational opportunities for school-aged children.

Indiana University Bloomington, located in the heart of the City, is a public research university. Founded in 1820, Indiana University Bloomington ("IU") is the flagship campus of IU's seven campuses and two regional centers statewide. IU is a member of the Association of American Universities and has numerous schools and programs that comprise part of IU, including the Jacobs School of Music, the School of Informatics and Computing, the Kelley School of Business, the School of Public Health, the School of Nursing, the School of Optometry, the School of Public and Environmental Affairs, the Maurer

School of Law, the School of Education, the Media School and the School of Global and International Studies. IU ranks in the top 100 national universities in the United States and the top 50 public universities in the country.

The IU campus, with an enrollment of almost 50,000, is approximately 1,933 acres and includes abundant green space and historic buildings dating to the university's reconstruction in the late nineteenth century. The campus boasts more than 650 student organizations on campus and more than 5,000 students are involved in the school's large community of fraternities and sororities. Located on the campus, is the Indiana University Bloomington Library System which supports over twenty libraries and provides access to more than 7.8 million books, 800 databases, 60,000 electronic journal titles and 815,000 eBooks. The system is the 14th largest library in North America by volumes held. The campus also contains 3 museums, several athletic facilities and Indiana Memorial Hall, a 500,000-square foot student union.

UTILITIES

Residents of the City receive natural gas service from Vectren and telephone service from AT&T and Frontier. Electricity is provided by Duke Energy. The City owns and operates a water and sewer utility.

RECREATION/CULTURE/LIBRARY

The City of Bloomington has a wide abundance of parks, trails and recreation opportunities available to its residents. Along with the opportunities available on the IU campus, the City owns and operates a large parks department. The Bryan Park is a 33-acre park offering open green space, a juvenile playground, basketball courts, a .8-mile fitness loop, a .25-mile trail, rentable shelters and free movies in the park during summer months. The Bryan Park Pool, originally opened in 1959, now has a zero-depth play area for toddlers, a diving board, two water slides and a lane set aside for lap swimming. The Cascades Park (lower) contains the City's largest accessible playground, two softballs fields and two reservable shelters. Upper Cascade Park is an 18-acre park and a 249-acre golf course. The residents of the City also have available the Ferguson Dog Park, a free dog park, for their four-legged companions. The City has many other parks throughout the City with playgrounds, basketball and tennis courts, shelters, an ice arena and open areas for entertainment.

Winslow Sports Complex, located on Highland Avenue, is a summer haven for youth and adult sports programs. Everything from tennis lessons to youth baseball and softball leagues can be enjoyed while taking in the natural surroundings that make the sports park a popular recreation choice. The complex boasts six baseball/softball fields, a playground and a .9-mile natural-surface trail that circles the park.

Scenic woodlands teeming with wild flora and fauna surround the 109-acre Griffy lake at the 1,200-acre nature preserve named Griffy Lake Nature Preserve. The Indiana Department of Natural Resources has stocked the lake with bluegill, redear sunfish, largemouth bass, channel catfish and crappie for the fishermen of the area. While swimming is prohibited, there are available rentals for canoes, kayaks and rowboats.

The City of Bloomington is proud to be recognized as a Gold-level "Bicycle Friendly Community" by the League of American Bicyclists, for "longstanding commitments to providing safe accommodation and facilities for bicyclists, and for their efforts to encourage bicycle travel for transportation and recreation". Bloomington was the first League-designated Bicycle Friendly Community in Indiana and the highest rated community in the eastern United States. The Bloomington Bicycle and Pedestrian Safety Commission actively works towards alternative transportation goals. The City has over 15 miles of trails designated for bicycling. There are also several miles of trails dedicated to fitness and hiking.

The City has implemented the Park Ambassador Program. The Program is an all-volunteer program that gives the public an opportunity to promote community stewardship and bridge the communication between the community and the Parks Department. The Park Ambassador Program sends a message that the community cares about its parks. Through weekly visits to the parks, Ambassadors document maintenance needs, report acts of vandalism, interact with park users, promote park safety and encourage an overall positive use of public space.

Along with the abundant library on the IU campus, the Monroe County Library is conveniently located on Kirkwood Avenue in Bloomington. Residents may get a free library card to check out books, movies and music, to download audiobooks, eBooks, DVDs, and digital music, access the databases and reserve meeting rooms and gallery space.

## MEDICAL FACILITIES

The City of Bloomington is served by two hospitals: Indiana University Health Bloomington Hospital and Monroe Hospital.

IU Health Bloomington is a general medical and surgical hospital located in Bloomington. The hospital offers a full range of specialty and primary care services for children and adults, including the following areas of clinical expertise: Cancer, cardiovascular, Neuroscience, Orthopedics, Pediatrics and Transplants. The Bloomington hospital is a 306-bed hospital. They receive over 50,000 emergency department visits annually and nearly 15,000 admissions.

Monroe Hospital, also located in Bloomington, is a state-of-the-art facility featuring 32 private rooms for acute care. The emergency room is staffed 24 hours a day with 10 examination rooms. The surgical service boasts 5 surgical suites, 2 endoscopy suites, a cardiology center, a cardiovascular laboratory and areas for orthopedics and physical therapy.

Additionally, Bloomington residents are provided several med-check and physician offices located throughout the City for quick treatment options.

## GENERAL ECONOMIC AND FINANCIAL INFORMATION

### FINANCIAL INSTITUTIONS

The following is a list of financial institutions serving in the City of Bloomington:

| Institutions | Assets as June 30, 2020 |
|---|---|
| | (In Thousands) |
| Farmers and Mechanics Federal Savings Bank | $ 17,913 |
| Fifth Third Bank, National Association | 177,464 |
| First Financial Bank | 384,912 |
| German American Bank | 322,950 |
| Jackson County Bank | 6,226 |
| JPMorgan Chase Bank, National Association | 849,976 |
| Northwest Bank | 31,415 |
| Old National Bank | 773,924 |
| Owen County State Bank | 49,412 |
| Regions Bank | 103,262 |
| The Peoples State Bank | 124,437 |
| Union Savings Bank | 54,159 |
| Woodforest National Bank | 2,161 |
| Source: Federal Deposit Insurance Corporation | |

### INDUSTRY AND COMMERCE

Bloomington has one of the largest clusters of medical-device and life-science companies in the nation. Cook Medical Group is the biggest reason, but not the only reason, a booming medical device and pharmaceutical industry has bloomed in the City. Life science jobs are six times more concentrated in Bloomington than the national average, according to a report by IU's Kelley School of Business.

Cook Group, Inc. began its production of medical devices in Bloomington in 1963. The company has expanded its expertise into many other areas of medicine, overseas medial product manufacturing and distribution, real estate, retail management and transportation and travel services. In 2004, Cook Pharmica, a division of Cook Group, was founded. Cook Pharmica is a state-of-the-art 900,000 square-foot pharmaceutical development and contract manufacturing facility. In 2017, Catalent Pharma Solutions purchased Cook Pharmica and announced in late 2018 the addition of a 15,000 square foot facility, an investment of $14 million and the addition of 36 jobs.

Baxter Healthcare Pharmaceuticals, a 600,000 square-foot campus, was established in Bloomington in 2004. Baxter is a full-service contract manufacturer focusing on clinical development through commercial launch, including manufacturing, packaging and quality systems.

LARGE EMPLOYERS

Below is a list of the City of Bloomington largest employers, based upon information provided by the Bloomington Economic Development Corporation (BEDC).

| Name | Type of Business | Approximate Number of Employees |
|---|---|---|
| Indiana University | Education | 10,000 |
| Cook, Inc. | Medical Devices | 4,200 |
| Indiana University Health-Bloomington | Medical Services | 2,733 |
| Monroe County Community Schools | Education | 2,174 |
| Kroger | Supermarket | 878 |
| Catlent Biologics | Pharmaceuticals | 835 |
| Monroe County | Government | 738 |
| City of Bloomington | Government | 707 |
| Baxter BioPharma Solutions | Pharmaceuticals | 610 |
| Ivy Tech Community College | Education | 532 |

EMPLOYMENT

Unemployment percentages for Bloomington, Monroe County and the State of Indiana are reported as provided by the Indiana Department of Workforce Development.

| | Unemployment Rate | | | Bloomington |
|---|---|---|---|---|
| Year | Bloomington | Monroe Couty | Indiana | Labor Force |
| 2010 | 8.0% | 7.9% | 10.4% | 37,266 |
| 2011 | 7.4% | 7.5% | 9.1% | 37,127 |
| 2012 | 7.4% | 7.3% | 8.3% | 36,741 |
| 2013 | 7.1% | 6.8% | 7.7% | 36,732 |
| 2014 | 6.0% | 5.7% | 6.0% | 37,159 |
| 2015 | 5.3% | 4.9% | 4.8% | 37,120 |
| 2016 | 4.9% | 4.7% | 4.4% | 37,392 |
| 2017 | 4.0% | 3.7% | 3.6% | 37,577 |
| 2018 | 4.0% | 3.7% | 3.4% | 38,147 |
| 2019 | 3.7% | 3.3% | 3.4% | 38,585 |

Distribution of labor force by major employment divisions for Monroe County are as follows:

| | 2018 | | 2019 | |
|---|---|---|---|---|
| | Number of Employees | Percentage of Total Employment | Number of Employees | Percentage of Total Employment |
| Agriculture, Forestry, Fishing, Hunting | 86 | 0.14% | 90 | 0.14% |
| Mining | 210 | 0.33% | 270 | 0.42% |
| Construction | 2,285 | 3.61% | 2,458 | 3.82% |
| Manufacturing | 6,921 | 10.94% | 7,266 | 11.29% |
| Wholesale Trade | 1,448 | 2.29% | 1,478 | 2.30% |
| Retail Trade | 6,638 | 10.49% | 6,464 | 10.04% |
| Transportation & Warehousing | 818 | 1.29% | 766 | 1.19% |
| Utilities | 374 | 0.59% | 271 | 0.42% |
| Information | 943 | 1.49% | 909 | 1.41% |
| Finance & Insurance | 1,290 | 2.04% | 1,387 | 2.16% |
| Real Estate, Rental, Leasing | 1,262 | 1.99% | 1,213 | 1.88% |
| Services & Other | 24,316 | 38.45% | 24,919 | 38.73% |
| Government | 16,668 | 26.35% | 16,863 | 26.20% |
| Total Employment | 63,259 | 100.00% | 64,354 | 100.00% |

Source: Indiana Department of Workforce Development

MISCELLANEOUS ECONOMIC INFORMATION

| | Monroe County | Indiana |
|---|---|---|
| Per capita personal income | $27,461 | $28,461 |
| Median household income | $47,075 | $54,325 |

Source: 2014-2018 American Community Survey 5-year estimates, U.S. Census Bureau.

BUILDING PERMITS

The following schedule presents the number of building permits within the City of Bloomington corporate limits.

| | 2014 | 2015 | 2016 | 2017 | 2018 |
|---|---|---|---|---|---|
| New Residential | 102 | 99 | 82 | 95 | 22 |

Source : Census Bureau Permit Survey

## SCHEDULE OF BONDED INDEBTEDNESS

The following schedule shows the current outstanding bonded indebtedness of the City of Bloomington and the taxing units within and overlapping its jurisdiction as reported by the respective taxing units as of October 5, 2020.

| Issuer | Total Debt | | Percent Allocable to City | Amount Allocable to City |
|---|---|---|---|---|
| Revenue Supported Debt: | | | | |
| City of Bloomington - Utilities | $ 97,110,500 | (1) | 100.00% | $ 97,110,500 |
| City of Bloomington - Park District | 3,630,000 | (2) | 100.00% | 3,630,000 |
| City of Bloomington | 26,887,147 | (3) | 100.00% | 26,887,147 |
| Monroe County | 4,360,330 | (4) | 51.08% | 2,227,257 |
| Total Revenue Supported Debt | | | | $ 129,854,904 |
| Property Tax Supported Debt: | | | | |
| City of Bloomington Park District | $ 15,470,000 | (5) | 100.00% | $ 15,470,000 |
| City of Bloomington | 9,445,000 | (6) | 100.00% | 9,445,000 |
| Monroe County | 1,620,000 | (7) | 51.08% | 827,496 |
| Monroe County Community School Corporation | 127,240,000 | (8) | 57.61% | 73,302,964 |
| Richland-Bean Blossom Community Schools | 47,124,554 | (9) | 3.92% | 1,847,283 |
| Monroe County Library | 1,020,000 | (10) | 51.08% | 521,016 |
| Bloomington Township | 37,534 | (11) | 79.76% | 29,937 |
| Perry Township | 105,000 | (12) | 74.32% | 78,036 |
| Van Buren Township | 48,282 | (13) | 14.46% | 6,982 |
| Richland Township | 255,000 | (14) | 4.56% | 11,628 |
| Monroe County Solid Waste Management District | 1,835,000 | (15) | 51.08% | 937,318 |
| Total Property Tax Supported Debt | | | | $ 102,477,660 |
| Tax Increment Supported Debt: | | | | |
| City of Bloomington | $ 72,140,000 | (16) | 100.00% | $ 72,140,000 |
| Monroe County | 16,660,000 | (17) | 51.08% | 8,509,928 |
| Total Tax Increment Supported Debt | | | | $ 80,649,928 |
| Income Supported Debt: | | | | |
| City of Bloomington | $ 300,000 | (18) | 100.00% | $ 300,000 |
| Total Income Supported Debt | | | | $ 300,000 |

## NOTES TO BONDED INDEBTEDNESS

| | | |
|---|---|---|
| (1) | Proposed Sewage Works Revenue Bonds of 2020 | $ 24,445,000 |
| | Sewage Works Refunding Revenue Bonds, Series 2019 | 5,920,000 |
| | Sewage Works Revenue Bonds of 2017 | 6,240,000 |
| | Amended Sewage Works Revenue Bonds of 2006, Series A-1 | 3,301,700 |
| | Sewage Works Refunding Revenue Bonds, Series 2013 | 6,735,000 |
| | Sewage Works Refunding Revenue Bonds, Series 2012A | 3,880,000 |
| | Sewage Works Revenue Bonds, Series 2012C | 3,615,000 |
| | Waterworks Refunding Revenue Bonds of 2020, Series A | 6,800,000 |
| | Waterworks Taxable Refunding Revenue Bonds of 2020, Series B | 30,005,000 |
| | Waterworks Revenue Bonds of 2017 | 4,080,000 |
| | Waterworks Revenue Bonds of 2006, Series A | 2,088,800 |
| | Total | $ 97,110,500 |
| (2) | Park District Refunding Revenue Bonds of 2017 | $ 3,630,000 |
| (3) | (a) Building Corp Lease Rental Bonds of 2003 (Parking Garage) | $ 4,417,839 |
| | (b) Building Corp Lease Rental Bonds of 2001 (Parking Garage) | 1,948,974 |
| | Equipment Lease Purchase (2017 Solar Project) | 12,150,334 |
| | Equipment Lease Purchase (2018 Advanced Metering Project) | 8,370,000 |
| | Total | $ 26,887,147 |

Note 3 (a)(b): The debt service on the Building Corp Lease Rental Bonds of 2003 and 2001 are payable from garage revenues.

Note 3 (c): The debt service on the 2018 Equipment Lease Purchase is payable from legally available funds of the City. Currently the debt service is being paid 60% from Wastewater Revenues and 40% from Water Revenues.

| | | |
|---|---|---|
| (4) | Monroe County Convention Center 2016A | $ 1,299,808 |
| | Monroe County Convention Center 2016B | 1,810,522 |
| | Taxable General Obligation Bond Anticipation Notes, Series 2017 | 1,250,000 |
| | Total | $ 4,360,330 |
| (5) | Park District Bonds of 2018, Series A | $ 3,020,000 |
| | Park District Bonds of 2018, Series B | 3,420,000 |
| | Park District Bonds of 2018, Series C | 2,805,000 |
| | General Obligation Park Bonds of 2016, Series A-E | 6,225,000 |
| | Total | $ 15,470,000 |
| (6) | General Obligation Bonds of 2016, Series A-H | $ 9,445,000 |
| (7) | General Obligation Bonds, Series 2019 | $ 1,620,000 |

| | | |
|---|---|---|
| (8) | General Obligation Bonds of 2020 | $ 12,000,000 |
| | Ad Valorem Property Tax First Mortgage Bonds, Series 2020 | 54,525,000 |
| | General Obligation Bonds of 2018B | 3,185,000 |
| | General Obligation Bonds of 2018 | 6,225,000 |
| | General Obligation Bonds of 2017 | 655,000 |
| | Ad Valorem Property Tax First Mortgage Refunding Bonds, Series 2016 | 42,275,000 |
| | MCCSC 1996 Building Corp Ad Valorem Property Tax First Mortgage Refunding and Improvement Bonds, Series 2010 | 1,110,000 |
| | Taxable Ad Valorem Property Tax First Mortgage Bonds, Series 2010 | 1,950,000 |
| | Taxable General Obligation Pension Bonds of 2006 | 5,315,000 |
| | Total | $ 127,240,000 |
| (9) | First Mortgage Bonds, Series 2020 | $ 6,450,000 |
| | First Mortgage Bonds, Series 2019 | 8,760,000 |
| | Taxable Negotiable School Improvement Notes, Series 2019 | 1,995,000 |
| | First Mortgage Refunding & improvement Bonds, Series 2018 | 13,820,000 |
| | Taxable Ad Valorem Property Tax First Mortgage Bonds, Series 2010A | 3,010,000 |
| | Taxable Ad Valorem Property Tax First Mortgage Bonds, Series 2010B | 10,000,000 |
| | Qualified School Construction Bonds of 2009 | 546,000 |
| | First Mortgage Refunding Bonds, Series 2008A (unrefunded) | 1,869,636 |
| | Taxable First Mortgage Refunding Bonds, Series 2008B | 673,918 |
| | Total | $ 47,124,554 |
| (10) | General Obligation Bonds of 2018 | $ 1,020,000 |
| (11) | Fire Equipment Loan | $ 37,534 |
| (12) | General Obligation Bonds of 2016 | $ 105,000 |
| (13) | Fire Equipment Debt | $ 48,282 |
| (14) | General Obligation Bonds of 2016 | $ 255,000 |
| (15) | Solid Waste Management District Refunding Bonds of 2012 | $ 1,835,000 |
| (16) | (a) Redevelopment District Tax Increment Revenue Bonds of 2019, Series A-1 | $ 12,845,000 |
| | (a) Redevelopment District Taxable Tax Increment Revenue Bonds of 2019, Series A-2 | 4,415,000 |
| | (c) Redevelopment District Tax Increment Revenue Bonds of 2019, Series B | 10,615,000 |
| | (d) Redevelopment District Tax Increment Refunding Revenue Bonds, Series 2017 | 8,800,000 |
| | (e) Redevelopment District Tax Increment Revenue Bonds of 2015 | 35,465,000 |
| | Total | $ 72,140,000 |

Note 16 (a)(b)(c): The debt service on the Redevelopment District Bonds of 2019, Series A-1, Series A-2 and Series B is payable from Tax Increment in the Downtown Area.

Note 16 (d): The debt service on the Redevelopment District Bonds of 2017 is payable from Tax Increment in the Downtown Area.

Note 16 (e): The debt service on the Redevelopment District Bonds of 2015 is payable from Tax Increment in the Consolidated Area.

| | | |
|---|---|---|
| (17) | (a) Redevelopment District Bonds of 2020 | $ 6,340,000 |
| | (b) Economic Development Revenue Bonds, Series 2018 | 6,175,000 |
| | (c) Redevelopment District Bonds of 2015 | 3,135,000 |
| | (d) Redevelopment District Bonds of 2013 | 540,000 |
| | (e) Redevelopment District Taxable Tax Increment Revenue Bonds, Series 2010 | 470,000 |
| | Total | $ 16,660,000 |

Note 17 (a)(c)(d): The debt service on the Redevelopment District Bonds of 2015 and 2013 are payable from Tax Increment in the Westside Area, and if not sufficient, from a Special Benefits Tax levied in the Redevelopment Area.

Note 17 (b): The debt service on the Economic Development Revenue Bonds, Series 2018 are payable from Tax Increment in the Cook Allocation Area.

Note 17 (e): The debt service on the Redevelopment District Bonds, Series 2010 is payable from Tax Increment in the State Road 46 Area.

| | | |
|---|---|---|
| (18) | First Mortgage Refunding Bonds, Series 2009 | $ 300,000 |

## DEBT RATIOS

The following table shows the ratios relative to the current property tax secured indebtedness of the City of Bloomington and the taxing units within its jurisdiction.

| | Direct Debt Property Tax Supported | Allocable Portion of Property Tax Supported Debt | Total Direct and Overlapping Tax Supported Debt |
|---|---|---|---|
| Total Amount | $ 24,915,000 | $ 77,562,660 | $ 102,477,660 |
| Per Capita (1) | $ 290.54 | $ 904.47 | $ 1,195.01 |
| Percent of True Tax Value (2) | 0.66% | 2.06% | 2.72% |

(1) The Census Bureau estimates the 2019 population at 85,755.
(2) True Tax Value for pay 2020 for the City of Bloomington as provided by the Monroe County Auditor totals $3,774,104,300.

## FUTURE BONDED INDEBTEDNESS

The City does not anticipate issuing any additional bonds secured by the net revenues of the sewage works in the next twelve months.

## HISTORICAL SCHEDULE OF NET ASSESSED VALUATIONS OF THE CITY OF BLOOMINGTON

(Per Monroe County Auditor's Office)

| Year Payable | Real Estate | Utilities | Personal Property | Total |
|---|---|---|---|---|
| 2020 | $ 3,590,047,252 | $ 63,535,280 | $ 205,704,090 | $ 3,859,286,622 |
| 2019 | 3,446,890,704 | 57,556,730 | 195,538,387 | 3,699,985,821 |
| 2018 | 3,302,841,392 | 63,662,060 | 193,931,689 | 3,560,435,141 |
| 2017 | 3,180,105,468 | 63,290,260 | 183,986,409 | 3,427,382,137 |
| 2016 | 3,142,187,215 | 58,414,400 | 179,775,449 | 3,380,377,064 |
| 2015 | 3,068,080,359 | 50,116,812 | 165,662,790 | 3,283,859,961 |
| 2014 | 3,044,493,352 | 42,893,530 | 152,031,592 | 3,239,418,474 |
| 2013 | 3,040,835,417 | 42,693,527 | 155,008,115 | 3,238,537,059 |

NOTE: Net assessed valuations represent the assessed value less certain deductions for mortgages, veterans', the aged and the blind, as well as tax exempt property.

Real property is valued for assessment purposes as its true tax value as defined in then Real Property Assessment Rule, 50 IAC 2.4, and the 2011 Real Property Assessment Manual ("Manual"), as incorporated into 50 IAC 2.4, and the 2011 Real Property Assessment Guidelines ("Guidelines"), as adopted by the Department of Local Government Finance (DLGF). In the case of agricultural land, true tax value is the value determined in accordance with the Guidelines adopted by the DLGF and IC 6-1.1-4-13. In the case of all other real property, true tax value is defined as "the market value-in-use of a property for its current use, as reflected by the utility received by the owner or by a similar user, from the property".

DETAIL OF NET ASSESSED VALUATION
(Per Monroe County Auditor's Office)
For the tax year 2019 payable 2020

| | Bloomington City - | | | | |
|---|---|---|---|---|---|
| | Bloomington Twp | Perry Twp | Richland Twp | Van Buren Twp | Total |
| Value of land and lots | $ 516,776,100 | $ 849,181,100 | $ 24,719,000 | $ 33,640,600 | $ 1,424,316,800 |
| Value of improvements | 1,490,787,500 | 2,787,144,900 | 29,879,500 | 66,045,700 | 4,373,857,600 |
| Total value of real estate | 2,007,563,600 | 3,636,326,000 | 54,598,500 | 99,686,300 | 5,798,174,400 |
| Less: Mortgage, Veterans', Age 65 and other deductions | 306,342,224 | 947,669,845 | - | 9,160,455 | 1,263,172,524 |
| Tax-exempt property | 133,054,400 | 180,549,400 | - | 2,509,700 | 316,113,500 |
| TIF | 342,316,099 | 246,337,478 | 37,261,647 | 2,925,900 | 628,841,124 |
| | 781,712,723 | 1,374,556,723 | 37,261,647 | 14,596,055 | 2,208,127,148 |
| Net Assessed Value of Real Estate | 1,225,850,877 | 2,261,769,277 | 17,336,853 | 85,090,245 | 3,590,047,252 |
| Business Personal Property | 72,803,440 | 193,511,760 | 20,301,430 | 20,055,740 | 306,672,370 |
| Less: Deductions | 6,644,920 | 91,617,420 | 2,534,760 | 171,180 | 100,968,280 |
| Net Assessed Value of Personal Property | 66,158,520 | 101,894,340 | 17,766,670 | 19,884,560 | 205,704,090 |
| Net Assessed Value of Utilities | 37,148,060 | 23,725,340 | 1,565,230 | 1,096,650 | 63,535,280 |
| Net Assessed Valuation | $ 1,329,157,457 | $ 2,387,388,957 | $ 36,668,753 | $ 106,071,455 | $ 3,859,286,622 |

## HISTORICAL SCHEDULE OF TOTAL TAX RATE
## AND DETAIL OF CITY TAX RATE

The following table shows the total tax rate of the City of Bloomington for the years payable 2011 to 2020, per $100 of net assessed value as obtained from the Monroe County Auditor's office.

| | Year Taxes Payable | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 2020 | 2019 | 2018 | 2017 | 2016 | 2015 | 2014 | 2013 | 2012 | 2011 |
| Corporate General | $ 0.6196 | $ 0.6291 | $ 0.6339 | $ 0.6202 | $ 0.6063 | $ 0.6078 | $ 0.6057 | $ 0.5849 | $ 0.5698 | $ 0.5512 |
| Park | 0.1789 | 0.1714 | 0.1700 | 0.1664 | 0.1627 | 0.1629 | 0.1620 | 0.1494 | 0.1456 | 0.1327 |
| Firemen's Pension | - | - | - | - | - | - | - | - | - | - |
| Policemen's Pension | - | - | - | - | - | - | - | - | - | - |
| Cumulative Capital Development | 0.0493 | 0.0500 | 0.0480 | 0.0480 | 0.0482 | 0.0494 | 0.0500 | 0.0500 | 0.0260 | 0.0270 |
| Cumulative Capital Improvement | - | - | - | - | - | - | - | - | - | 0.0186 |
| Park Bond | 0.0184 | 0.0124 | - | 0.0056 | 0.0119 | 0.0191 | 0.0133 | 0.0127 | - | - |
| Bond #2 | 0.0193 | 0.0204 | 0.0205 | 0.0138 | - | - | - | - | 0.0132 | 0.0160 |
| Bond #3 | 0.0123 | 0.0129 | 0.0130 | 0.0087 | - | - | - | - | - | - |
| Transportation Bond | - | - | - | - | 0.0255 | 0.0246 | 0.0261 | 0.0271 | 0.0254 | 0.0239 |
| Total City Tax Rate | $ 0.8978 | $ 0.8962 | $ 0.8854 | $ 0.8627 | $ 0.8546 | $ 0.8638 | $ 0.8571 | $ 0.8241 | $ 0.7800 | $ 0.7694 |
| Total tax rates** | | | | | | | | | | |
| City of Bloomington | | | | | | | | | | |
| -Bloomington Township | $ 2.1157 | $ 2.1267 | $ 2.1241 | $ 2.0783 | $ 2.0677 | $ 2.0858 | $ 2.0762 | $ 2.0194 | $ 1.9395 | $ 1.9472 |
| -Perry Township | $ 2.1122 | $ 2.1237 | $ 2.1220 | $ 2.0756 | $ 2.0639 | $ 2.0821 | $ 2.0754 | $ 2.0196 | $ 1.9390 | $ 1.9474 |
| - Richland Township | $ 2.5079 | $ 2.5031 | $ 2.7308 | $ 2.5523 | $ 2.4287 | $ 2.4582 | $ 2.4191 | $ 2.2895 | $ 2.3710 | $ 2.4348 |
| - Van Buren Township | $ 2.1487 | $ 2.1598 | $ 2.1567 | $ 2.1099 | $ 2.0991 | $ 2.1186 | $ 2.1105 | $ 2.0582 | $ 1.9766 | $ 1.9836 |

**Includes the tax rates of the overlapping taxing units

PROPERTY TAXES LEVIED AND COLLECTED

City of Bloomington
Property Tax Levied and Collected
Last Five Fiscal Years

| Year Collected | Current Taxes Assessed | Total Amount Collected | Percent Collected |
|---|---|---|---|
| 2015 | $ 28,365,982 | $ 28,317,972 | 99.83% |
| 2016 | 28,762,487 | 28,782,568 | 100.07% |
| 2017 | 29,420,623 | 29,505,416 | 100.29% |
| 2018 | 30,489,522 | 30,963,985 | 101.56% |
| 2019 | 31,952,723 | 32,423,781 | 101.47% |

LARGE TAXPAYERS

The following is a list of the ten largest taxpayers located in the City of Bloomington within Monroe County, as provided by the Monroe County Auditor's office.

| Name | Type of Business | 2020 Net Assessed Valuation | Percent of Total Net Assessed Valuation |
|---|---|---|---|
| Simon Property Group | Retail | $ 38,328,870 | 1.02% |
| Cook Pharmica LLC | Manufacturing | 37,580,700 | 1.00% |
| Smallwood Plaza LLC | Apartments | 33,472,290 | 0.89% |
| University Properties LLC | Apartments | 32,416,000 | 0.86% |
| The Fields Sh LLC | Apartments | 32,170,580 | 0.85% |
| Cfc, LLC | Apartments | 32,023,880 | 0.85% |
| Student Housing SPE - Patterson LLC | Apartments | 30,924,330 | 0.82% |
| SSC Muller Apartments LLC | Apartments | 30,803,700 | 0.82% |
| 1150 S. Clarizz LLC | Apartments | 27,760,750 | 0.74% |
| THP Park on Morton LLC | Apartments | 25,756,400 | 0.68% |
| | | $ 321,237,500 | 8.53% |

The total certified net assessed valuation of the City of Bloomington is $3,774,104,300 for taxes payable in 2020, according to the Monroe County Auditor's office.

Source: Monroe County Auditor

## PENSION LIABILITIES

City employees have pensions funded under the Public Employees Retirement Fund (PERF) of the State of Indiana. Provided below is a statement of Net Pension Liability, Required Annual Pension Contributions and the covered payroll for the listed pension plans.

| | Year Ending | Ending Net Pension Liability (Asset) | Required Annual Contributions | Covered Payroll |
|---|---|---|---|---|
| PERF (Civil Employees) | 6/30/19 | $10,364,349 | $1,829,867 | $16,338,105 |
| PERF - 77 Police | 6/30/19 | $55,347 | $929,012 | $5,308,587 |
| PERF - 77 Firefighters | 6/30/19 | $61,613 | $1,034,169 | $5,909,527 |

The City also participates in the 1925 Police Officers' Pension Plan and the 1937 Firefighters' Pension Plan. These plans are single-employer defined benefit pension plans. The plans are administered by the local pension board as authorized by state statute (IC 36-8-6). The City receives semi-annual payments from the State Pension Relief Fund and uses those funds to make its monthly contributions.

## OTHER POST EMPLOYMENT BENEFITS (OPEB)

The City provides to eligible retirees and their spouses medical, dental, vision and life insurance benefits. Information regarding the benefits can be obtained by contacting the City.

CITY OF BLOOMINGTON, INDIANA

By: /s/ John Hamilton
John Hamilton, Mayor

ATTEST: /s/ Jeffery H. Underwood
Jeffery H. Underwood, CPA
Controller

# APPENDIX B

# ACCOUNTING REPORT

# CITY OF BLOOMINGTON, INDIANA
# MUNICIPAL WASTEWATER UTILITY

## ACCOUNTING REPORT

## December 10, 2020

**Prepared by:**

KROHN & ASSOCIATES
CPAS AND CONSULTANTS

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

ACCOUNTING REPORT

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KROHN & ASSOCIATES
CPAS AND CONSULTANTS

# ACCOUNTANT'S COMPILATION REPORT

Common Council Members
Bloomington Municipal Wastewater Utility
401 N Morton Street, Suite 110
Bloomington, IN 47404

December 10, 2020

Management is responsible for the accompanying projection of the Bloomington Municipal Wastewater Utility, which comprises the projected revenues, operation and maintenance expenses, debt service, and debt service coverage for the years ending December 31, 2020, 2021 and 2022 the related summaries of significant assumptions and accounting policies in accordance with guidelines for the presentation of a projection established by the American Institute of Certified Public Accountants (AICPA). We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not examine or review the projection nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on this projection.

Even if the Bloomington Municipal Wastewater Utility completes the proposed transaction the projected results may not be achieved, as there will usually be differences between projected and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

The accompanying projection and this report were prepared for inclusion in the Official Statement prepared for the purpose of conducting the sale of the proposed Sewage Works Revenue Bonds of 2020 in the amount of $24,445,000, to pay for the Dillman Road WWTP Project, Jordan River Culvert Project and to pay costs of issuance and are not intended to be and should not be used for any other purpose.

Management is responsible for the accompanying financial statements which comprise the Statements of Net Position as of December 31, 2017, 2018 and 2019, and the related Statements of Revenues, Expenses and Changes in Net Position and Statements of Cash Flows for the years then ended in accordance with accounting principles generally accepted in the United States of America. We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on these financial statements.

The supplementary information contained on pages 17-25 is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management. The supplementary information was subject to our compilation engagement. We have not audited or reviewed the supplementary information and do not express an opinion, conclusion, nor provide any assurance on such information.

Management has elected to omit substantially all the disclosures ordinarily included in the financial statements prepared in accordance with accounting principles generally accepted in the United States. If the omitted disclosures were included in the financial statements, they might influence the user's conclusions about Bloomington Municipal Wastewater Utility's statements of financial position, results of operations and cash flows. Accordingly, the financial statements are not designed for those who are not informed on such matters.

O.W. Krohn & Associates

O. W. Krohn & Associates LLP

CITY OF BLOOMINGTON, INDIANA
MUNICIPAL WASTEWATER UTILITY

PROJECTED REVENUES, OPERATION AND MAINTENANCE EXPENSES, DEBT SERVICE AND DEBT SERVICE COVERAGE

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

PROJECTED REVENUES, OPERATION AND MAINTENANCE EXPENSES,
DEBT SERVICE AND DEBT SERVICE COVERAGE

| | 2020 | 2021 | 2022 |
|---|---|---|---|
| PROJECTED REVENUES: | | | |
| TEST YEAR SALES (1) | $ 20,523,289 | $ 20,523,289 | $ 20,523,289 |
| RATE INCREASE ADJUSTMENTS: | | | |
| ACROSS-THE-BOARD INCREASE (2) | 615,699 | 615,699 | 615,699 |
| OUTSIDE CITY SURCHARGE (3) | 354,642 | 354,642 | 354,642 |
| STORMWATER FEES (1) | 1,791,367 | 1,791,367 | 1,791,367 |
| NORMALIZE 6 MONTHS FOR RATE INCREASE EFFECTIVE JULY 1, 2019 (4) | 425,832 | 425,832 | 425,832 |
| INCREASE IN MONTHLY CHARGES (5) | 842,536 | 842,536 | 842,536 |
| PENALTIES (1) | 213,220 | 213,220 | 213,220 |
| INTEREST INCOME (1) | 500,046 | 500,046 | 500,046 |
| TOTAL PROJECTED REVENUES | 25,266,631 | 25,266,631 | 25,266,631 |
| PROJECTED OPERATING EXPENSES: | | | |
| BUDGETED OPERATING EXPENSES (6) | 13,999,000 | 13,551,000 | 13,551,000 |
| INFLATIONARY ADJUSTMENTS (7) | - | - | 406,530 |
| AMI LEASE PAYMENT (8) | 337,650 | 685,032 | 685,563 |
| TOTAL PROJECTED OPERATING EXPENSES | 14,336,650 | 14,236,032 | 14,643,093 |
| NET PLEDGED REVENUES | $ 10,929,981 | $ 11,030,599 | $ 10,623,538 |
| PROPOSED COMBINED DEBT SERVICE (9) | $ 5,218,540 (10) | $ 5,070,072 | $ 5,053,743 |
| PROJECTED DEBT SERVICE COVERAGE | 209% | 218% | 210% |

(1) ASSUMED AT TEST YEAR AMOUNTS.

(2) REFLECTS THE 3% ACROSS-THE-BOARD RATE INCREASE, EFFECTIVE JANUARY 1, 2020.

(3) REFLECTS THE 12% OUTSIDE CITY SURCHARGE, EFFECTIVE JANUARY 1, 2020.

(4) ADJUST TO NORMALIZE TEST YEAR 2019. STORMWATER RATES INCREASED 60% ON JULY 1, 2019.

(5) REFLECTS THE APPROXIMATE 38% RATE INCREASE FOR STORM WATER FEES, EFFECTIVE JANUARY 1, 2020.

(6) 2020 AND 2021 ARE BASED ON THE BUDGET ADOPTED BY THE CITY.

(7) ASSUMES A 3% ANNUAL INFLATIONARY ADJUSTMENT.

(8) NET REVENUES OF THE SEWER UTILITY ARE NOT PLEDGED TOWARDS THE REPAYMENT OF THE AMI LEASE. HOWEVER, THE CITY HAS ELECTED TO USE SEWER FUNDS TO REPAY THESE LEASE PAYMENTS.

(9) SEE SCHEDULE OF PROPOSED COMBINED DEBT SERVICE, PAGE 10.

(10) MAXIMUM COMBINED ANNUAL DEBT SERVICE AFTER ISSUANCE OF THE PROPOSED 2020 BONDS.

NOTE: THE UTILITY HAS HISTORICALLY MADE PAYMENTS IN LIEU OF TAXES TO THE CITY. PROJECTED DEBT SERVICE COVERAGE WITH $356,313 OF PILOT IS 203%, 206% AND 199% FOR YEARS 2020, 2021 AND 2022, RESPECTIVELY.

(SEE ACCOUNTANT'S COMPILATION REPORT AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, ASSUMPTIONS AND NOTES)

## BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

## SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, ASSUMPTIONS AND NOTES

These financial projections present, to the best of management's knowledge and belief, the Bloomington Municipal Wastewater Utility (the "Utility") expected operating revenue, operation and maintenance expenses, debt service and debt service coverage for the years ending December 31, 2020, 2021 and 2022. Accordingly, the projection reflects management's judgment of the expected conditions and its expected course of actions as of December 10, 2020, the date of this projection. The financial projection is based upon management's assumptions concerning future events and circumstances. The assumptions disclosed herein are those which management believes are significant to the projection or are key factors upon which the financial results of the enterprise depend and are not all-inclusive.

Some assumptions inevitably will not materialize, and unanticipated events and circumstances may occur subsequent to December 10, 2020, the date of this projection. Therefore, the actual results achieved during the projected period could vary from the projection and those variances could be material.

This financial projection has been prepared in conjunction with the issuance of Sewage Works Revenue Bonds of 2020 (the "Bonds") in the amount of $24,445,000. The Bonds, together with funds on hand, are intended to finance the Dillman Road WWTP project and Jordan River Culvert project. The remaining proceeds from of the Bonds will pay costs of issuance. It is anticipated that the Bonds will close December 23, 2020.

### Reporting Entity

The financial statements of the Utility, a component unit (Enterprise Fund) of the City of Bloomington, Indiana, conform to requirements of the Indiana State Board of Accounts for the state and local governments. The Utility provides services to approximately 22,500 customers in the greater Bloomington area, including Indiana University. The operations of the Bloomington Municipal Wastewater Utility include wastewater collection and treatment and storm water collection and management activities.

### Basis of Accounting

The accounts of the Utility are maintained, and the financial statements are presented, on an accrual basis as prescribed by the Governmental Accounting Standards Board. Under this method, revenues are recorded when earned and expenses are recorded at the time the liabilities are incurred.

- Capital Assets: Property and equipment are recorded at actual or estimated historical cost. Maintenance and repairs are charged to operating expense as incurred; major renewals and betterments are capitalized. Contributed or donated assets are reported at estimated fair value when received.
- Depreciation: Computed on a straight-line method, using a composite depreciation rate based on the estimated useful service lives of various classes of property.
- Accounts Receivable: Stated in the amount management expects to collect from outstanding balances. Management provides for probable uncollectible amounts through a provision for uncollectible accounts.
- Basis of Estimates: The preparation of financial statements in accordance with generally accepted accounting principles requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Proposed Bond Issue

The City's bond ordinance was adopted on November 4, 2020 and authorizes the issuance of bonds and BAN's in multiple series in an aggregate amount not to exceed $32,000,000. The bond ordinance requires the accumulation of a debt service reserve. The existing reserve for the 2006A Bonds, 2012A Refunding Bonds, 2012C Bonds, 2013 Refunding Bonds, 2017 Bonds and 2019 Refunding Bonds, as defined in the next section, is fully funded. The debt service reserve equals the maximum combined annual debt service on the Bonds and the Outstanding Bonds as defined below.

The City has previously issued bonds to fund improvements to its sewage works which are payable out of the Net Revenues of the sewage works and designated as follows: Sewage Works Revenue Bonds of 2006, Series A-1 amended on March 26, 2015 ("2006A-1 Bonds"), with an amended amount of $5,240,000, now outstanding in the amount of $3,301,700, and maturing annually over a period ending January 1, 2027; Sewage Works Refunding Revenue Bonds of 2012, Series A dated April 10, 2012 ("2012A Refunding Bonds"), originally issued in the amount of $6,665,000, now outstanding in the amount of $3,880,000, and maturing annually over a period ending January 1, 2029; Sewage Works Revenue Bonds of 2012, Series C dated May 15, 2012 ("2012C Bonds"), originally issued in the amount of $5,000,000, now outstanding in the amount of $3,615,000, and maturing annually over a period ending January 1, 2033; Sewage Works Refunding Revenue Bonds, Series 2013 dated May 17, 2013 ("2013 Refunding Bonds"), originally issued in the amount of $20,190,000, now outstanding in the amount of $6,735,000, and maturing annually over a period ending January 1, 2025; Sewage Works Revenue Bonds of 2017 dated August 8, 2017 ("2017 Bonds"), originally issued in the amount of $6,795,000, now outstanding in the amount of $6,240,000, and maturing annually over a period ending January 1, 2037; and Sewage Works Refunding Revenue Bonds, Series 2019 dated November 6, 2019 ("2019 Bonds"), originally issued in the amount of $6,780,000, now outstanding in the amount of $5,920,000, and maturing annually over a period ending January 1, 2027 (collectively the "Outstanding Bonds").

The Bonds will be issued on parity with the Outstanding Bonds.

Revenues

Projected annual operating revenues for the projection period are based on the recorded results of operations for the twelve months ended December 31, 2019 (the "Test Year") and the following adjustments:

A. The Utility has adopted new sewer rates which became effective January 1, 2020. The new rates reflect a 3% across-the-board rate increase. Residential, Commercial, Industrial and Municipal Sales and Penalties (calculated as a percentage of bill) assume the 3% rate increase in 2020.

B. In addition, the Utility has adopted new rates for customers residing outside city limits. The surcharge is an additional 12% to those outside customers. In the Test Year, it was estimated approximately 14.4% of billed flow was for outside customers. The Outside City Surcharge reflects the results of the 12% rate increase to these customers in 2020.

C. In 2019, the Utility adopted new Stormwater Fees to be implemented in 2 phases. Phase 1 was effective on July 1, 2019, which resulted in a 60% increase. The Test Year represents 6 months at the phase 1 rates. We have made an adjustment to normalize for 12 months of phase 1 revenues. Phase 2 rates were effective January 1, 2020 resulting in a 38% increase.

D. Interest Income is assumed at Test Year Amounts.

Operating Expenses

Projected operating expenses are based on the budgeted amounts for years 2020 and 2021 with an additional 3% inflationary adjustment for 2022.

Debt Service

The Bonds have been amortized over 20.02 years. The Bonds will be dated the day of closing assumed to be December 23, 2020. First principal payment is scheduled to be made on January 1, 2027. Principal is to be paid annually thereafter on January 1st with the final maturity in 2041. Interest payments on the Bonds will be made semi-annually on January 1st and July 1st beginning July 1, 2021. The Bonds will be secured by a pledge of Net Revenues of the Utility on a parity with the Outstanding Bonds. The combined debt service schedule includes the proposed Bonds and payments due for all Outstanding Bonds as summarized on page 10. It should be noted that our projection of debt service coverage for 2020 is based on the maximum annual combined debt service, including the Bonds ($5,218,540). However, it should be noted that the debt service reserve requirement is ($5,070,072) which is the maximum combined debt service as of the date of closing on the Bonds.

## BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

## GENERAL COMMENTS

Schedule of Estimated Sources and Uses of Funds – Page 8

The Bonds, together with funds on hand, will fund the Dillman Road Project and Jordan River Culvert, Engineering Design and Inspection and acquisition of land and easements. The remaining proceeds will pay the costs of issuance and pay the premium of the bond insurance policy. Based upon engineer's estimate's the Dillman Road WWTP Project will cost $25,043,700 and the Jordan River Culvert Project will cost $11,194,800. Both projects include engineering, land and easements are estimated at $475,000, $491,709.65 to pay the costs of issuance, bond insurance premiums and contingency.

Amortization Schedule of Proposed $24,445,000 Sewage Works Revenue Bonds of 2020 – Page 9

This schedule presents the amortization of $24,445,000 of Proposed Sewage Works Revenue Bonds of 2020. The Bonds will have semiannual interest payments on January 1st and July 1st beginning July 1, 2021. Annual January 1st principal payments are scheduled beginning January 1, 2027 with a final maturity on January 1, 2041. The coupon rates range from 2.0% to 4.0%.

Schedule of Proposed Combined Debt Service – Page 10

This schedule summarizes the total combined debt service requirements for the Bonds as shown on page 9 along with the outstanding 2006A-1 Bonds, 2012A Refunding Bonds, 2012C Bonds, 2013 Refunding Bonds, 2017 Bonds and 2019 Refunding Bonds. Amortization schedules for the outstanding 2006A-1 Bonds, 2012A Refunding Bonds, 2012C Bonds, 2013 Refunding Bonds, 2017 Bonds and 2019 Refunding Bonds are included on pages 20-25. The maximum combined annual debt service is $5,218,539.62.

Schedule of Current and Adopted Wastewater Rates and Charges – Page 11

The prior and current wastewater and storm water rates are shown on this schedule.

CITY OF BLOOMINGTON, INDIANA
MUNICIPAL WASTEWATER UTILITY

# PROJECTED SUPPLEMENTAL FINANCIAL INFORMATION

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

SCHEDULE OF SOURCES AND USES OF FUNDS

| | AMOUNT |
|---|---|
| SOURCES OF FUNDS: | |
| PROPOSED 2020 BONDS | $ 24,445,000.00 |
| PREMIUM ON BONDS | 5,879,689.65 |
| FUNDS ON HAND | 8,000,000.00 |
| TOTAL SOURCES OF FUNDS | $ 38,324,689.65 |
| USES OF FUNDS: | |
| DILLMAN ROAD WWTP | $ 25,043,700.00 |
| JORDAN RIVER CULVERT | 11,194,800.00 |
| CONSTRUCTION CONTINGENCY (10%) | 1,119,480.00 |
| EASEMENTS | 475,000.00 |
| ADDITIONAL ENGINEERING | 50,000.00 |
| BOND COUNSEL, FINANCIAL ADVISOR, LEGAL COUNSEL UNDERWRITERS DISCOUNT AND ROUNDING | 441,709.65 |
| TOTAL USES OF FUNDS | $ 38,324,689.65 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

AMORTIZATION SCHEDULE OF $24,445,000 SEWAGE WORKS
REVENUE BONDS OF 2020

ASSUMED CLOSING DATE: DECEMBER 23, 2020

| PAYMENT DATE | PRINCIPAL BALANCE | INTEREST RATES | DEBT SERVICE PRINCIPAL | DEBT SERVICE INTEREST | DEBT SERVICE TOTAL | BOND YEAR TOTAL |
|---|---|---|---|---|---|---|
| 7/1/2021 | | | | $ 506,451.11 | $ 506,451.11 | |
| 1/1/2022 | $ 24,445,000 | | | 484,900.00 | 484,900.00 | $ 991,351.11 |
| 7/1/2022 | | | | 484,900.00 | 484,900.00 | |
| 1/1/2023 | 24,445,000 | | | 484,900.00 | 484,900.00 | 969,800.00 |
| 7/1/2023 | | | | 484,900.00 | 484,900.00 | |
| 1/1/2024 | 24,445,000 | | | 484,900.00 | 484,900.00 | 969,800.00 |
| 7/1/2024 | | | | 484,900.00 | 484,900.00 | |
| 1/1/2025 | 24,445,000 | | | 484,900.00 | 484,900.00 | 969,800.00 |
| 7/1/2025 | | | | 484,900.00 | 484,900.00 | |
| 1/1/2026 | 24,445,000 | | | 484,900.00 | 484,900.00 | 969,800.00 |
| 7/1/2026 | | | | 484,900.00 | 484,900.00 | |
| 1/1/2027 | 24,445,000 | 2.000% | $ 400,000 | 484,900.00 | 884,900.00 | 1,369,800.00 |
| 7/1/2027 | | | | 480,900.00 | 480,900.00 | |
| 1/1/2028 | 24,045,000 | 4.000% | 1,585,000 | 480,900.00 | 2,065,900.00 | 2,546,800.00 |
| 7/1/2028 | | | | 449,200.00 | 449,200.00 | |
| 1/1/2029 | 22,460,000 | 4.000% | 1,650,000 | 449,200.00 | 2,099,200.00 | 2,548,400.00 |
| 7/1/2029 | | | | 416,200.00 | 416,200.00 | |
| 1/1/2030 | 20,810,000 | 4.000% | 2,220,000 | 416,200.00 | 2,636,200.00 | 3,052,400.00 |
| 7/1/2030 | | | | 371,800.00 | 371,800.00 | |
| 1/1/2031 | 18,590,000 | 4.000% | 2,310,000 | 371,800.00 | 2,681,800.00 | 3,053,600.00 |
| 7/1/2031 | | | | 325,600.00 | 325,600.00 | |
| 1/1/2032 | 16,280,000 | 4.000% | 1,355,000 | 325,600.00 | 1,680,600.00 | 2,006,200.00 |
| 7/1/2032 | | | | 298,500.00 | 298,500.00 | |
| 1/1/2033 | 14,925,000 | 4.000% | 1,410,000 | 298,500.00 | 1,708,500.00 | 2,007,000.00 |
| 7/1/2033 | | | | 270,300.00 | 270,300.00 | |
| 1/1/2034 | 13,515,000 | 4.000% | 1,470,000 | 270,300.00 | 1,740,300.00 | 2,010,600.00 |
| 7/1/2034 | | | | 240,900.00 | 240,900.00 | |
| 1/1/2035 | 12,045,000 | 4.000% | 1,525,000 | 240,900.00 | 1,765,900.00 | 2,006,800.00 |
| 7/1/2035 | | | | 210,400.00 | 210,400.00 | |
| 1/1/2036 | 10,520,000 | 4.000% | 1,585,000 | 210,400.00 | 1,795,400.00 | 2,005,800.00 |
| 7/1/2036 | | | | 178,700.00 | 178,700.00 | |
| 1/1/2037 | 8,935,000 | 4.000% | 1,650,000 | 178,700.00 | 1,828,700.00 | 2,007,400.00 |
| 7/1/2037 | | | | 145,700.00 | 145,700.00 | |
| 1/1/2038 | 7,285,000 | 4.000% | 1,715,000 | 145,700.00 | 1,860,700.00 | 2,006,400.00 |
| 7/1/2038 | | | | 111,400.00 | 111,400.00 | |
| 1/1/2039 | 5,570,000 | 4.000% | 1,785,000 | 111,400.00 | 1,896,400.00 | 2,007,800.00 |
| 7/1/2039 | | | | 75,700.00 | 75,700.00 | |
| 1/1/2040 | 3,785,000 | 4.000% | 1,855,000 | 75,700.00 | 1,930,700.00 | 2,006,400.00 |
| 7/1/2040 | | | | 38,600.00 | 38,600.00 | |
| 1/1/2041 | 1,930,000 | 4.000% | 1,930,000 | 38,600.00 | 1,968,600.00 | 2,007,200.00 |
| TOTALS | | | $ 24,445,000 | $ 13,068,151.11 | $ 37,513,151.11 | $ 37,513,151.11 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

SCHEDULE OF PROPOSED COMBINED DEBT SERVICE

| PAYMENT DATE | 2006A-1 BONDS | 2012A BONDS | 2012C BONDS | 2013 BONDS | 2017 BONDS | 2019 BONDS | PROPOSED 2020 BONDS | TOTAL DEBT SERVICE | BOND YEAR TOTAL |
|---|---|---|---|---|---|---|---|---|---|
| 1/1/2020 | $ 481,385.04 | $ 442,225.00 | $ 275,918.13 | $ 2,239,165.50 | $ 367,250.00 | $ 891,701.39 | | $ 4,697,645.06 | $ 4,697,645.06 |
| 7/1/2020 | 79,397.68 | 71,750.00 | 58,230.63 | 59,941.50 | 84,450.00 | 95,150.00 | | 448,919.81 | |
| 1/1/2021 | 490,097.68 | 446,750.00 | 278,230.63 | 2,259,941.50 | 369,450.00 | 925,150.00 | | 4,769,619.81 | 5,218,539.62 |
| 7/1/2021 | 69,643.55 | 66,125.00 | 55,480.63 | 40,361.50 | 81,600.00 | 86,850.00 | $ 506,451.11 | 906,511.79 | |
| 1/1/2022 | 498,243.55 | 451,125.00 | 285,480.63 | 1,135,361.50 | 376,600.00 | 931,850.00 | 484,900.00 | 4,163,560.68 | 5,070,072.47 |
| 7/1/2022 | 59,400.01 | 59,387.50 | 52,318.13 | 30,616.00 | 78,650.00 | 78,400.00 | 484,900.00 | 843,671.64 | |
| 1/1/2023 | 505,800.01 | 459,387.50 | 287,318.13 | 1,150,616.00 | 378,650.00 | 943,400.00 | 484,900.00 | 4,210,071.64 | 5,053,743.28 |
| 7/1/2023 | 48,686.41 | 52,387.50 | 49,086.88 | 20,648.00 | 75,650.00 | 61,600.00 | 484,900.00 | 792,958.79 | |
| 1/1/2024 | 517,786.41 | 462,387.50 | 294,086.88 | 1,170,648.00 | 385,650.00 | 961,600.00 | 484,900.00 | 4,277,058.79 | 5,070,017.58 |
| 7/1/2024 | 37,357.64 | 42,137.50 | 45,411.88 | 10,413.00 | 72,550.00 | 46,100.00 | 484,900.00 | 738,870.02 | |
| 1/1/2025 | 528,957.64 | 472,137.50 | 300,411.88 | 1,180,413.00 | 387,550.00 | 976,100.00 | 484,900.00 | 4,330,470.02 | 5,069,340.04 |
| 7/1/2025 | 25,485.50 | 35,150.00 | 41,586.88 | | 69,400.00 | 31,000.00 | 484,900.00 | 687,522.38 | |
| 1/1/2026 | 539,485.50 | 485,150.00 | 301,586.88 | | 394,400.00 | 991,000.00 | 484,900.00 | 3,196,522.38 | 3,884,044.76 |
| 7/1/2026 | 13,072.40 | 27,275.00 | 37,686.88 | | 66,150.00 | 11,800.00 | 484,900.00 | 640,884.28 | |
| 1/1/2027 | 554,372.40 | 487,275.00 | 312,686.88 | | 401,150.00 | 601,800.00 | 884,900.00 | 3,242,184.28 | 3,883,068.56 |
| 7/1/2027 | | 18,765.00 | 33,286.88 | | 61,125.00 | | 480,900.00 | 594,076.88 | |
| 1/1/2028 | | 498,765.00 | 318,286.88 | | 406,125.00 | | 2,065,900.00 | 3,289,076.88 | 3,883,153.76 |
| 7/1/2028 | | 9,479.00 | 28,655.63 | | 55,950.00 | | 449,200.00 | 543,284.63 | |
| 1/1/2029 | | 499,479.00 | 323,655.63 | | 415,950.00 | | 2,099,200.00 | 3,338,284.63 | 3,881,569.26 |
| 7/1/2029 | | | 23,640.63 | | 50,550.00 | | 416,200.00 | 490,390.63 | |
| 1/1/2030 | | | 333,640.63 | | 420,550.00 | | 2,636,200.00 | 3,390,390.63 | 3,880,781.26 |
| 7/1/2030 | | | 18,215.63 | | 45,000.00 | | 371,800.00 | 435,015.63 | |
| 1/1/2031 | | | 338,215.63 | | 430,000.00 | | 2,681,800.00 | 3,450,015.63 | 3,885,031.26 |
| 7/1/2031 | | | 12,415.63 | | 39,225.00 | | 325,600.00 | 377,240.63 | |
| 1/1/2032 | | | 347,415.63 | | 434,225.00 | | 1,680,600.00 | 2,462,240.63 | 2,839,481.26 |
| 7/1/2032 | | | 6,343.75 | | 33,300.00 | | 298,500.00 | 338,143.75 | |
| 1/1/2033 | | | 356,343.75 | | 443,300.00 | | 1,708,500.00 | 2,508,143.75 | 2,846,287.50 |
| 7/1/2033 | | | | | 27,150.00 | | 270,300.00 | 297,450.00 | |
| 1/1/2034 | | | | | 452,150.00 | | 1,740,300.00 | 2,192,450.00 | 2,489,900.00 |
| 7/1/2034 | | | | | 20,775.00 | | 240,900.00 | 261,675.00 | |
| 1/1/2035 | | | | | 465,775.00 | | 1,765,900.00 | 2,231,675.00 | 2,493,350.00 |
| 7/1/2035 | | | | | 14,100.00 | | 210,400.00 | 224,500.00 | |
| 1/1/2036 | | | | | 474,100.00 | | 1,795,400.00 | 2,269,500.00 | 2,494,000.00 |
| 7/1/2036 | | | | | 7,200.00 | | 178,700.00 | 185,900.00 | |
| 1/1/2037 | | | | | 487,200.00 | | 1,828,700.00 | 2,315,900.00 | 2,501,800.00 |
| 7/1/2037 | | | | | | | 145,700.00 | 145,700.00 | |
| 1/1/2038 | | | | | | | 1,860,700.00 | 1,860,700.00 | 2,006,400.00 |
| 7/1/2038 | | | | | | | 111,400.00 | 111,400.00 | |
| 1/1/2039 | | | | | | | 1,896,400.00 | 1,896,400.00 | 2,007,800.00 |
| 7/1/2039 | | | | | | | 75,700.00 | 75,700.00 | |
| 1/1/2040 | | | | | | | 1,930,700.00 | 1,930,700.00 | 2,006,400.00 |
| 7/1/2040 | | | | | | | 38,600.00 | 38,600.00 | |
| 1/1/2041 | | | | | | | 1,968,600.00 | 1,968,600.00 | 2,007,200.00 |
| TOTALS | $ 4,449,171.42 | $ 5,087,138.00 | $ 4,815,638.25 | $ 9,298,125.50 | $ 8,372,900.00 | $ 7,633,501.39 | $ 37,513,151.11 | $ 77,169,625.67 | $ 77,169,625.67 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

SCHEDULE OF CURRENT AND ADOPTED WASTEWATER RATES AND CHARGES

| **SEWER FEES** | CURRENT RATES | ADOPTED RATES (1) |
|---|---|---|
| MONTHLY USAGE CHARGE (PER 1,000 GALLONS) | | |
| INSIDE CITY USERS | $ 7.76 | $ 7.99 |
| OUTSIDE CITY USERS | 7.76 | 8.95 |
| MONTHLY BASE SERVICE CHARGE (PER METER) | | |
| INSIDE CITY USERS | $ 7.95 | $ 8.19 |
| OUTSIDE CITY USERS | 7.95 | 9.17 |
| EXCESS STRENGTH SURCHARGE (PER POUND IN EXCESS OF 300 PPM) | | |
| BOICHEMICAL OXYGEN DEMAND (BOD) | $ 0.380 | $ 0.391 |
| SUSPENDED SOLIDS (SS) | 0.310 | 0.319 |
| MONTHLY SPECIAL LABORATORY ANALYSIS CHARGE | | |
| STRENGTH OF BOD AN SS SAMPLING CHARGE | $ 166.90 | $ 171.91 |
| GREASE AND OIL SAMPLING | 156.45 | 161.14 |
| METAL SAMPLING (PER METAL PER TEST) | 34.77 | 35.81 |
| UNMETERED USERS | | |
| MINIMUM ANNUAL CHARGE - INSIDE CITY | $ 773.47 | $ 796.74 |
| MINIMUM ANNUAL CHARGE - OUTSIDE CITY | 773.47 | 892.41 |

| **STORMWATER FEES** | CURRENT RATES (2) | ADOPTED RATES (3) |
|---|---|---|
| ALL USERS | $ 4.32 | $ 5.95 |

(1) PER ORDINANCE 19-16, RATES BECOME EFFECTIVE JANUARY 1, 2020.
(2) PER ORDINANCE 19-02, RATES BECOME EFFECTIVE JULY 1, 2019.
(3) PER ORDINANCE 19-02, RATES BECOME EFFECTIVE JANUARY 1, 2020.

(SEE ACCOUNTANT'S COMPILATION REPORT)

CITY OF BLOOMINGTON, INDIANA
MUNICIPAL WASTEWATER UTILITY

UNAUDITED SUPPLEMENTAL FINANCIAL INFORMATION

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

STATEMENTS OF NET POSITION
AS OF

| ASSETS | 12/31/2019 | 12/31/2018 | 12/31/2017 |
|---|---|---|---|
| CURRENT AND ACCRUED ASSETS: | | | |
| OPERATING CASH AND EQUIVALENTS | $ 7,506,636 | $ 13,427,791 | $ 8,584,643 |
| STORMWATER CASH AND EQUIVALENTS | 422,541 | 772,110 | 654,868 |
| IMPROVEMENT CASH AND EQUIVALENTS | 6,000,000 | - | - |
| ACCOUNTS RECEIVABLE - CUSTOMERS | 103,526 | 165,725 | 810,635 |
| RECEIVABLE FROM WATER UTILITY | - | - | 304 |
| TOTAL CURRENT AND ACCRUED ASSETS | 14,032,703 | 14,365,626 | 10,050,450 |
| NON-CURENT ASSETS: | | | |
| RESTRICTED ASSETS: | | | |
| DEBT SERVICE RESERVE CASH AND EQUIVALENTS | 5,244,768 | 5,817,513 | 5,726,301 |
| BOND AND INTEREST CASH AND EQUIVALENTS | 4,734,647 | 4,778,046 | 5,706,127 |
| CONSTRUCTION CASH AND EQUIVALENTS | 3,206,063 | 647,358 | 5,283,434 |
| TOTAL RESTRICTED ASSETS | 13,185,478 | 11,242,917 | 16,715,862 |
| CAPITAL ASSETS | | | |
| UTILITY PLANT IN SERVICE | 185,383,161 | 181,736,407 | 180,592,856 |
| ACCUMULATED DEPRECIATION | (98,500,946) | (94,709,621) | (91,232,269) |
| CONSTRUCTION IN PROGRESS | 19,327,546 | 10,563,475 | 4,141,177 |
| NET CAPITAL ASSETS | 106,209,761 | 97,590,261 | 93,501,764 |
| TOTAL NON-CURRENT ASSETS | 119,395,239 | 108,833,178 | 110,217,626 |
| DEFERRED DEBITS: | | | |
| DEFERRED BOND ISSUANCE COSTS | 186,795 | 217,661 | 248,526 |
| DEFERRED LOSS ON REFUNDING | 427,021 | 512,425 | 597,829 |
| DEFERRED BOND DISCOUNT | 214,783 | 184,503 | 193,075 |
| TOTAL DEFERRED DEBITS | 828,599 | 914,589 | 1,039,430 |
| TOTAL ASSETS AND DEFERRED DEBITS | $ 134,256,541 | $ 124,113,393 | $ 121,307,506 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

STATEMENTS OF NET POSITION
(CONTINUED)
AS OF

| LIABILITIES AND NET POSITION | 12/31/2019 | 12/31/2018 | 12/31/2017 |
|---|---|---|---|
| CURRENT AND ACCRUED LIABILITIES: | | | |
| ACCOUNTS PAYABLE | $ 920,104 | $ 782,556 | $ 271,856 |
| PREPAID COLLECTIONS | 786,313 | 820,010 | 668,007 |
| PAYABLE TO CITY | 9,758 | 12,264 | 10,056 |
| ACCRUED SALARIES AND WAGES | 250,182 | 230,303 | 192,365 |
| COMPENSATED ABSENCES PAYABLE - CURRENT | 74,720 | 73,535 | 66,572 |
| CURRENT PORTION OF LONG-TERM DEBT: | | | |
| LEASES PAYABLE | 378,000 | 260,178 | 322,978 |
| BONDS PAYABLE | 4,272,700 | 4,203,867 | 5,086,643 |
| TOTAL CURRENT AND ACCRUED LIABILITIES | 6,691,777 | 6,382,713 | 6,618,477 |
| NON-CURRENT LIABILITIES: | | | |
| COMPENSATED ABSENCES PAYABLE | 202,245 | 214,546 | 231,540 |
| CAPITAL LEASES PAYABLE | 5,022,000 | - | 260,178 |
| 2019 REFUNDING BONDS PAYABLE | 5,920,000 | - | - |
| 2017 BONDS PAYABLE | 6,240,000 | 6,520,000 | 6,795,000 |
| 2015 BONDS PAYABLE | 3,301,700 | 3,694,400 | 4,069,000 |
| 2013 BONDS PAYABLE | 6,735,000 | 8,895,000 | 11,020,000 |
| 2012 BONDS PAYABLE | 7,495,000 | 8,075,000 | 8,635,000 |
| SRF BONDS PAYABLE | - | 7,686,367 | 8,555,634 |
| TOTAL NON-CURRENT LIABILITIES | 34,915,945 | 35,085,313 | 39,566,352 |
| DEFERRED CREDITS: | | | |
| DEFERRED BOND PREMIUM | 759,788 | 332,664 | 367,988 |
| TOTAL LIABILITIES AND DEFERRED CREDITS | $ 42,367,510 | $ 41,800,690 | $ 46,552,817 |
| NET POSITION: | | | |
| INVESTMENT IN CAPITAL ASSETS | $ 70,051,424 | $ 58,902,807 | $ 54,040,765 |
| RESTRICTED | 9,979,415 | 10,595,559 | 11,432,428 |
| UNRESTRICTED | 11,858,192 | 12,814,337 | 9,281,496 |
| TOTAL NET POSITION | $ 91,889,031 | $ 82,312,703 | $ 74,754,689 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

STATEMENTS OF REVENUES, EXPENSES AND CHANGES IN NET POSITION
FOR THE 12 MONTHS ENDED

| | 12/31/2019 | 12/31/2018 | 12/31/2017 |
|---|---|---|---|
| OPERATING REVENUES: | | | |
| RESIDENTIAL SALES | $ 13,279,238 | $ 13,172,025 | $ 13,049,727 |
| COMMERCIAL SALES | 3,869,056 | 3,979,180 | 3,776,800 |
| INDUSTRIAL SALES | 402,741 | 389,124 | 345,131 |
| MUNICIPAL SALES | 2,972,254 | 4,196,297 | 3,787,888 |
| STORMWATER FEES | 1,791,367 | 1,419,440 | 1,416,270 |
| PENALTIES | 213,220 | 164,683 | 195,922 |
| TOTAL OPERATING REVENUES | 22,527,876 | 23,320,749 | 22,571,738 |
| OPERATING EXPENSES: | | | |
| COLLECTION SYSTEM | 2,336,118 | 2,177,255 | 2,191,557 |
| TREATMENT PLANTS | 4,837,831 | 4,917,488 | 4,675,953 |
| LABORATORY | 219,913 | 200,045 | 186,475 |
| CUSTOMER ACCOUNTS | 1,217,365 | 1,247,305 | 1,156,534 |
| ADMINISTRATIVE AND GENERAL | 2,533,880 | 2,136,458 | 2,498,412 |
| ENGINEERING | 882,485 | 855,846 | 792,548 |
| STORMWATER | 832,459 | 726,413 | 642,158 |
| SUBTOTAL | 12,860,051 | 12,260,810 | 12,143,637 |
| DEPRECIATION | 3,791,325 | 3,759,870 | 3,707,916 |
| TOTAL OPERATING EXPENSES | 16,651,376 | 16,020,680 | 15,851,553 |
| NET OPERATING INCOME | 5,876,500 | 7,300,069 | 6,720,185 |
| NON-OPERATING REVENUES/(EXPENSES): | | | |
| CONNECTION CHARGES | 781,109 | 1,040,234 | 483,818 |
| INTEREST AND INVESTMENT INCOME | 500,046 | 199,230 | 32,078 |
| OTHER REVENUES/(EXPENSES) | 3,729,411 | 309,717 | 225,302 |
| INTEREST EXPENSE | (1,095,864) | (1,189,884) | (1,166,627) |
| AMORTIZATION EXPENSE | (70,281) | (70,486) | (70,681) |
| PAYMENT IN LIEU OF TAXES | - | - | (356,709) |
| BOND ISSUANCE COSTS | (144,593) | (30,866) | (126,127) |
| TOTAL NON-OPERATING REVENUE/(EXPENSE) | 3,699,828 | 257,945 | (978,946) |
| CHANGE IN NET POSITION | 9,576,328 | 7,558,014 | 5,741,239 |
| NET POSITION - BEGINNING | 82,312,703 | 74,754,689 | 69,013,450 |
| NET POSITION - ENDING | $ 91,889,031 | $ 82,312,703 | $ 74,754,689 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

STATEMENTS OF CASH FLOWS
FOR THE 12 MONTHS ENDED

| | 12/31/2019 | 12/31/2018 | 12/31/2017 |
|---|---|---|---|
| CASH FLOW FROM OPERATING ACTIVITIES: | | | |
| CASH RECEIVED FROM CUSTOMERS | $ 22,556,378 | $ 24,117,966 | $ 22,194,232 |
| CASH PAID TO SUPPLIERS, EMPLOYERS AND OTHERS | (12,716,246) | (11,719,995) | (12,057,976) |
| INTEREST ON INVESTMENTS | 500,046 | 199,230 | 32,078 |
| NET CASH FROM OPERATING ACTIVITIES | 10,340,178 | 12,597,201 | 10,168,334 |
| CASH FLOWS FROM OTHER ACTIVITIES: | | | |
| OTHER REVENUES/(EXPENSES) | 4,365,927 | 1,319,085 | 582,993 |
| PAYMENT IN LIEU OF TAXES | - | - | (356,709) |
| NET CASH FROM OTHER ACTIVITIES | 4,365,927 | 1,319,085 | 226,284 |
| CASH FLOWS FROM CAPITAL AND FINANCING ACTIVITIES: | | | |
| ACQUISITION AND CONSTRUCTION OF CAPITAL ASSETS | (6,027,046) | (7,829,336) | (3,986,617) |
| BOND PROCEEDS | 7,235,245 | - | 6,795,000 |
| PRINCIPAL PAID ON LONG-TERM DEBT | (13,056,779) | (5,409,621) | (5,331,121) |
| INTEREST PAID ON LONG-TERM DEBT | (1,185,688) | (1,189,884) | (1,166,627) |
| NET CASH FROM CAPITAL AND FINANCING ACTIVITIES | (13,034,268) | (14,428,841) | (3,689,365) |
| INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS | 1,671,837 | (512,555) | 6,705,253 |
| BEGINNING CASH AND CASH EQUIVALENTS | 25,442,818 | 25,955,373 | 19,250,120 |
| ENDING CASH AND CASH EQUIVALENTS | $ 27,114,655 | $ 25,442,818 | $ 25,955,373 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

STATEMENTS OF CASH FLOWS
FOR THE 12 MONTHS ENDED
(CONTINUED)

| RECONCILIATION OF NET INCOME TO CASH PROVIDED FROM OPERATIONS | 12/31/2019 | 12/31/2018 | 12/31/2017 |
|---|---|---|---|
| NET OPERATING REVENUES | $ 5,876,500 | $ 7,300,069 | $ 6,720,185 |
| ADJUSTMENTS TO RECONCILE NET INCOME TO NET CASH PROVIDED BY OPERATIONS: | | | |
| DEPRECIATION | 3,791,325 | 3,759,870 | 3,707,916 |
| INTEREST ON INVESTMENTS | 500,046 | 199,230 | 32,078 |
| CHANGES IN CURRENT ASSETS AND LIABILITIES: | | | |
| (INCREASE) DECREASE IN: | | | |
| ACCOUNTS RECEIVABLE - CUSTOMERS | 62,199 | 644,910 | (381,449) |
| RECEIVABLE FROM WATER UTILITY | - | 304 | (304) |
| INCREASE (DECREASE) IN: | | | |
| ACCOUNTS PAYABLE | 137,548 | 510,700 | 80,989 |
| PREPAID COLLECTIONS | (33,697) | 152,003 | 4,247 |
| PAYABLE TO CITY | (2,506) | 2,208 | 2,095 |
| ACCRUED SALARIES AND WAGES | 19,879 | 37,938 | (567) |
| COMPENSATED ABSENCES PAYABLE: | | | |
| CURRENT | 1,185 | 6,963 | (1,866) |
| NON-CURRENT | (12,301) | (16,994) | 5,010 |
| NET CASH PROVIDED FROM OPERATIONS | $ 10,340,178 | $ 12,597,201 | $ 10,168,334 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

DETAIL OF OPERATION AND MAINTENANCE EXPENSES
FOR THE 12 MONTHS ENDED

| OPERATING EXPENSES | 12/31/2019 | 12/31/2018 | 12/31/2017 |
|---|---|---|---|
| COLLECTION SYSTEM: | | | |
| SALARIES AND WAGES | $ 1,191,371 | $ 1,090,087 | $ 1,085,565 |
| EMPLOYEE BENEFITS AND PENSIONS | 618,513 | 597,746 | 600,811 |
| TRANSPORTATION | 234,833 | 205,160 | 177,415 |
| MATERIALS AND SUPPLIES | 189,661 | 183,423 | 224,465 |
| PURCHASED POWER | 86,008 | 80,793 | 76,588 |
| REPAIRS AND MAINTENANCE | 3,205 | 7,536 | 12,157 |
| OTHER UTILITIES | 276 | 279 | 243 |
| PHONE AND INTERNET | 4,202 | 7,450 | 6,337 |
| SOFTWARE EXPENSE | 707 | 1,127 | 900 |
| MISCELLANEOUS EXPENSES | 7,342 | 3,654 | 7,076 |
| TOTAL COLLECTION SYSTEM EXPENSES | 2,336,118 | 2,177,255 | 2,191,557 |
| TREATMENT PLANTS: | | | |
| SALARIES AND WAGES | $ 1,706,517 | $ 1,616,688 | $ 1,553,126 |
| EMPLOYEE BENEFITS AND PENSIONS | 787,639 | 814,655 | 757,665 |
| PURCHASED POWER | 926,281 | 1,168,628 | 1,078,322 |
| SLUDGE REMOVAL | 310,613 | 343,690 | 282,417 |
| MATERIALS AND SUPPLIES | 328,769 | 329,560 | 410,838 |
| CHEMICALS | 290,184 | 220,350 | 232,930 |
| REPAIRS AND MAINTENANCE | 117,256 | 105,918 | 67,032 |
| TRANSPORTATION | 140,965 | 117,482 | 99,106 |
| OTHER UTILITIES | 119,371 | 144,645 | 116,789 |
| PHONE AND INTERNET | 10,302 | 9,827 | 8,514 |
| CONTRACTUAL SERVICES | 46,264 | 31,478 | 35,365 |
| SOFTWARE EXPENSE | 8,838 | 3,151 | - |
| MISCELLANEOUS EXPENSES | 44,832 | 11,416 | 33,849 |
| TOTAL TREATMENT PLANTS EXPENSES | 4,837,831 | 4,917,488 | 4,675,953 |
| LABORATORY: | | | |
| SALARIES AND WAGES | 109,369 | 105,773 | 106,296 |
| EMPLOYEE BENEFITS AND PENSIONS | 58,042 | 55,660 | 52,828 |
| MATERIALS AND SUPPLIES | 29,975 | 19,583 | 19,248 |
| CHEMICALS | 15,774 | 15,123 | 7,528 |
| CONTRACTUAL SERVICES | 6,240 | 3,906 | 430 |
| MISCELLANEOUS EXPENSES | 513 | - | 145 |
| TOTAL LABORATORY EXPENSES | 219,913 | 200,045 | 186,475 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

DETAIL OF OPERATION AND MAINTENANCE EXPENSES
(CONTINUED)
FOR THE 12 MONTHS ENDED

| | 12/31/2019 | 12/31/2018 | 12/31/2017 |
|---|---|---|---|
| CUSTOMER ACCOUNTS: | | | |
| SALARIES AND WAGES | $ 528,834 | $ 548,611 | $ 535,637 |
| EMPLOYEE BENEFITS AND PENSIONS | 299,560 | 300,714 | 296,575 |
| MATERIALS AND SUPPLIES | 145,560 | 172,493 | 153,668 |
| REPAIRS AND MAINTENANCE | - | 4,061 | 249 |
| TRANSPORTATION | 28,784 | 29,922 | 21,440 |
| PHONE AND INTERNET | 545 | 711 | 663 |
| SOFTWARE EXPENSE | - | 1,170 | - |
| BAD DEBT EXPENSE | 7,892 | 7,634 | - |
| MISCELLANEOUS EXPENSES | 206,190 | 181,989 | 148,302 |
| TOTAL CUSTOMER ACCOUNTS EXPENSES | 1,217,365 | 1,247,305 | 1,156,534 |
| ADMINISTRATIVE AND GENERAL: | | | |
| SALARIES AND WAGES | $ 1,069,122 | $ 956,571 | $ 901,872 |
| EMPLOYEE BENEFITS AND PENSIONS | 451,402 | 481,447 | 435,664 |
| CONTRACTUAL SERVICES | 613,393 | 322,398 | 804,882 |
| MATERIALS AND SUPPLIES | 81,257 | 66,922 | 73,266 |
| REPAIRS AND MAINTENANCE | 34,250 | 36,456 | 42,184 |
| TRANSPORTATION | 22,170 | 18,260 | 16,053 |
| PURCHASED POWER | 12,677 | 17,322 | 24,520 |
| OTHER UTILITIES | 5,109 | 3,844 | 3,297 |
| PHONE AND INTERNET | 46,973 | 71,255 | 60,290 |
| SOFTWARE EXPENSE | 46,372 | 32,414 | 21,252 |
| INSURANCE | 101,396 | 88,441 | 92,845 |
| MISCELLANEOUS EXPENSES | 49,759 | 41,128 | 22,287 |
| TOTAL ADMINISTRATIVE AND GENERAL EXPENSES | 2,533,880 | 2,136,458 | 2,498,412 |
| ENGINEERING: | | | |
| SALARIES AND WAGES | $ 541,276 | $ 508,859 | $ 495,335 |
| EMPLOYEE BENEFITS AND PENSIONS | 269,776 | 268,095 | 241,662 |
| CONTRACTUAL SERVICES | - | 9,988 | 1,117 |
| MATERIALS AND SUPPLIES | 21,471 | 38,494 | 23,134 |
| REPAIRS AND MAINTENANCE | 2,715 | - | 1,305 |
| TRANSPORTATION | 23,307 | 19,159 | 17,964 |
| PHONE AND INTERNET | 4,381 | 2,832 | 2,843 |
| SOFTWARE EXPENSE | 8,600 | 3,222 | 5,400 |
| MISCELLANEOUS EXPENSES | 10,959 | 5,197 | 3,788 |
| TOTAL ENGINEERING EXPENSES | 882,485 | 855,846 | 792,548 |

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

DETAIL OF OPERATION AND MAINTENANCE EXPENSES
(CONTINUED)
FOR THE 12 MONTHS ENDED

| | 12/31/2019 | 12/31/2018 | 12/31/2017 |
|---|---|---|---|
| STORMWATER: | | | |
| SALARIES AND WAGES | $ 453,861 | $ 433,202 | $ 368,102 |
| EMPLOYEE BENEFITS AND PENSIONS | 267,957 | 220,639 | 206,643 |
| CONTRACTUAL SERVICES | 4,473 | 3,619 | 5,282 |
| MATERIALS AND SUPPLIES | 23,858 | 15,897 | 11,404 |
| REPAIRS AND MAINTENANCE | 23,443 | 21,154 | 21,163 |
| TRANSPORTATION | 925 | 489 | 881 |
| INSURANCE | 27,401 | 28,393 | 28,002 |
| BAD DEBT EXPENSE | 1,388 | 1,290 | - |
| MISCELLANEOUS EXPENSES | 29,153 | 1,730 | 681 |
| TOTAL STORMWATER EXPENSES | 832,459 | 726,413 | 642,158 |
| DEPRECIATION EXPENSE | 3,791,325 | 3,759,870 | 3,707,916 |
| TOTAL OPERATING EXPENSES | $ 16,651,376 | $ 16,020,680 | $ 15,851,553 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

AMORTIZATION SCHEDULE OF $3,694,400 OF OUTSTANDING AMENDED SEWAGE WORKS REVENUE BONDS OF 2006, SERIES A-1

DATED MAY 4, 2006; AMENDED MARCH 26, 2015

| PAYMENT DATE | PRINCIPAL BALANCE | INTEREST RATES | DEBT SERVICE PRINCIPAL | DEBT SERVICE INTEREST | DEBT SERVICE TOTAL | BOND YEAR TOTAL |
|---|---|---|---|---|---|---|
| 1/1/2020 | $ 3,694,400 | 4.730% | $ 392,700 | $ 88,685.04 | $ 481,385.04 | $ 481,385.04 |
| 7/1/2020 | 3,301,700 | | | 79,397.68 | 79,397.68 | |
| 1/1/2021 | 3,301,700 | 4.750% | 410,700 | 79,397.68 | 490,097.68 | 569,495.36 |
| 7/1/2021 | 2,891,000 | | | 69,643.55 | 69,643.55 | |
| 1/1/2022 | 2,891,000 | 4.780% | 428,600 | 69,643.55 | 498,243.55 | 567,887.10 |
| 7/1/2022 | 2,462,400 | | | 59,400.01 | 59,400.01 | |
| 1/1/2023 | 2,462,400 | 4.800% | 446,400 | 59,400.01 | 505,800.01 | 565,200.02 |
| 7/1/2023 | 2,016,000 | | | 48,686.41 | 48,686.41 | |
| 1/1/2024 | 2,016,000 | 4.830% | 469,100 | 48,686.41 | 517,786.41 | 566,472.82 |
| 7/1/2024 | 1,546,900 | | | 37,357.64 | 37,357.64 | |
| 1/1/2025 | 1,546,900 | 4.830% | 491,600 | 37,357.64 | 528,957.64 | 566,315.28 |
| 7/1/2025 | 1,055,300 | | | 25,485.50 | 25,485.50 | |
| 1/1/2026 | 1,055,300 | 4.830% | 514,000 | 25,485.50 | 539,485.50 | 564,971.00 |
| 7/1/2026 | 541,300 | | | 13,072.40 | 13,072.40 | |
| 1/1/2027 | 541,300 | 4.830% | 541,300 | 13,072.40 | 554,372.40 | 567,444.80 |
| TOTALS | | | $ 3,694,400 | $ 754,771.42 | $ 4,449,171.42 | $ 4,449,171.42 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

AMORTIZATION SCHEDULE OF $4,245,000 OF OUTSTANDING SEWAGE WORKS REFUNDING REVENUE BONDS, SERIES 2012A

DATED APRIL 10, 2012

| PAYMENT DATE | PRINCIPAL BALANCE | INTEREST RATES | DEBT SERVICE PRINCIPAL | DEBT SERVICE INTEREST | DEBT SERVICE TOTAL | BOND YEAR TOTAL |
|---|---|---|---|---|---|---|
| 1/1/2020 | $ 4,245,000 | 3.000% | $ 365,000 | $ 77,225.00 | $ 442,225.00 | $ 442,225.00 |
| 7/1/2020 | 3,880,000 | | | 71,750.00 | 71,750.00 | |
| 1/1/2021 | 3,880,000 | 3.000% | 375,000 | 71,750.00 | 446,750.00 | 518,500.00 |
| 7/1/2021 | 3,505,000 | | | 66,125.00 | 66,125.00 | |
| 1/1/2022 | 3,505,000 | 3.500% | 385,000 | 66,125.00 | 451,125.00 | 517,250.00 |
| 7/1/2022 | 3,120,000 | | | 59,387.50 | 59,387.50 | |
| 1/1/2023 | 3,120,000 | 3.500% | 400,000 | 59,387.50 | 459,387.50 | 518,775.00 |
| 7/1/2023 | 2,720,000 | | | 52,387.50 | 52,387.50 | |
| 1/1/2024 | 2,720,000 | 5.000% | 410,000 | 52,387.50 | 462,387.50 | 514,775.00 |
| 7/1/2024 | 2,310,000 | | | 42,137.50 | 42,137.50 | |
| 1/1/2025 | 2,310,000 | 3.250% | 430,000 | 42,137.50 | 472,137.50 | 514,275.00 |
| 7/1/2025 | 1,880,000 | | | 35,150.00 | 35,150.00 | |
| 1/1/2026 | 1,880,000 | 3.500% | 450,000 | 35,150.00 | 485,150.00 | 520,300.00 |
| 7/1/2026 | 1,430,000 | | | 27,275.00 | 27,275.00 | |
| 1/1/2027 | 1,430,000 | 3.700% | 460,000 | 27,275.00 | 487,275.00 | 514,550.00 |
| 7/1/2027 | 970,000 | | | 18,765.00 | 18,765.00 | |
| 1/1/2028 | 970,000 | (1) | 480,000 | 18,765.00 | 498,765.00 | 517,530.00 |
| 7/1/2028 | 490,000 | | | 9,479.00 | 9,479.00 | |
| 1/1/2029 | 490,000 | (2) | 490,000 | 9,479.00 | 499,479.00 | 508,958.00 |
| TOTALS | | | $ 4,245,000 | $ 842,138.00 | $ 5,087,138.00 | $ 5,087,138.00 |

BI-FURCATED BONDS

| REF. | DATE | PRINCIPAL | COUPON | PRINCIPAL | COUPON |
|---|---|---|---|---|---|
| (1) | 1/1/2028 | $165,000 | 4.00% | $315,000 | 3.80% |
| (2) | 1/1/2029 | 170,000 | 4.00% | 320,000 | 3.80% |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

AMORTIZATION SCHEDULE OF $3,830,000 OF OUTSTANDING SEWAGE WORKS REVENUE BONDS, SERIES 2012C

DATED MAY 15, 2012

| PAYMENT DATE | PRINCIPAL BALANCE | INTEREST RATES | DEBT SERVICE PRINCIPAL | DEBT SERVICE INTEREST | DEBT SERVICE TOTAL | BOND YEAR TOTAL |
|---|---|---|---|---|---|---|
| 1/1/2020 | $ 3,830,000 | 2.500% | $ 215,000 | $ 60,918.13 | $ 275,918.13 | $ 275,918.13 |
| 7/1/2020 | 3,615,000 | | | 58,230.63 | 58,230.63 | |
| 1/1/2021 | 3,615,000 | 2.500% | 220,000 | 58,230.63 | 278,230.63 | 336,461.26 |
| 7/1/2021 | 3,395,000 | | | 55,480.63 | 55,480.63 | |
| 1/1/2022 | 3,395,000 | 2.750% | 230,000 | 55,480.63 | 285,480.63 | 340,961.26 |
| 7/1/2022 | 3,165,000 | | | 52,318.13 | 52,318.13 | |
| 1/1/2023 | 3,165,000 | 2.750% | 235,000 | 52,318.13 | 287,318.13 | 339,636.26 |
| 7/1/2023 | 2,930,000 | | | 49,086.88 | 49,086.88 | |
| 1/1/2024 | 2,930,000 | 3.000% | 245,000 | 49,086.88 | 294,086.88 | 343,173.76 |
| 7/1/2024 | 2,685,000 | | | 45,411.88 | 45,411.88 | |
| 1/1/2025 | 2,685,000 | 3.000% | 255,000 | 45,411.88 | 300,411.88 | 345,823.76 |
| 7/1/2025 | 2,430,000 | | | 41,586.88 | 41,586.88 | |
| 1/1/2026 | 2,430,000 | 3.000% | 260,000 | 41,586.88 | 301,586.88 | 343,173.76 |
| 7/1/2026 | 2,170,000 | | | 37,686.88 | 37,686.88 | |
| 1/1/2027 | 2,170,000 | 3.200% | 275,000 | 37,686.88 | 312,686.88 | 350,373.76 |
| 7/1/2027 | 1,895,000 | | | 33,286.88 | 33,286.88 | |
| 1/1/2028 | 1,895,000 | 3.250% | 285,000 | 33,286.88 | 318,286.88 | 351,573.76 |
| 7/1/2028 | 1,610,000 | | | 28,655.63 | 28,655.63 | |
| 1/1/2029 | 1,610,000 | 3.400% | 295,000 | 28,655.63 | 323,655.63 | 352,311.26 |
| 7/1/2029 | 1,315,000 | | | 23,640.63 | 23,640.63 | |
| 1/1/2030 | 1,315,000 | 3.500% | 310,000 | 23,640.63 | 333,640.63 | 357,281.26 |
| 7/1/2030 | 1,005,000 | | | 18,215.63 | 18,215.63 | |
| 1/1/2031 | 1,005,000 | 3.625% | 320,000 | 18,215.63 | 338,215.63 | 356,431.26 |
| 7/1/2031 | 685,000 | | | 12,415.63 | 12,415.63 | |
| 1/1/2032 | 685,000 | 3.625% | 335,000 | 12,415.63 | 347,415.63 | 359,831.26 |
| 7/1/2032 | 350,000 | | | 6,343.75 | 6,343.75 | |
| 1/1/2033 | 350,000 | 3.625% | 350,000 | 6,343.75 | 356,343.75 | 362,687.50 |
| TOTALS | | | $ 3,830,000 | $ 985,638.25 | $ 4,815,638.25 | $ 4,815,638.25 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

AMORTIZATION SCHEDULE OF $8,895,000 OF OUTSTANDING SEWAGE WORKS REFUNDING REVENUE BONDS, SERIES 2013

DATED MAY 17, 2013

| PAYMENT DATE | PRINCIPAL BALANCE | INTEREST RATES | DEBT SERVICE PRINCIPAL | DEBT SERVICE INTEREST | DEBT SERVICE TOTAL | BOND YEAR TOTAL |
|---|---|---|---|---|---|---|
| 1/1/2020 | $ 8,895,000 | 1.780% | $ 2,160,000 | $ 79,165.50 | $ 2,239,165.50 | $ 2,239,165.50 |
| 7/1/2020 | 6,735,000 | | | 59,941.50 | 59,941.50 | |
| 1/1/2021 | 6,735,000 | 1.780% | 2,200,000 | 59,941.50 | 2,259,941.50 | 2,319,883.00 |
| 7/1/2021 | 4,535,000 | | | 40,361.50 | 40,361.50 | |
| 1/1/2022 | 4,535,000 | 1.780% | 1,095,000 | 40,361.50 | 1,135,361.50 | 1,175,723.00 |
| 7/1/2022 | 3,440,000 | | | 30,616.00 | 30,616.00 | |
| 1/1/2023 | 3,440,000 | 1.780% | 1,120,000 | 30,616.00 | 1,150,616.00 | 1,181,232.00 |
| 7/1/2023 | 2,320,000 | | | 20,648.00 | 20,648.00 | |
| 1/1/2024 | 2,320,000 | 1.780% | 1,150,000 | 20,648.00 | 1,170,648.00 | 1,191,296.00 |
| 7/1/2024 | 1,170,000 | | | 10,413.00 | 10,413.00 | |
| 1/1/2025 | 1,170,000 | 1.780% | 1,170,000 | 10,413.00 | 1,180,413.00 | 1,190,826.00 |
| TOTALS | | | $ 8,895,000 | $ 403,125.50 | $ 9,298,125.50 | $ 9,298,125.50 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

AMORTIZATION SCHEDULE OF $6,520,000 OF OUTSTANDING SEWAGE WORKS REVENUE BONDS OF 2017

DATED AUGUST 8, 2017

| PAYMENT DATE | PRINCIPAL BALANCE | INTEREST RATES | DEBT SERVICE PRINCIPAL | DEBT SERVICE INTEREST | DEBT SERVICE TOTAL | BOND YEAR TOTAL |
|---|---|---|---|---|---|---|
| 1/1/2020 | $ 6,520,000 | 2.000% | $ 280,000 | $ 87,250.00 | $ 367,250.00 | $ 367,250.00 |
| 7/1/2020 | 6,240,000 | | | 84,450.00 | 84,450.00 | |
| 1/1/2021 | 6,240,000 | 2.000% | 285,000 | 84,450.00 | 369,450.00 | 453,900.00 |
| 7/1/2021 | 5,955,000 | | | 81,600.00 | 81,600.00 | |
| 1/1/2022 | 5,955,000 | 2.000% | 295,000 | 81,600.00 | 376,600.00 | 458,200.00 |
| 7/1/2022 | 5,660,000 | | | 78,650.00 | 78,650.00 | |
| 1/1/2023 | 5,660,000 | 2.000% | 300,000 | 78,650.00 | 378,650.00 | 457,300.00 |
| 7/1/2023 | 5,360,000 | | | 75,650.00 | 75,650.00 | |
| 1/1/2024 | 5,360,000 | 2.000% | 310,000 | 75,650.00 | 385,650.00 | 461,300.00 |
| 7/1/2024 | 5,050,000 | | | 72,550.00 | 72,550.00 | |
| 1/1/2025 | 5,050,000 | 2.000% | 315,000 | 72,550.00 | 387,550.00 | 460,100.00 |
| 7/1/2025 | 4,735,000 | | | 69,400.00 | 69,400.00 | |
| 1/1/2026 | 4,735,000 | 2.000% | 325,000 | 69,400.00 | 394,400.00 | 463,800.00 |
| 7/1/2026 | 4,410,000 | | | 66,150.00 | 66,150.00 | |
| 1/1/2027 | 4,410,000 | 3.000% | 335,000 | 66,150.00 | 401,150.00 | 467,300.00 |
| 7/1/2027 | 4,075,000 | | | 61,125.00 | 61,125.00 | |
| 1/1/2028 | 4,075,000 | 3.000% | 345,000 | 61,125.00 | 406,125.00 | 467,250.00 |
| 7/1/2028 | 3,730,000 | | | 55,950.00 | 55,950.00 | |
| 1/1/2029 | 3,730,000 | 3.000% | 360,000 | 55,950.00 | 415,950.00 | 471,900.00 |
| 7/1/2029 | 3,370,000 | | | 50,550.00 | 50,550.00 | |
| 1/1/2030 | 3,370,000 | 3.000% | 370,000 | 50,550.00 | 420,550.00 | 471,100.00 |
| 7/1/2030 | 3,000,000 | | | 45,000.00 | 45,000.00 | |
| 1/1/2031 | 3,000,000 | 3.000% | 385,000 | 45,000.00 | 430,000.00 | 475,000.00 |
| 7/1/2031 | 2,615,000 | | | 39,225.00 | 39,225.00 | |
| 1/1/2032 | 2,615,000 | 3.000% | 395,000 | 39,225.00 | 434,225.00 | 473,450.00 |
| 7/1/2032 | 2,220,000 | | | 33,300.00 | 33,300.00 | |
| 1/1/2033 | 2,220,000 | 3.000% | 410,000 | 33,300.00 | 443,300.00 | 476,600.00 |
| 7/1/2033 | 1,810,000 | | | 27,150.00 | 27,150.00 | |
| 1/1/2034 | 1,810,000 | 3.000% | 425,000 | 27,150.00 | 452,150.00 | 479,300.00 |
| 7/1/2034 | 1,385,000 | | | 20,775.00 | 20,775.00 | |
| 1/1/2035 | 1,385,000 | 3.000% | 445,000 | 20,775.00 | 465,775.00 | 486,550.00 |
| 7/1/2035 | 940,000 | | | 14,100.00 | 14,100.00 | |
| 1/1/2036 | 940,000 | 3.000% | 460,000 | 14,100.00 | 474,100.00 | 488,200.00 |
| 7/1/2036 | 480,000 | | | 7,200.00 | 7,200.00 | |
| 1/1/2037 | 480,000 | 3.000% | 480,000 | 7,200.00 | 487,200.00 | 494,400.00 |
| TOTALS | | | $ 6,520,000 | $ 1,852,900.00 | $ 8,372,900.00 | $ 8,372,900.00 |

(SEE ACCOUNTANT'S COMPILATION REPORT)

BLOOMINGTON MUNICIPAL WASTEWATER UTILITY

AMORTIZATION SCHEDULE OF $6,780,000 OF OUTSTANDING SEWAGE WORKS REFUNDING REVENUE BONDS, SERIES 2019

DATED DATE: NOVEMBER 6, 2019

| PAYMENT DATE | PRINCIPAL BALANCE | INTEREST RATES | DEBT SERVICE PRINCIPAL | DEBT SERVICE INTEREST | DEBT SERVICE TOTAL | BOND YEAR TOTAL |
|---|---|---|---|---|---|---|
| 1/1/2020 | $ 6,780,000 | 2.000% | $ 860,000 | $ 31,701.39 | $ 891,701.39 | $ 891,701.39 |
| 7/1/2020 | | | | 95,150.00 | 95,150.00 | |
| 1/1/2021 | 5,920,000 | 2.000% | 830,000 | 95,150.00 | 925,150.00 | 1,020,300.00 |
| 7/1/2021 | | | | 86,850.00 | 86,850.00 | |
| 1/1/2022 | 5,090,000 | 2.000% | 845,000 | 86,850.00 | 931,850.00 | 1,018,700.00 |
| 7/1/2022 | | | | 78,400.00 | 78,400.00 | |
| 1/1/2023 | 4,245,000 | (1) * | 865,000 | 78,400.00 | 943,400.00 | 1,021,800.00 |
| 7/1/2023 | | | | 61,600.00 | 61,600.00 | |
| 1/1/2024 | 3,380,000 | (2) * | 900,000 | 61,600.00 | 961,600.00 | 1,023,200.00 |
| 7/1/2024 | | | | 46,100.00 | 46,100.00 | |
| 1/1/2025 | 2,480,000 | (3) * | 930,000 | 46,100.00 | 976,100.00 | 1,022,200.00 |
| 7/1/2025 | | | | 31,000.00 | 31,000.00 | |
| 1/1/2026 | 1,550,000 | 4.000% | 960,000 | 31,000.00 | 991,000.00 | 1,022,000.00 |
| 7/1/2026 | | | | 11,800.00 | 11,800.00 | |
| 1/1/2027 | 590,000 | 4.000% | 590,000 | 11,800.00 | 601,800.00 | 613,600.00 |
| TOTALS | | | $ 6,780,000 | $ 853,501.39 | $ 7,633,501.39 | $ 7,633,501.39 |

BIFURCATED MATURITIES:

(1) $100,000 @ 3.00% and $765,000 @ 4.00%.
(2) $250,000 @ 2.00% and $650,000 @ 4.00%.
(3) $350,000 @ 2.00% and $580,000 @ 4.00%.

(SEE ACCOUNTANT'S COMPILATION REPORT)

# APPENDIX C

# FORM OF OPINION OF BOND COUNSEL

## APPENDIX C

## FORM OF OPINION OF BOND COUNSEL

*Upon the delivery of the Bonds, Barnes & Thornburg LLP, as bond counsel, proposes to deliver an opinion in substantially the following form:*

_____ __, 2020

City of Bloomington, Indiana
Bloomington, Indiana

Re: City of Bloomington, Indiana, Sewage Works Revenue Bonds of 2020

Ladies and Gentlemen:

We have acted as bond counsel to the City of Bloomington, Indiana (the "Issuer"), in connection with the issuance by the Issuer of its Sewage Works Revenue Bonds of 2020, in the aggregate principal amount of $_____ (the "Bonds"), pursuant to Indiana Code 36-9-23, as amended and in effect on the date hereof, and Ordinance No. 20-26 adopted by the Common Council of the Issuer on November 4, 2020 (the "Ordinance") authorizing the issuance of the Bonds and related matters. In such capacity, we have examined such law and such certified proceedings, certifications and other documents as we have deemed necessary to render this opinion.

Regarding questions of fact material to our opinion, we have relied on representations of the Issuer contained in the Ordinance, the certified proceedings and other certifications of public officials furnished to us, and certifications, representations and other information furnished to us by or on behalf of the Issuer and others, including, without limitation, certifications contained in the tax and arbitrage certificate of the Issuer, dated the date hereof, without undertaking to verify the same by independent investigation. We have relied upon the legal opinion of Philippa Guthrie, Esq., Corporation Counsel for the Issuer, dated the date hereof, as to the matters stated therein. We have relied upon the reports of O.W. Krohn & Associates LLP, Westfield, Indiana, independent certified public accountants, dated the date hereof, as to the matters stated therein.

Based on the foregoing, we are of the opinion that, under existing law:

1. The Issuer is a municipal corporation validly existing under the laws of the State of Indiana (the "State"), with the corporate power to adopt the Ordinance and perform its obligations thereunder and to issue the Bonds.

2. The Bonds have been duly authorized, executed and delivered by the Issuer and are valid and binding special and limited revenue obligations of the Issuer, enforceable in accordance with their terms. The Bonds rank on a parity basis with the Issuer's (a) Amended Sewage Works Revenue of 2006, Series A-1, originally dated May 4, 2006 and amended on March 26, 2015, (b) Sewage Works Refunding Revenue Bonds, Series 2012 A, dated April 10, 2012, (c) Sewage Works Revenue Bonds, Series 2012 C, dated May 15, 2012, (d) Sewage Works Refunding Revenue Bonds, Series 2013, dated May 17, 2013, (e) Sewage Works Revenue Bonds of 2017, dated August 8, 2017, and (f) Sewage Works Refunding Revenue Bonds, Series 2019, dated November 6, 2019 (clauses (a) through (f), collectively, the "Outstanding Parity Bonds"). The Bonds, the Outstanding Parity Bonds and any other bonds hereafter issued on a parity therewith, are payable solely from the Bond and Interest Account (as defined in the Ordinance) to be provided from the Net Revenues (as defined in the Ordinance) of the Issuer's Sewage Works System (as defined in the Ordinance). The Issuer has pledged the Net Revenues to the payment of the principal of and interest on the Bonds, the Outstanding Parity Bonds and any bonds hereafter issued on a parity therewith, to the extent necessary for that purpose.

3. The Ordinance has been duly adopted by the Issuer, and is a valid and binding obligation of the Issuer, enforceable against the Issuer in accordance with its terms.

4. Under Section 103 of the Internal Revenue Code of 1986, as amended and in effect on this date (the "Code"), interest on the Bonds is excludable from gross income for federal income tax purposes. The opinion set forth in the preceding sentence is subject to the condition that the Issuer comply with all requirements of the Code that must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be, or continue to be, excludable from gross income for federal income tax purposes. The Issuer has covenanted or represented that it will comply with such requirements. Failure to comply with certain of such requirements may cause the interest on the Bonds to become included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds.

5. Interest on the Bonds is not an item of tax preference for purposes of the federal alternative minimum tax.

6. Interest on the Bonds is exempt from income taxation in the State for all purposes, except the State financial institutions tax.

We have not been engaged or undertaken to review the accuracy, completeness or sufficiency of the Official Statement, dated _____ __, 2020, or any other offering material relating to the Bonds, and we express no opinion relating thereto.

We express no opinion regarding any tax consequences arising with respect to the Bonds, other than as expressly set forth herein.

With respect to the enforceability of any document or instrument, this opinion is subject to the qualifications that: (i) the enforceability of such document or instrument may be limited by

bankruptcy, insolvency, reorganization, moratorium and other similar laws relating to or affecting the enforcement of creditors' rights generally; (ii) the enforceability of equitable rights and remedies provided for in such document or instrument is subject to judicial discretion, and the enforceability of such document or instrument may be limited by general principles of equity; (iii) the enforceability of such document or instrument may be limited by public policy; and (iv) certain remedial and waiver provisions of such document or instrument may be unenforceable, provided, however, that in our opinion the unenforceability of those provisions would not, subject to the other qualifications set forth herein, affect the validity of such document or instrument or prevent the practical realization of the benefits thereof.

This opinion is given only as of the date hereof, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention, or any changes in law that may hereafter occur.

Very truly yours,

# APPENDIX D

# BOND ORDINANCE

Passed 9-0

**ORDINANCE 20-26**

**AN ORDINANCE AUTHORIZING THE ACQUISITION, CONSTRUCTION AND INSTALLATION BY THE CITY OF BLOOMINGTON, INDIANA, OF CERTAIN EXTENSIONS AND IMPROVEMENTS TO THE CITY'S SEWAGE WORKS UTILITY, THE ISSUANCE AND SALE OF REVENUE BONDS TO PROVIDE FUNDS FOR THE PAYMENT OF THE COSTS THEREOF, AND THE COLLECTION, SEGREGATION AND DISTRIBUTION OF THE REVENUES OF SUCH SEWAGE WORKS AND OTHER RELATED MATTERS**

WHEREAS, the City of Bloomington, Indiana (the "City"), has heretofore established, acquired, constructed and financed its sewage works and currently owns and operates such sewage works (the "Sewage Works") pursuant to the provisions of Indiana Code 36-9-23, as amended; and

WHEREAS, the Common Council of the City (the "Common Council") hereby finds that certain wastewater and storm water improvements, additions and extensions to the Sewage Works are necessary; and that preliminary design plans, specifications, detailed descriptions and cost estimates have been prepared and filed by the engineers employed by the City for the construction of said improvements, additions and extensions, which plans, specifications, descriptions and estimates have been or will be approved by the Utility Service Board (the "Board") and by all governmental authorities having jurisdiction thereover; and

WHEREAS, the Common Council further finds that the City has obtained estimates prepared and delivered by the engineers employed by the City for the construction of said improvements, additions and extensions and will advertise for and receive construction bids therefor; that on the basis of said estimates, the maximum estimated cost of the projects, as defined in Indiana Code 36-9-23 and Indiana Code 36-9-1, each as amended, including all authorized expenses relating thereto, including the costs of issuance of bonds on account of the financing of all or a portion thereof, is in the amount of Forty Million Dollars ($40,000,000); and

WHEREAS, the Common Council further finds that there are not sufficient funds on hand from the Sewage Works to pay the costs of the improvements, additions and extensions thereto, and that the financing of the costs of the improvements, additions and extensions to the Sewage Works should be accomplished by the issuance of revenue bonds of the Sewage Works, in an aggregate principal amount not to exceed Thirty-Two Million Dollars ($32,000,000), and, if necessary, bond anticipation notes, all on the terms and conditions set forth herein; and

WHEREAS, the Common Council finds that there are now outstanding bonds of the Sewage Works consisting of its (a) Amended Sewage Works Revenue of 2006, Series A-1, originally dated May 4, 2006 and amended on March 26, 2015, currently outstanding in the aggregate principal amount of $3,301,700, (b) Sewage Works Refunding Revenue Bonds, Series 2012 A, dated April 10, 2012, currently outstanding in the aggregate principal amount of $3,880,000, (c) Sewage Works Revenue Bonds, Series 2012 C, dated May 15, 2012, currently outstanding in the aggregate principal amount of $3,615,000, (d) Sewage Works Refunding Revenue Bonds, Series 2013, dated May 17, 2013, currently outstanding in the aggregate principal amount of $6,735,000, (e) Sewage Works Revenue Bonds of 2017, dated August 8, 2017, currently outstanding in the aggregate principal amount of $6,240,000, and (f) Sewage Works Refunding Revenue Bonds, Series 2019, dated November 6, 2019, currently outstanding in the aggregate principal amount of $5,920,000 (clauses (a) through (f), collectively, the "Outstanding Parity Bonds"), which Outstanding Parity Bonds constitute a first charge upon the Net Revenues of the sewage works; and

WHEREAS, each of the respective ordinances authorizing the Outstanding Parity Bonds allow for the issuance of additional bonds payable from the Net Revenues of the City's Sewage Works ranking on parity with the pledge thereof to the Outstanding Parity Bonds provided certain financial conditions can be met (such financial conditions, the "Parity Tests"); and

WHEREAS, the Common Council finds that the Parity Tests can be met with respect to the bonds to be issued pursuant to this ordinance, and, accordingly, such bonds will constitute a first charge against the Net Revenues (as hereinafter defined) of the Sewage Works on a parity with the pledge thereof to the Outstanding Parity Bonds and are to be issued subject to the provisions of the laws of the State of Indiana, including Indiana Code 36-9-23, as in effect on the date of delivery of the Bonds authorized herein (collectively, the "Act") and the terms and restrictions of this Ordinance; and

WHEREAS, this Common Council now finds that all conditions precedent to the adoption of an ordinance authorizing the issuance of revenue bonds and, if necessary, bond anticipation notes, have been complied with in accordance with the provisions of the Act;

NOW, THEREFORE, BE IT ORDAINED BY THE COMMON COUNCIL OF THE CITY OF BLOOMINGTON, INDIANA, THAT:

SECTION 1. Description of Projects. The City, being the owner of and engaged in operating an unencumbered Sewage Works supplying the City, its inhabitants, and the residents adjacent thereto, with sewage treatment and collection services, now finds it necessary to proceed with the construction of improvements, additions and extensions to its Sewage Works in accordance with the cost estimates and the preliminary design plans heretofore prepared and filed by the consulting engineers employed by the City, which cost estimates and preliminary design plans are by reference made a part of this ordinance as fully as if the same were attached hereto and incorporated herein and two copies of which are now on file in the Office of the City Clerk and are open for public inspection pursuant to IC 36-1-5-4, that the cost of construction of said improvements, additions and extensions to be financed by the issuance of sewage works revenue bonds shall not exceed the sum of $32,000,000, plus investment earnings on the bond and BAN proceeds, without further authorization from this Common Council.

Where used in this Ordinance, the term "City" shall be construed also to include any department, board, commission or officer or officers of the City or of any City department, board or commission. The terms "Sewage Works", "sewage works", "works", "system" and similar terms used in this Ordinance shall be construed to mean the City's existing sewage works system together with all the real estate, equipment and appurtenances thereto used in connection therewith, and all improvements, extensions and additions thereto, and replacements thereof, now or subsequently constructed or acquired as well as the drainage of storm and surface water to relieve the sewage works system of such water.

A description of the proposed improvements, additions and extensions is set forth on Exhibit A attached hereto (collectively, the "Projects"), and the Projects shall be constructed in accordance with the plans heretofore mentioned, which plans are hereby approved. Said Projects shall be constructed and the bonds herein authorized shall be issued pursuant to and in accordance with the Act.

SECTION 2. Issuance of Bonds and BANs.

(a) The City may issue, if necessary, bond anticipation notes ("the BANs") for the purpose of procuring interim financing to pay the costs of the Projects, and, if deemed appropriate, the costs of issuance of the BANs. The City may issue the BANs in one or more series, in an aggregate principal amount not to exceed Thirty-Two Million Dollars ($32,000,000), to be designated "Sewage Works Revenue Bond Anticipation Notes, Series 20__" (to be completed with the year in which the BAN is issued, together with such further or different series designation as may be necessary or appropriate). The BANs shall be lettered and numbered consecutively from R-1 and upward, and shall be in authorized denominations of $1,000 or more (or such higher denominations as the Controller of the City (the "Controller") shall determine prior to the sale of the BANs). The BANs shall be dated as of the date of delivery thereof and shall bear interest at a rate not to exceed five percent (5.0%) per annum (the exact rate or rates to be determined by

bidding or through negotiations with the purchasers of the BANs) payable upon maturity. Each series of BANs will mature no later than three (3) years after their date of delivery, unless determined otherwise by the Controller with the advice of the City's Municipal Advisor (as defined below). The BANs are subject to renewal or extension at an interest rate or rates not to exceed five percent (5.0%) per annum (the exact rate or rates to be determined by bidding or negotiation). The term of any renewal BANs may not exceed five (5) years from the date of delivery of the initial BANs. The BANs shall be registered in the name of the purchasers thereof.

The BANs shall be issued pursuant to IC 5-1-14-5, as amended, and may be sold to a financial institution or any other purchaser. The BANs shall be sold at a price not less than ninety-nine percent (99.0%) of the principal amount thereof. The principal of the BANs shall be refunded and retired out of the proceeds from the issuance and sale of the Bonds authorized hereunder. The interest on the BANs shall be payable either from the Net Revenues of the Sewage Works or from proceeds from the issuance and sale hereunder of the Bonds. The Mayor of the City (the "Mayor") and the Controller are hereby authorized and directed to execute a BAN Purchase Agreement in such form or substance as they shall approve acting upon the advice of counsel. The BANs may be made prepayable at the option of the City, in whole or in part, on dates and with premiums, if any, and subject to any other terms as determined by the Controller with the advice of the Municipal Advisor, prior to the sale of the BANs. In the case of prepayment, the principal and accrued interest due on the BANs shall be paid only from proceeds of the Bonds, except that such principal and interest due on the BANs may also be paid from other revenues and funds legally available therefor; provided, however, that such other funds are not pledged to the payment of the BANs. The Mayor and the Controller may also take such other actions or deliver such other certificates as are necessary or desirable in connection with the issuance of the BANs or the Bonds and the other documents needed for the financing as they deem necessary or desirable in connection therewith. Unless otherwise indicated by the context, references herein to the Bonds shall also apply to the BANs.

Notwithstanding any other provision of this Ordinance, if the BANs are sold to a purchaser that so agrees, the City may receive payment for the BANs in installments, and principal shall not be payable and interest shall not accrue on the BANs until such principal amount has been advanced pursuant to requests made by the City to such purchaser. In the event that the total principal amount of the BANs sold to such purchaser is not advanced to the City, the principal amount of the BANs shall be reduced accordingly.

(b) In accordance with the Act, the City shall issue, in one or more series, its sewage works revenue bonds designated "City of Bloomington, Indiana Sewage Works Revenue Bonds of 2020", with any such further or different series designation as determined by the Controller to be necessary or appropriate, in the aggregate principal amount not to exceed Thirty-Two Million Dollars ($32,000,000) (the "Bonds"), for the purpose of providing funds to (i) pay costs of the Projects, (ii) fund a debt service reserve fund or pay the premium for a debt service reserve surety policy, and (iii) pay the costs incurred on account of the issuance and sale of the Bonds, including any premiums for any municipal bond insurance policies. The principal of, redemption premium, if any, and interest on the Bonds shall be payable solely out of the Net Revenues deposited into the Sinking Fund, as defined and described herein. The Bonds shall rank on parity with the Outstanding Parity Bonds.

The Bonds shall be issued in one or more series as fully registered bonds in denominations of: (i) Five Thousand Dollars ($5,000) or any integral multiple thereof, or (ii) if sold through a private placement, in denominations of One Hundred Thousand Dollars ($100,000), plus any integral multiple of One Thousand Dollars ($1,000) in excess thereof, or the aggregate principal amount of such Bonds maturing in any year if less than $100,000; in either case not exceeding the aggregate principal amount of the Bonds maturing in any one year. The Bonds shall be numbered consecutively from R-1 upward, and shall bear interest at a rate not to exceed five percent (5.0%) per annum (the exact rate or rates to be determined by bidding or through negotiations). Interest on the Bonds shall be payable semiannually on January 1 and July 1 of each year (each an "Interest Payment Date"), commencing not earlier than January 1, 2021. The principal of the Bonds shall mature annually on January 1 of each year, or be subject to mandatory sinking fund redemption on January 1 of each year, commencing not earlier than January 1, 2021, and ending no later than January 1, 2041, until the principal is fully paid. Interest on the Bonds shall be calculated according to a 360-day calendar year containing twelve 30-day months. Subject to the terms and conditions herein, the Bonds shall mature on such dates and amounts as determined by the Controller prior to the sale of the Bonds with the advice of the Municipal Advisor.

The Bonds shall bear an original issue date which shall be the date of delivery and each Bond shall also bear the date of its authentication. Any Bond authenticated on or before the fifteenth (15th) day of the month immediately preceding the first Interest Payment Date, shall pay interest from its original date. Any Bond authenticated thereafter shall pay interest from the Interest Payment Date next preceding the date of authentication of such Bond to which interest thereon has been paid or duly provided for, unless such Bond is authenticated after the fifteenth (15th) day of the month immediately preceding an Interest Payment Date and on or before such Interest Payment Date, in which case interest thereon shall be paid from such Interest Payment Date.

The Controller is authorized to serve as, or the Mayor and Controller are authorized to appoint a qualified financial institution to serve as, the Registrar and Paying Agent for the Bonds (the "Registrar and Paying Agent") as will enable and facilitate the performance of its duties and responsibilities, and are authorized and directed to pay such fees as the Registrar and Paying Agent may reasonably charge for its services in such capacity, with such fees to be paid from the Sinking Fund as described in this Ordinance. The Registrar and Paying Agent is hereby charged with the performance of all of the duties and responsibilities customarily associated with each such position, including without limitation the authentication of the Bonds.

If wire transfer payment for the Bonds is not required, the principal of and any redemption premium on the Bonds shall be payable at the designated corporate trust operations office of the Paying Agent. Interest on the Bonds shall be paid by check or draft mailed or delivered by the Paying Agent to the registered owner thereof at the address as it appears on the registration books kept by the Registrar as of the fifteenth (15th) day of the month immediately preceding an Interest Payment Date or at such other address as may be provided to the Paying Agent in writing by such registered owner. All payments on the Bonds shall be made in any coin or currency of the United States of America which, on the dates of such payments, shall be legal tender for the payment of public or private debt.

Each Bond shall be transferable or exchangeable only on the books of the City maintained for such purpose at the designated corporate trust operations office of the Registrar, by the registered owner thereof in person, or by his or her attorney duly authorized in writing, upon surrender of such Bond together with a written instrument of transfer or exchange satisfactory to the Registrar duly executed by the registered owner or his or her attorney duly authorized in writing, and thereupon a new fully registered Bond or Bonds in the same aggregate principal amount and of the same maturity shall be executed and delivered in the name of the transferee or transferees or the registered owner, as the case may be, in exchange therefor. Each Bond may be transferred or exchanged without cost to the registered owner or his or her attorney duly authorized in writing, except for any tax or other governmental charge which may be required to be paid with respect to such transfer or exchange. The Registrar shall not be obligated to make any transfer or exchange of any Bond (i) during the fifteen (15) days immediately preceding an Interest Payment Date or (ii) after the mailing of notice calling such Bond for redemption. The City, the Registrar and the Paying Agent may treat and consider the person in whose name any Bond is registered as the absolute owner thereof for all purposes including the purpose of receiving payment of, or on account of, the principal thereof and redemption premium, if any, and interest thereon.

In the event any Bond is mutilated, lost, stolen or destroyed, the City may cause to be executed and the Registrar may authenticate a new Bond of like date, maturity and denomination as the mutilated, lost, stolen or destroyed Bond, which new Bond shall be marked in a manner to distinguish it from the Bond for which it was issued; provided, that in the case of any mutilated Bond, such mutilated Bond shall first be surrendered to the Registrar, and in the case of any lost, stolen or destroyed Bond there shall be first furnished to the Registrar evidence of such loss, theft or destruction satisfactory to the City and the Registrar, together with indemnity satisfactory to them. In the event that any such mutilated, lost, stolen or destroyed Bond shall have matured or been called for redemption, instead of causing to be issued a duplicate Bond, the Registrar and Paying Agent may pay the same upon surrender of the mutilated Bond or satisfactory indemnity and proof of loss, theft or destruction in the case of a lost, stolen or destroyed Bond. The City and the Registrar and Paying Agent may charge the owner of any such Bond with their reasonable fees and expenses in connection with the above. Every substitute Bond issued by reason of any Bond being lost, stolen or destroyed shall, with respect to such Bond, constitute a substitute contractual obligation of the City pursuant to this Ordinance, whether or not the lost, stolen or destroyed Bond shall be found at any time, and shall be entitled to all the benefits of this Ordinance, equally and proportionately with any and all other Bonds duly issued hereunder.

In the event that any Bond is not presented for payment or redemption on the date established therefor, the City may deposit in trust with the Paying Agent an amount sufficient to pay such Bond or the redemption price thereof, as appropriate, and thereafter the owner of such Bond shall look only to the funds so deposited in trust with the Paying Agent for payment and the City shall have no further obligation or liability with respect thereto.

SECTION 3. Redemption of Bonds. The Mayor and the Controller, upon consultation with the Municipal Advisor, may designate maturities of Bonds (or portion thereof in integral multiples of $5,000 principal amount each) that shall be subject to optional redemption and/or maturity sinking fund redemption, and the corresponding redemption dates, amounts and prices (including premium, if any). Except as otherwise set forth in this Ordinance, the Mayor and the Controller, upon consultation with the Municipal Advisor, are hereby authorized and directed to determine the terms governing any such redemption, as evidenced by the delivery of the Bonds.

If any Bond is issued as a term bond, the Paying Agent shall credit against the mandatory sinking fund requirement for the Bonds maturing as term bonds, and corresponding mandatory redemption obligation, in the order determined by the City, any Bonds maturing as term bonds which have previously been redeemed (otherwise than as a result of a previous mandatory redemption requirement) or delivered to the Registrar for cancellation or purchased for cancellation by the Paying Agent and not theretofore applied as a credit against any redemption obligation. Each Bond maturing as a term bond so delivered or cancelled shall be credited by the Paying Agent at 100% of the principal amount thereof against the mandatory sinking fund obligation on such mandatory sinking fund date, and any excess of such amount shall be credited on future redemption obligations, and the principal amount of the Bonds to be redeemed by operation of the mandatory sinking fund requirement shall be accordingly reduced; provided, however, the Paying Agent shall credit only such Bonds maturing as term bonds to the extent received on or before forty-five (45) days preceding the applicable mandatory redemption date.

Each Five Thousand Dollars ($5,000) principal amount shall be considered a separate bond for purposes of optional and mandatory redemption. If less than an entire maturity is called for redemption, the Bonds to be called shall be selected by lot by the Registrar.

Notice of such redemption shall be mailed by certified or registered mail at least thirty (30) days and not more than sixty (60) days prior to the scheduled redemption date to each of the registered owners of the Bonds called for redemption (unless waived by such registered owner), at the address shown on the books of the Registrar. The notice shall specify date and place of redemption, and the registration numbers of the Bonds called for redemption. The place of redemption may be at the designated corporate trust operations office of the Paying Agent or as otherwise determined by the City. Interest on the Bonds so called for redemption shall cease to accrue on the redemption date fixed in such notice, if sufficient funds are available at the place of redemption to pay the redemption price on the redemption date and when such Bonds are presented for payment.

In addition to the foregoing notice, the City may also direct that further notice of redemption of the Bonds be given, including without limitation and at the option of the City, notice described in paragraph (a) below given by the Registrar to the parties described in paragraph (b) below. No defect in any such further notice and no failure to give all or any portion of any such further notice shall in any manner defeat the effectiveness of any call for redemption of Bonds so long as notice thereof is mailed as prescribed above.

(a) If so directed by the City, each further notice of redemption given hereunder shall contain the information required above for an official notice of redemption plus (i) the CUSIP numbers of all Bonds being redeemed; (ii) the date of issue of the Bonds as originally issued; (iii) the rate of interest borne by each Bond being redeemed; (iv) the maturity date of each Bond being redeemed; and (v) any other descriptive information needed to identify accurately the Bond being redeemed.

(b) If so directed by the City, each further notice of redemption shall be sent at least thirty (30) days before the redemption date by registered or certified mail or overnight delivery service to all registered securities depositories then in the business of holding substantial amounts of obligations of types comprising the Bonds (such depositories as the Depository Trust Company of New York, New York) and to one or more national information services that disseminate notices of redemption of obligations such as the Bonds.

Upon the payment of the redemption price of the Bonds being redeemed and if so directed by the City, each check or other transfer of funds issued for such purpose shall bear the CUSIP number identifying, by issue and maturity, the Bonds being redeemed with the proceeds of such check or other transfer.

SECTION 4. Authorization for Book-Entry System. The Bonds may, in compliance with all applicable laws and as determined by the Controller based upon the advice of the Municipal Advisor, initially be issued and held in book-entry form on the books of the central depository system, The Depository Trust Company, its successors, or any successor central depository system appointed by the City from time to time (the "Clearing Agency"), without physical distribution of bonds to the purchasers. The following provisions of this Section apply in such event.

One definitive Bond of each maturity shall be delivered to the Clearing Agency (or its agent) and held in its custody. The City and Registrar may, in connection herewith, do or perform or cause to be done or performed any acts or things not adverse to the rights of the holders of the Bonds as are necessary or appropriate to accomplish or recognize such book-entry form Bonds.

During any time that the Bonds are held in book-entry form on the books of a Clearing Agency, (1) any such Bond may be registered upon Registration Record in the name of such Clearing Agency, or any nominee thereof, including Cede & Co.; (2) the Clearing Agency in whose name such Bond is so registered shall be, and the City and the Registrar and Paying Agent may deem and treat such Clearing Agency as, the absolute owner and holder of such Bond for all purposes of this Ordinance, including, without limitation, the receiving of payment of the principal of and interest and premium, if any, on such Bond, the receiving of notice and the giving of consent; (3) neither the City nor the Registrar or Paying Agent shall have any responsibility or obligation hereunder to any direct or indirect participant, within the meaning of Section 17A of the Securities Exchange Act of 1934, as amended, of such Clearing Agency, or any person on behalf of which, or otherwise in respect of which, any such participant holds any interest in any Bond, including, without limitation, any responsibility or obligation hereunder to maintain accurate records of any interest in any Bond or any responsibility or obligation hereunder with respect to the receiving of payment of principal of or interest or premium, if any, on any Bond, the receiving of notice or the giving of consent; and (4) the Clearing Agency is not required to present any Bond called for partial redemption, if any, prior to receiving payment so long as the Registrar and Paying Agent and the Clearing Agency have agreed to the method for noting such partial redemption.

If either the City receives notice from the Clearing Agency which is currently the registered owner of the Bonds to the effect that such Clearing Agency is unable or unwilling to discharge its responsibility as a Clearing Agency for the Bonds, or the City elects to discontinue its use of such Clearing Agency as a Clearing Agency for the Bonds, then the City and the Registrar and Paying Agent each shall do or perform or cause to be done or performed all acts or things, not adverse to the rights of the holders of the Bonds, as are necessary or appropriate to discontinue use of such Clearing Agency as a Clearing Agency for the Bonds and to transfer the ownership of each of the Bonds to such person or persons, including any other Clearing Agency, as the holder of the Bonds may direct in accordance with this Ordinance. Any expenses of such discontinuance and transfer, including expenses of printing new certificates to evidence the Bonds, shall be paid by the City.

During any time that the Bonds are held in book-entry form on the books of a Clearing Agency, the Registrar shall be entitled to request and rely upon a certificate or other written representation from the Clearing Agency or any participant or indirect participant with respect to the identity of any beneficial owner of the Bonds as of a record date selected by the Registrar. For purposes of determining whether the consent, advice, direction or demand of a registered owner of a Bond has been obtained, the Registrar shall be entitled to treat the beneficial owners of the Bonds as the bondholders and any consent, request, direction, approval, objection or other instrument of such beneficial owner may be obtained in the fashion described in this Ordinance.

During any time that the Bonds are held in book-entry form on the books of a Clearing Agency, the Mayor, the Controller and/or the Registrar are authorized to execute and deliver a Letter of Representations agreement with the Clearing Agency, or a Blanket Issuer Letter of Representations, and the provisions of any such Letter of Representations or any successor agreement shall control on the matters set forth therein. The Registrar, by accepting the duties of Registrar under this Ordinance, agrees that it will (i) undertake the duties of agent required thereby and that those duties to be undertaken by either the agent or the issuer shall be the responsibility

of the Registrar, and (ii) comply with all requirements of the Clearing Agency, including without limitation same day funds settlement payment procedures. Further, during any time that the Bonds are held in book-entry form, the provisions of this Section 4 of this Ordinance shall control over conflicting provisions in any other section of this Ordinance.

SECTION 5. Execution and Authentication of the Bonds. The Bonds shall be executed in the name of the City by the manual or facsimile signature of the Mayor, and attested by the manual or facsimile signature of the Controller, with the seal of the City, if any, or a facsimile thereof to be affixed to each of the Bonds. The Bonds shall be authenticated by the manual signature of the Registrar, and no Bond shall be valid or become obligatory for any purpose until the certificate of authentication thereon has been so executed. In case any official whose signature appears on any Bond shall cease to be such official before the delivery of such Bond, the signature of such official shall nevertheless be valid and sufficient for all purposes, the same as if such official had been in office at the time of such delivery. Subject to the provisions of this Ordinance regarding the registration of the Bonds, the Bonds shall be fully negotiable instruments under the laws of the State of Indiana.

SECTION 6. Security and Sources of Payment; Pledge of Net Revenues. The Bonds, together with the Outstanding Parity Bonds, and any bonds hereafter issued on a parity therewith, as to both principal and interest, shall be payable from and secured by, and shall constitute a first charge upon, all of the Net Revenues (herein defined as gross revenues of the Sewage Works after deduction only for the payment of the reasonable expenses of operation, repair and maintenance) derived from the Sewage Works, including all such Net Revenues from the existing works and all additions and improvements thereto and replacements thereof subsequently constructed or acquired, to be set aside in the Sinking Fund, which are hereby irrevocably pledged to the payment of the Bonds, to the extent necessary for that purpose. The City shall not be obligated to pay the Bonds or the interest thereon except from the Net Revenues of the Sewage Works, and the Bonds shall not constitute an indebtedness of the City within the meaning of the provisions and limitations of the constitution of the State of Indiana. The Bonds shall have all of the qualities and incidents of negotiable instruments under the laws of the State of Indiana, subject to the provisions for registration herein.

SECTION 7. Form of the Bonds. The form and tenor of the Bonds shall be substantially as set forth in Exhibit B, attached hereto and incorporated herein as if set forth at this place (with all blanks to be filled in properly and all necessary additions and deletions to be made prior to delivery thereof).

SECTION 8. Issuance, Sale and Delivery of the Bonds. The Controller is hereby authorized and directed to have the Bonds prepared, and the Mayor and the Controller are hereby authorized and directed to execute or to cause the execution of the Bonds in the form and manner herein provided. The Controller is hereby authorized and directed to deliver the Bonds to the purchaser or purchasers thereof upon compliance with the requirements established hereunder and under the Act for the sale thereof, and to collect the full amount which the purchaser or respective purchasers have agreed to pay therefor, which shall not be less than 99.0% of the par amount of the Bonds, plus accrued interest thereon to the date of delivery. The Bonds, when fully paid for and delivered to the purchaser or purchasers shall be the binding special revenue obligations of the City, payable out of the revenues of the Sewage Works to be set aside and paid into the Sinking Fund as herein provided, and the proceeds derived from the sale of the Bonds shall be and are hereby set aside for the application to the costs of the Projects and the expenses necessarily incurred in connection therewith including the expenses incurred in the issuance of the Bonds on account of the financing thereof. The authorized officers of the City are hereby authorized and directed to draw all proper and necessary warrants and to do whatever other acts and things that may be necessary or appropriate to carry out the provisions of this Ordinance.

If the Bonds are sold by competitive bid, the Controller shall cause to be published either (i) a notice of such sale two (2) times, at least one (1) week apart, with the first publication made at least fifteen (15) days before the date of such sale and the second publication at least three (3) days before the date of the sale in accordance with Indiana Code 5-3-1-2 in one (1) newspaper, as defined in and in accordance with Indiana Code 5-3-1-4, or (ii) a notice of intent to sell bonds once each week for two (2) weeks in accordance with Indiana Code 5-1-11-2 and Indiana Code 5-3-1-4 and in a newspaper of general circulation published in the State capital, in which case bids may not be received more than ninety (90) days after the first publication. Such notice, or a summary thereof, may also be published in any other publications deemed appropriate in the discretion of

the Controller. The bond sale notice shall state the time and place of sale, the purpose for which the Bonds are being issued, the total amount and maturities thereof, the maximum rate of interest thereon and any limitations as to the number of interest rates and the setting of such rates, the terms and conditions upon which bids will be received and the sale made, and such other information as the Controller and the attorneys employed by the City shall deem necessary or advisable. Such notice shall provide, among other things, that each bid shall be accompanied by a certified or cashier's check or wire transfer in the amount of one percent of the par amount of the Bonds to guarantee performance on the part of the bidder, and that in the event the successful bidder shall fail or refuse to accept delivery of and pay for the Bonds as soon as the Bonds are ready for delivery, or at the time fixed in the notice of sale, then such check and the proceeds thereof shall become the property of the City and shall be considered as the City's liquidated damages on account of such default.

All bids for the Bonds shall be sealed and shall be presented to the Controller or his or designee at the physical or electronic address identified in the notice. Bidders for the Bonds shall be required to name the rate or rates of interest which the Bonds are to bear, not exceeding five percent (5.0%) per annum. Such interest rate or rates shall be in multiples of one-eighth (1/8) or one-hundredth (1/100) of one percent. Bids specifying more than one interest rate shall also specify the amount and maturities of the Bonds bearing each rate, and all Bonds maturing on the same date shall bear the same rate. The rate on any maturity shall be equal to or greater than the rate on the immediately preceding maturity. The Bonds shall be awarded by the Controller to the best bidder who has submitted a bid in accordance with the terms of this Ordinance and the notice of sale. The best bidder will be the bidder who offers the lowest net interest cost to the City, to be determined by computing the total interest on all of the Bonds from the date thereof to their respective maturities and deducting therefrom the premium bid, if any. No bid for less than all of the Bonds, plus accrued interest to the date of delivery, shall be considered. The City shall have the right to reject any and all bids. In the event an acceptable bid is not received on the date fixed in the notice, the Controller shall be authorized to continue the sale from day to day for a period of not to exceed thirty (30) days without readvertising. During the continuation of the sale, no bid shall be accepted which offers an interest cost which is equal to or higher than the best bid received at the time originally fixed for the sale of the Bonds in the bond sale notice.

As an alternative to competitive bid, the Controller may negotiate the sale of said Bonds at an interest rate or rates not exceeding five percent (5.0%) per annum. The Mayor and the Controller are hereby authorized to (i) execute a purchase agreement with the purchaser, and (ii) sell such Bonds upon such terms as are acceptable to the Mayor and the Controller consistent with the terms of this Ordinance. The final form of the purchase agreement shall be approved by the Mayor and Controller, upon the advice of the City's bond counsel and Municipal Advisor, and the Mayor and Controller are hereby authorized and directed to complete, execute and attest the same on behalf of the City so long as its provisions are consistent with the Ordinance.

Prior to the delivery of the Bonds, the Controller (i) shall be authorized, but not required, to investigate and to obtain insurance, surety bonds and/or credit ratings on the Bonds and (ii) shall obtain a legal opinion as to the validity of the Bonds from Barnes & Thornburg LLP, Indianapolis, Indiana, bond counsel for the City, and such opinion shall be furnished to the purchasers of the Bonds at the expense of the City. The costs of obtaining any such insurance, surety bonds and/or credit ratings, together with bond counsel's fee in preparing and delivering such opinion and in the performance of related services in connection with the issuance, sale and delivery of the Bonds, shall be considered as a part of the cost of issuance of the Bonds and shall be paid out of the proceeds of the sale of the Bonds.

SECTION 9. Official Statement. Any series of the BANs or the Bonds may be offered and sold pursuant to an Official Statement (preliminary and final) or other offering document with respect to such BANs or Bonds (collectively, the "Official Statement"), to be made available and distributed in such manner, at such times, for such periods and in such number of copies as may be required pursuant to Rule 15c2-12, as amended, promulgated by the United States Securities and Exchange Commission (the "Rule") and any and all applicable rules and regulations of the Municipal Securities Rulemaking Board, to the extent applicable to the Bonds. The City hereby authorizes the Mayor or Controller (a) to authorize and approve a Preliminary Official Statement, as the same may be appropriately confirmed, modified and amended for distribution as the Preliminary Official Statement of the City with respect to the BANs or Bonds, (b) on behalf of the City, to designate the Preliminary Official Statement a "final" Official Statement of the City with respect to the Bonds, and (c) to authorize and approve the Preliminary Official Statement to be

placed into final form and enter into such agreements or arrangements as may be necessary or advisable in order to provide for the distribution of a sufficient number of copies of the Official Statement under the Rule.

SECTION 10. Continuing Disclosure. If required under the Rule, the Common Council hereby approves, and authorizes and directs the Mayor and the Controller, for and on behalf of the City, to execute and deliver, and to perform the obligations of the City under, a Continuing Disclosure Contract from the City to each registered owner or holder of any BAN or Bond (the "Continuing Disclosure Contract"). The Mayor and the Controller are authorized to approve the form of the Continuing Disclosure Contract, upon the advice of the City's bond counsel, with such determination to be conclusively evidenced by such Mayor's and such Controller's execution thereof.

SECTION 11. Construction Account; Use of Proceeds of Bonds. All of the proceeds from the sale of the Bonds, to the extent not used to refund BANs, and all proceeds of any BANs (if issued) shall be deposited in a bank or banks which are legally designated depositories for the funds of the City, in a special account or accounts to be designated as "City of Bloomington, 2020 Sewage Works Construction Account", or such different or further designation as determined by the Controller to be necessary or appropriate (the "Construction Account"). All funds deposited to the credit of the Sewage Works Sinking Fund or the Construction Account shall be deposited, held, secured or invested in accordance with the laws of the State of Indiana relating to the depositing, holding, securing or investing of public funds, including particularly Indiana Code 5-13, as amended. The funds in the Construction Account shall be expended only for the purpose of paying the cost of the Projects, refunding the BANs (if any), or as otherwise required by the Act or for the expenses of issuance of the Bonds.

All costs of issuance of the Bonds or the BANs, including, without limitation, any rating agency fees, fiscal agency charges, fees and expenses of legal counsel and municipal advisors, printing costs, DTC and CUSIP fees and charges, and/or premiums for credit facilities or reserve fund surety policies, shall be considered as a part of the cost of the Projects on account of which the BANs and Bonds are issued, and the Controller is hereby authority to pay such costs of issuance from the proceeds of the BANs or Bonds.

If any proceeds of the Bonds will be used to fund all or a portion of the Reserve Account (as defined herein), the Controller shall transfer such proceeds of the Bonds to the Reserve Account of the Sinking Fund, as hereinafter described.

Any balance or balances remaining unexpended in such special account or accounts after completion of the Projects, which are not required to meet unpaid obligations incurred in connection with such Projects, shall be either (i) paid into the Sinking Fund and used solely for the purposes of said Sinking Fund or (ii) used for the same purpose or type of project for which the Bonds were originally issued, all in accordance with Indiana Code 5-1-13, as amended.

SECTION 12. Segregation and Application of Sewage Works Revenues. The City shall segregate, deposit and keep in a special fund, separate and apart from all other funds of the City, all gross revenues received on account of the rates and charges of the Sewage Works, which special fund was established and designated as the "City of Bloomington, Sewage Works General Account" (the "General Account") and is continued hereby. Out of said revenues the proper and reasonable expenses of operation, repair and maintenance of the sewage works shall be paid, the principal and interest of all bonds and fiscal agency charges of bank paying agents shall be paid, reserves shall be funded, and the costs of replacements, extensions, additions and improvements shall be paid as hereinafter provided.

The balance maintained in the General Account shall be sufficient to pay the expenses of operation, repair and maintenance of the Sewage Works for the then next succeeding two (2) calendar months. The moneys credited to the General Account shall be used for the payment of the reasonable and proper expenses of operation, repair and maintenance of the Sewage Works on a day-to-day basis, including the reasonable legal and professional expenses not taken into account in the definition of Net Revenues, but none of the moneys in the General Account shall be used for depreciation, payments in lieu of taxes, replacements, improvements, extensions or additions. Any moneys in the General Account may be transferred to the Sinking Fund if necessary to prevent a default in the payment of principal of and interest on the outstanding bonds of the Sewage Works,

or if necessary to eliminate any deficiencies in credits to, or minimum balance in, the Reserve Account, as defined and described below.

Moneys in the General Account shall be transferred from time to time to meet the requirements of the Sinking Fund. Moneys in excess of those transferred to the Sinking Fund may be transferred to the Improvement Fund or may be retained in the General Account, in the discretion of Utility Services Board of the City (the "Board"), and in a manner consistent with the requirements of this Ordinance. Moneys in excess of those required to be in the General Account and the Sinking Fund may also be used, in the discretion of the Board, for any other lawful purpose related to the Sewage Works. Notwithstanding the foregoing, in the event that any amounts are due to any providers (including their successors and assigns) of any municipal bond insurance policies or debt service reserve surety policies acquired by the City in connection with the Bonds or any of the Outstanding Parity Bonds, any excess moneys in the General Account after making all required transfers to the Sinking Fund shall be first used to pay any amounts owed under such policies.

SECTION 13. Sewage Works Sinking Fund. (a) There is hereby continued a fund for the payment of the principal of and interest on revenue bonds which by their terms are payable from the Net Revenues of the Sewage Works and the payment of any fiscal agency charges in connection with the payment of the bonds and interest, which fund has been previously designated as the Sewage Works Sinking Fund ("Sinking Fund"). There shall be set aside, transferred and deposited into the Sinking Fund from the General Account, as available and as hereinafter provided, a sufficient amount of the Net Revenues of the Sewage Works to meet the requirements of the Bond and Interest Account and the Reserve Account hereby continued in the Sinking Fund. Such payments shall continue until the balances in the Bond and Interest Account and the Reserve Account equal the principal of and interest on all of the then outstanding bonds of the Sewage Works to their final maturity and provide for payment of all fiscal agency charges.

(b) Bond and Interest Account. The Bond and Interest Account is hereby continued. There shall be credited, on the last day of each calendar month from the General Account to the Bond and Interest Account an amount of the Net Revenues equal to at least one-sixth (1/6) of the principal of and interest on all then outstanding bonds payable on the then next succeeding Interest Payment Date and at least one-twelfth (1/12) of the principal on all then outstanding bonds payable on the then next succeeding principal payment date, until the amount of interest and principal payable on the then next succeeding interest and principal payment dates shall have been so credited; provided, that such fractional amounts shall be appropriately increased, if necessary, to provide for the first interest and principal payments on the Bonds. There shall similarly be credited to the account any amount necessary to pay the bank fiscal agency charges, if any, for paying principal and interest on the bonds as the same become payable. The City shall, from the sums deposited in the Sinking Fund and credited to the Bond and Interest Account, remit promptly to the registered owner or to the bank fiscal agency sufficient moneys to pay the interest and principal on the due dates thereof together with the amount of any bank fiscal agency charges.

(c) Reserve Account. The Reserve Account is hereby continued. On the date of delivery of the Bonds, the City shall cause funds on hand of the Sewage Works, proceeds of the Bonds or such other bonds, or a combination thereof to be deposited into the Reserve Account so that the balance therein shall equal, but not exceed, the maximum annual debt service requirements on the Outstanding Parity Bonds and the Bonds (such amount, the "Reserve Requirement").

If the initial deposit into the Reserve Account does not equal the Reserve Requirement or if no deposit is made, the City shall deposit a sum of Net Revenues into the Reserve Account on the last day of each calendar month, beginning with the first month after the Bonds are delivered, until the balance therein equals the Reserve Requirement. The monthly deposits shall be equal in amount and sufficient to accumulate the Reserve Requirement within five (5) years of the date of delivery of the Bonds.

The Reserve Account shall constitute the margin for safety and protection against default in the payment of principal of and interest on the Outstanding Parity Bonds, the Bonds and any Additional Parity Bonds (as defined herein), and the moneys in the Reserve Account shall be used to pay current principal and interest on the Outstanding Parity Bonds, the Bonds and any Additional Parity Bonds to the extent that moneys in the Bond and Interest Account are insufficient for that purpose. Any deficiency in the balance maintained in the Reserve Account shall be promptly made up from the next available Net Revenues remaining after credits into the Bond and

Interest Account. If moneys in the Reserve Account are transferred to the Bond and Interest Account to pay principal and interest on outstanding bonds, then such depletion of the balance in the Reserve Account shall be made up from the next available Net Revenues after the credits into the Bond and Interest Account. Any moneys in the Reserve Account in excess of the Reserve Requirement shall, at the direction of the Board, either be transferred to the General Account or be used for the purchase of outstanding bonds or installments of principal of fully registered bonds at a price not exceeding the par plus accrued interest and redemption premium, if any.

Notwithstanding anything herein to the contrary, but subject to the terms of the Prior Ordinances, the City reserves the right to satisfy the Reserve Account at any time with funds on hand of the Sewage Works, proceeds of the Bonds or other bonds, a debt service reserve surety bond or a combination thereof. Any such surety bond must be issued by an insurance company rated at the time of issuance of such instrument in one of the two highest rating categories by Standard & Poor's Global Ratings Services and Moody's Investors Service. If such surety bond is purchased, the Mayor and the Controller are hereby authorized to execute and deliver all agreements with the provider of the surety bond to the extent necessary to comply with the terms of such surety bond and the commitment to issue such surety. Such agreement shall be deemed a part of this Ordinance for all purposes and is hereby incorporated herein by reference.

SECTION 14. Sewage Works Improvement Fund. After meeting the requirements of the Sinking Fund, any excess Net Revenues may be transferred or credited to the fund previously designated as the "Sewage Works Improvement Fund" (the "Improvement Fund"), hereby continued. The Improvement Fund shall be used for improvements, replacements, additions and extensions of the sewage works, and payments in lieu of taxes. Moneys in the Improvement Fund shall be transferred to the Sinking Fund if necessary to prevent a default in the payment of principal and interest on the then outstanding bonds or, if necessary, to eliminate any deficiencies in credits to, or minimum balance in, the Reserve Account of the Sinking Fund or may be transferred to the General Account to meet unforeseen contingencies in the operation and maintenance of the Sewage Works.

SECTION 15. Maintenance of Funds; Investments. The proceeds from the sale of the Bonds shall be deposited in a bank or banks which are legally designated depositories for the funds of the City, in a special account or accounts. The Sinking Fund shall be deposited in and maintained as a separate account or accounts from all other accounts of the City. The General Account and the Improvement Fund may be maintained in a single account, or accounts, but such account, or accounts, shall likewise be maintained separate and apart from all other accounts of the City and apart from the Sinking Fund account or accounts. All of the funds and accounts of the Sewage Works created or continued by this Ordinance, and all moneys deposited therein, shall be continuously maintained, deposited, held, secured and invested as public funds in accordance with the laws of the State of Indiana relating to the depositing, holding, securing or investing of public funds, including, particularly, applicable provisions of Indiana Code 5-13 and the acts amendatory thereof and supplemental thereto. Any interest or income derived from any such investments shall become a part of the moneys in the fund or account so invested and shall be used only as provided in this Ordinance and the Prior Ordinances. In no event shall any of the Net Revenues of the Sewage Works be transferred or used for any purpose not authorized by this Ordinance or the Prior Ordinances, so long as any of the bonds secured by and payable from the Net Revenues shall be outstanding. Upon issuance of the Bonds, moneys held and on deposit in the existing funds and accounts established under the Prior Ordinances shall remain on deposit therein.

SECTION 16. Books of Records and Accounts. The City shall keep proper record books of account, separate from all of its other records and accounts, in which complete and correct entries shall be made showing all revenues collected on account of the operation of the Sewage Works and all disbursements made therefrom and all transactions relating to the Sewage Works. Copies of all such statements and reports shall be kept on file in the office of the Controller. There shall be prepared and furnished, upon the written request, to any owner of the Bonds then outstanding, not more than ninety (90) days after the close of each fiscal year, complete financial statements of the Sewage Works, covering the preceding fiscal year. Copies of all such statements and reports shall be kept on file in the office of the Assistant Director of Finance of the Sewage Works. Any owner of the Bonds then outstanding shall have the right at all reasonable times to inspect the Sewage Works and all records, accounts and data of the City relating thereto. Such inspections may be made by representatives duly authorized by written instrument.

SECTION 17. Rate Covenant. The Common Council has previously adopted Ordinance No. 19-16 (the "Rate Ordinance"), imposing fees and charges for the several classes of users or property to be served by the Sewage Works utility, which Rate Ordinance (as the same may be subsequently amended or modified from time to time) is incorporated herein by reference as if fully included and set forth in this Ordinance. The City covenants and agrees that it will establish and maintain just and equitable rates or charges for the use of and the service rendered by the Sewage Works, to be paid by the owner of each and every lot, parcel of real estate or building that is connected with and uses said Sewage Works by or through any part of the sewage system of the City, or that in any way uses or is served by such works, at a level adequate to produce and maintain sufficient revenue (including user and other charges, fees, income or revenues available to the City), to provide for the proper operation, repair and maintenance of the Sewage Works, to comply with and satisfy all covenants contained in this Ordinance and to pay all obligations of the Sewage Works and of the City with respect to the Sewage Works. Such rates and charges shall, if necessary, be changed and readjusted from time to time so that the revenues therefrom shall always be sufficient to meet the expenses of operation, repair and maintenance of the Sewage Works and the requirements of the Sinking Fund. The rates or charges so established shall apply to any and all use of such Sewage Works by and service rendered to the City and all departments thereof, and shall be paid by the City or the various departments thereof as the charges accrue.

SECTION 18. Defeasance. If, when any of the Bonds issued hereunder shall have become due and payable in accordance with their terms or shall have been duly called for redemption or irrevocable instructions to call the Bonds or any portion thereof for redemption shall have been given, and the whole amount of the principal and the interest and the premium, if any, so due and payable upon all of the Bonds or any portion thereof and coupons then outstanding shall be paid; or (i) sufficient moneys, (ii) direct obligations of, or obligations the principal and interest on which are unconditionally guaranteed by, the United States of America, the principal of and the interest on which when due will provide sufficient moneys, or (iii) any combination thereof, shall be held in trust for such purpose, and provision shall also be made for paying all fees and expenses for the redemption, then and in that case the Bonds issued hereunder or any designated portion thereof shall no longer be deemed outstanding or entitled to the pledge of the Net Revenues of the City's sewage works.

SECTION 19. Additional Bond Provisions. The City reserves the right to authorize and issue additional parity bonds, payable out of the Net Revenues of its sewage works, ranking on a parity with the pledge thereof to the Bonds and the Outstanding Parity Bonds (such bonds, the "Additional Parity Bonds"), for the purpose of financing the cost of future extensions, betterments or improvements to the Sewage Works, or to refund obligations, subject to the following conditions:

(a) All required payments into the Sinking Fund and the accounts thereof shall have been made in accordance with the provisions of this Ordinance, and the interest on and principal of all bonds payable from the Net Revenues of the sewage works shall have been paid to date in accordance with their terms.

(b) (i) The Net Revenues of the sewage works in the fiscal year immediately preceding the issuance of any such proposed Additional Parity Bonds shall be not less than one hundred twenty-five percent (125%) of the maximum annual interest and principal requirements of all of then outstanding bonds payable from the Net Revenues of the Sewage Works and the Additional Parity Bonds proposed to be issued; or (ii) prior to the issuance of the proposed Additional Parity Bonds, the sewage rates and charges shall be increased sufficiently so that the increased rates and charges, if realized and when applied to the previous fiscal year's operations, would have produced Net Revenues for said year equal to not less than one hundred twenty-five percent (125%) of the maximum annual interest and principal requirements of all bonds payable from the Net Revenues of the Sewage Works and the Additional Parity Bonds proposed to be issued. For purposes of this subsection, the records of the Sewage Works shall be analyzed and all showings shall be prepared by an independent certified public accountant or nationally recognized firm of professional consultants experienced in analyzing financial records of municipal utilities employed by the City for that purpose who shall certify the satisfaction of the foregoing conditions for the issuance of parity bonds.

(c) The interest on any Additional Parity Bonds shall be payable semiannually on the first days of January and July and the principal of, or the mandatory sinking fund redemption dates for, any Additional Parity Bonds shall be payable annually on the first day of January.

(d) The Reserve Requirement shall be satisfied for the Additional Parity Bonds either as of the date of delivery of said Additional Parity Bonds or through equal monthly deposits of Net Revenues sufficient to accumulate the reserve in a manner commensurate with and proportional to the provisions established by Section 13(c) of this Ordinance.

SECTION 20. Additional Covenants of the City. For the purpose of further safeguarding the interests of the owners of the Bonds, it is hereby specifically provided as follows:

(a) So long as any of the Bonds are outstanding, the City shall at all times maintain its sewage works system in good condition and operate the same in an efficient manner and at a reasonable cost.

(b) So long as any of the Bonds are outstanding, the City shall acquire and maintain insurance coverage, including fidelity bonds, to protect the sewage works and its operations of a kind and in an amount such as is automatically carried by private companies engaged in a similar type of business. All insurance shall be placed with responsible insurance companies qualified to do business under the laws of the State of Indiana. All insurance proceeds and condemnation awards shall be used to replace or repair the property destroyed or damaged.

(c) So long as any of the Bonds are outstanding, the City shall not mortgage, pledge or otherwise encumber the property and plant of its sewage works system, or any part thereof, and shall not sell, lease or otherwise dispose of any part of the same, except to replace equipment which may become worn out or obsolete.

(d) Except as hereinbefore provided in Section 19 hereof, so long as any of the Bonds are outstanding, no additional bonds or other obligations pledging any portion of the revenues of said sewage works shall be authorized, executed, or issued by the City except such as shall be made subordinate and junior in all respects to the Bonds, unless all of the Bonds are redeemed, retired or defeased coincidentally with the delivery of such additional bonds or other obligations or, as provided in Section 18 hereof, funds sufficient to effect such redemption are available and set aside for such purpose at the time of issuance of such additional bonds or obligations.

(e) The City shall take all action or proceedings necessary and proper, to the extent permitted by law, to require connection of all property where liquid and solid waste, sewage night soil or industrial waste is produced with available sanitary sewers. The City shall, insofar as possible, and to the extent permitted by law, cause all such sanitary sewers to be connected with said sewage works.

(f) The provisions of this Ordinance shall constitute a contract by and between the City and the owners of the Bonds herein authorized, all the terms of which shall be enforceable by any bondholder by any and all appropriate proceedings in law or in equity. After the issuance of the Bonds, this Ordinance shall not be repealed or amended in any respect which will adversely affect the rights of the owners of the Bonds, nor shall the Common Council or any other body of the City adopt any law, ordinance or resolution which in any way adversely affects the rights of such owners so long as any of the Bonds, the interest thereon remain outstanding or unpaid. Except for the changes set forth in Section 24(a)-(g), this Ordinance may be amended, however, without the consent of Bond owners, if the Common Council determines, in its sole discretion, that such amendment would not adversely affect the owners of the Bonds.

(g) The provisions of this Ordinance shall be construed to create a trust in the proceeds of the sale of the Bonds herein authorized for the uses and purposes herein set forth, and the owners of the Bonds shall retain a lien on such proceeds until the same are applied in accordance with the provisions of this Ordinance and of the governing Act. The provisions of this Ordinance shall also be construed to create a trust in the Net Revenues herein directed to be set apart and paid into the Sinking Fund for the uses and purposes of said fund as in this Ordinance set forth. The owners of the Bonds shall have all the rights, remedies and privileges set forth in the provisions of the governing Act, including the right to have a receiver appointed to administer the sewage works in the event the City shall fail or refuse to fix and collect sufficient rates and charges for those purposes, or shall fail or refuse to operate and maintain said system and to apply properly the revenues derived from the operation thereof, or if there be a default in the payment of the interest on or principal of the Bonds.

SECTION 21. Investment of Funds. (a) The Controller is hereby authorized pursuant to IC 5-1-14-3 and the provisions of this Ordinance to invest moneys (subject to applicable requirements of federal law to insure such yield is the then current market rate) to the extent necessary or advisable to preserve the exclusion from gross income of interest on the Bonds under federal law.

(b) The Controller shall keep full and accurate records of investment earnings and income from moneys held in the funds and accounts referenced herein. In order to comply with the provisions of the ordinance, the Controller is hereby authorized and directed to employ consultants or attorneys from time to time to advise the City as to requirements of federal law to preserve the tax exclusion. The Controller may pay any fees as operation expenses of the sewage works.

SECTION 22. Tax Covenants. In order to preserve the excludability of interest on the BANs or Bonds from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as existing on the date of issuance of the BANs or Bonds, as the case may be ("Code") and as an inducement to purchasers of the BANs or the Bonds, the City represents, covenants and agrees that:

(a) The sewage works will be available for use by members of the general public. Use by a member of the general public means use by natural persons not engaged in a trade or business. No person or entity other than the City or another state or local governmental unit will use more than 10% of the proceeds of the Bonds or property financed or refinanced by the proceeds of the Bonds other than as a member of the general public. No person or entity other than the City or another state or local governmental unit will own property financed or refinanced by proceeds of the Bonds or will have any actual or beneficial use of such property pursuant to a lease, a management or incentive payment contract, arrangements such as take-or-pay or output contracts or any other type of arrangement that conveys other special legal entitlements and differentiates that person's or entity's use of such property from use by the general public, unless such uses in the aggregate relate to no more than 10% of the proceeds of the Bonds. If the City enters into a management contract for the sewage works, the terms of the contract will comply with IRS Revenue Procedure 2017-13, as it may be amended, supplemented or superseded for time to time, so that the contract will not give rise to private business use under the Code and the Regulations, unless such use in aggregate relates to no more than 10% of the proceeds of the Bonds, as the case may be.

(b) No more than 10% of the principal of or interest on the Bonds is (under the terms of the Bonds, this Ordinance or any underlying arrangement), directly or indirectly, secured by an interest in property used or to be used for any private business use or payments in respect of any private business use or payments in respect of such property or to be derived from payments (whether or not to the City) in respect of such property or borrowed money used or to be used for a private business use.

(c) No more than 5% of the Bond proceeds will be loaned to any person or entity other than another state or local governmental unit. No more than 5% of the Bond proceeds will be transferred, directly or indirectly, or deemed transferred to a nongovernmental person in any manner that would in substance constitute a loan of the Bond proceeds.

(d) The City reasonably expects, as of the date hereof, that the Bonds will not meet either the private business use test described in paragraph (a) and (b) above or the private loan test described in paragraph (c) above during the entire term of the Bonds.

(e) No more than 5% of the proceeds of the Bonds will be attributable to private business use as described in (a) and private security or payments described in (b) attributable to unrelated or disproportionate private business use. For this purpose, the private business use test is applied by taking into account only use that is not related to any government use of proceeds of the issue (Unrelated Use) and use that is related but disproportionate to any governmental use of those proceeds (Disproportionate Use).

(f) The City will not take any action nor fail to take any action with respect to the Bonds that would result in the loss of the exclusion from gross income for federal tax purposes on the Bonds pursuant to Section 103 of the Code, nor will the City act in any other manner which would adversely affect such exclusion. The City covenants and agrees not to enter into any

contracts or arrangements which would cause the Bonds to be treated as private activity bonds under Section 141 of the Code.

(g) It shall be not an event of default under this Ordinance if the interest on any Bond is not excludable from gross income for federal tax purposes or otherwise pursuant to any provision of the Code which is not currently in effect and in existence on the date of issuance of the Bonds.

(h) These covenants are based solely on current law in effect and in existence on the date of delivery of such Bonds.

(i) The City represents that it will rebate any arbitrage profits to the United States in accordance with the Code.

(j) The Common Council hereby authorizes the Mayor and the Controller to determine whether any series of Bonds qualify for the exception in the Code from the disallowance of 100% of the deduction by financial institutions of interest expense allocable to newly acquired tax-exempt obligations. Such designation, if made, will be set forth in the arbitrage certificate delivered by the City in connection with the Bonds.

SECTION 23. Waiver of Tax Covenants. Notwithstanding any other provision of this Ordinance, any of the covenants and authorizations contained in Section 22 of this Ordinance (the "Tax Covenants"), which are designed to preserve the exclusion of interest on the Bonds from gross income for purposes of federal income taxation, need not be complied with if the City receives an opinion of nationally recognized bond counsel to the effect that compliance with such Tax Covenant is unnecessary to preserve such exclusion of interest.

SECTION 24. Amendments with Consent of Bondholders. Subject to the terms and provisions contained in this Section and Section 20(f), and not otherwise, the owners of not less than sixty-six and two-thirds percent (66 2/3%) in aggregate principal amount of the Bonds issued pursuant to this Ordinance and then outstanding shall have the right, from time to time, anything contained in this Ordinance to the contrary notwithstanding, to consent to and approve the adoption by the City of such ordinance or ordinances supplemental hereto as shall be deemed necessary or desirable by the City for the purpose of modifying, altering, amending, adding to or rescinding in any particular any of the terms or provisions contained in this Ordinance, or in any supplemental ordinance; provided, however, that nothing herein contained shall permit or be construed as permitting:

(a) An extension of the maturity of the principal of or interest on any Bond issued pursuant to this Ordinance; or

(b) A reduction in the principal amount of any Bond or the redemption premium or the rate of interest thereon; or

(c) The creation of a lien upon or a pledge of the revenues of the sewage works ranking prior to the pledge thereof created by this Ordinance; or

(d) A preference or priority of any Bond or Bonds issued pursuant to this Ordinance over any other Bond or Bonds issued pursuant to the provisions of this Ordinance; or

(e) A reduction in the aggregate principal amount of the Bonds required for consent to such supplemental ordinance; or

(f) A reduction in the required balance to be held as a reserve for the Bonds; or

(g) The extension of mandatory sinking fund redemption dates, if any.

If the owners of not less than sixty-six and two-thirds percent (66 2/3%) in aggregate principal amount of the Bonds outstanding at the time of adoption of such supplemental ordinance shall have consented to and approved the adoption thereof by written instrument to be maintained on file in the office of the Controller of the City, no owner of any Bond issued pursuant to this Ordinance shall have any right to object to the adoption of such supplemental ordinance or to object to any of the terms and provisions contained therein or the operation thereof, or in any manner to question the propriety of the adoption thereof, or to enjoin or restrain the City or its officers from adopting the same, or from taking any action pursuant to the provisions thereof. Upon

the adoption of any supplemental ordinance pursuant to the provisions of this section, this Ordinance shall be, and shall be deemed, modified and amended in accordance therewith, and the respective rights, duties and obligations under this Ordinance of the City and all owners of Bonds issued pursuant to the provisions of this Ordinance then outstanding, shall thereafter be determined exercised and enforced in accordance with this Ordinance, subject in all respects to such modifications and amendments. Notwithstanding anything contained in the foregoing provisions of this Ordinance, the rights and obligations of the City and of the owners of the Bonds authorized by this Ordinance, and the terms and provisions of the Bonds and this Ordinance, or any supplemental ordinance, may be modified or altered in any respect with the consent of the City and the consent of the owners of all the Bonds issued pursuant to this Ordinance then outstanding.

SECTION 25. Non-Business Days. If the date for making any payment or the last date for performance of any act or the exercising of any right, as provided in this Ordinance, is a legal holiday or a day on which banking institutions in the area are typically closed, such payment may be made or act performed or right exercised on the next succeeding day not a legal holiday or a day on which such banking institutions are typically closed, with the same force and effect as if done on the nominal date provided in this Ordinance, and no interest shall accrue for the period after such nominal day.

SECTION 26. Other Actions. Each of the Mayor and the Controller is hereby authorized and directed, for an on behalf of the City, to execute and deliver any agreement, certificate or other instrument or take any other action which such officer determines to be necessary or desirable to carry out the transactions contemplated by this Ordinance, which determination shall be conclusively evidenced by such officer's having executed such agreement, certificate or other instrument or having taken such other action, and any such agreement, certificate or other instrument heretofore executed and delivered and any such other action heretofore taken are hereby ratified and approved.

SECTION 27. Construction with Other Ordinances. All ordinances, except for the Prior Ordinance, in conflict with this Ordinance are hereby repealed.

SECTION 28. Captions. The captions in this Ordinance are inserted only as a matter of convenience and reference, and such captions are not intended and shall not be construed to define, limit, establish, interpret or describe the scope, intent or effect of any provision of this Ordinance.

SECTION 29. Effective Date. This Ordinance shall be in full force and effect from and after its passage and approval by the Mayor.

PASSED AND ADOPTED by the Common Council of the City of Bloomington, Indiana, this 4th day of NOVEMBER, 2020.

STEPHEN VOLAN, President
Bloomington Common Council

ATTEST:

NICOLE BOLDEN, Clerk
City of Bloomington

PRESENTED by me to the Mayor of the City of Bloomington, Indiana, this 5 day of November, 2020.

NICOLE BOLDEN, Clerk
City of Bloomington

SIGNED and APPROVED this 9th day of November, 2020.

JOHN HAMILTON, Mayor
City of Bloomington

SYNOPSIS

This ordinance authorizes the City of Bloomington to issues its Sewage Works Revenue Bonds of 2020 in the aggregate principal amount not to exceed $32,000,000. The 2020 bonds will be issued to finance the first phase of modernizing the Dillman Road WWTP, the replacement of the existing storm culvert system of the Jordan Culvert, and pay costs of issuance of the bonds.

Distributed to Clerk, Council Attorney, Controller, Legal, Mayor, and Utilities.

# APPENDIX E

# CONTINUING DISCLOSURE UNDERTAKING AGREEMENT

# CONTINUING DISCLOSURE UNDERTAKING AGREEMENT

This Continuing Disclosure Undertaking Agreement (this "Agreement") is made this 23rd day of December, 2020, from City of Bloomington, Indiana, a municipal corporation existing under by the laws of the State of Indiana (the "Promisor"), to each registered owner or holder of any Bond (as hereinafter defined) (each, a "Promisee");

WITNESSETH THAT:

WHEREAS, the Promisor is issuing its Sewage Works Revenue Bonds, Series 2020, in the aggregate principal amount of $24,445,000 (the "Bonds"), pursuant to Ordinance No. 20-26, adopted by the Common Council of the Promisor on November 4, 2020 (the "Ordinance"); and

WHEREAS, Stifel, Nicolaus & Company, Incorporated (the "Underwriter"), is, in connection with an offering of the Bonds directly or indirectly by or on behalf of the Promisor, purchasing the Bonds from the Promisor and selling the Bonds to certain purchasers; and

WHEREAS, Rule 15c2-12 (the "Rule"), promulgated by the Securities and Exchange Commission (the "Commission") under the Securities Exchange Act of 1934, as amended (the "Act"), provides that, except as otherwise provided in the Rule, a Participating Underwriter (as defined in the Rule) shall not purchase or sell municipal securities in connection with an Offering (as defined in the Rule) unless the Participating Underwriter has reasonably determined that an issuer of municipal securities (as defined in the Rule) or an obligated person (as defined in the Rule) for whom financial or operating data is presented in the final official statement (as defined in the Rule) has undertaken, either individually or in combination with other issuers of such municipal securities or obligated persons, in a written agreement or contract for the benefit of holders of such securities, to provide certain information; and

WHEREAS, the Promisor desires to enter into this Agreement in order to assist the Underwriter in complying with paragraph (b)(5) of the Rule; and

WHEREAS, any registered owner or holder of any Bond shall, by its payment for and acceptance of such Bond, accept and assent to this Agreement and the exchange of (i) such payment and acceptance for (ii) the promises of the Promisor contained herein;

NOW, THEREFORE, in consideration of the Underwriter's and any Promisee's payment for and acceptance of any Bonds, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Promisor hereby promises to each Promisee as follows:

Section 1. Definitions. The terms defined herein, including the terms defined above and in this Section 1, shall have the meanings herein specified unless the context or use clearly indicates another or different meaning or intent. Any terms defined in the Rule, but not otherwise defined herein, shall have the meanings specified in the Rule unless the context or use clearly indicates another or different meaning or intent.

(a) "Bond" shall mean any of the Bonds.

(b) "Bondholder" shall mean any registered or beneficial owner or holder of any Bond.

(c) "Dissemination Agent" initially means the Promisor, and thereafter any successor Dissemination Agent designated in writing by the Promisor, including any indenture trustee, registrar or other designated agent, and which has filed with the Promisor a written acceptance of such designation.

(d) "EMMA" means the Electronic Municipal Market Access system operated by the MSRB, accessible at http://emma.msrb.org/default.aspx.

(e) "Final Official Statement" shall mean the Final Official Statement dated December 10, 2020, relating to the Bonds, including any document included therein by specific reference which has been previously provided to the MSRB through EMMA.

(f) "Financial Obligation" shall mean (i) a debt obligation, (ii) a derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation, or (iii) a guarantee of either clause (i) or (ii); provided, however, "Financial Obligation" shall not include any municipal securities (as defined in the Act) as to which a final official statement (as defined in the Rule) has been provided to the MSRB consistent with the Rule.

(g) "Fiscal Year" of any person shall mean any period from time to time adopted by such person as its fiscal year for accounting purposes. As of the date of issuance of the Bonds, Fiscal Year means the period beginning on January 1 and ending on December 31 of each year.

(h) "MSRB" shall mean the Municipal Securities Rulemaking Board.

(i) "Obligated Person" shall mean any person who is either generally or through an enterprise, fund or account of such person committed by contract or other arrangement to support payment of all or part of the obligations on the Bonds (other than providers of municipal bond insurance, letters of credit, or other liquidity facilities) for whom financial information or operating data is presented in the Final Official Statement. Obligated Persons with respect to the Bonds are identified herein.

(j) "Rule" means Rule 15c2-12 adopted by the Securities and Exchange Commission under the Securities and Exchange Act of 1934, as the same may be amended from time to time.

(k) "State" shall mean the State of Indiana.

Section 2. Term. The term of this Agreement shall commence on the date of delivery of the Bonds by the Promisor to the Underwriter and shall expire on the earlier of (a) the date of payment in full of principal of and premium, if any, and interest on the Bonds, whether upon scheduled maturity, redemption or otherwise, or (b) the date of defeasance of the Bonds in accordance with the terms of the Ordinance.

Section 3. Obligated Person(s). The Promisor hereby represents and warrants that, as of the date hereof:

(a) The only Obligated Person with respect to the Bonds is the Promisor; and

(b) Except as set forth in the Final Official Statement, there have been no instances in the five (5) years prior to the date of the Final Official Statement in which the Promisor failed to comply, in all material respects, with any previous undertakings in a written contract or agreement specified in paragraph (b)(5)(i) of the Rule.

Section 4. Undertaking to Provide Information.

(a) The Promisor hereunder undertakes to provide the following to the MSRB in an electronic format as prescribed by the MSRB, either directly or indirectly through a Dissemination Agent:

(i) Annual Financial Information. Within one hundred eighty (180) days after the close of each Fiscal Year of the Promisor, beginning with the Fiscal Year ending December 31, 2020, unaudited financial information and operating data of the Promisor (excluding any demographic information or forecasts) of the type provided under the following headings under "DESCRIPTION OF THE SEWAGE WORKS" in Appendix A of the Final Official Statement:

- "User Connections"; and

- "Large Users";

(the financial information and operating data set forth in Section 4(a)(i) hereof, collectively, the "Annual Financial Information"); and

(ii) If not submitted as part of the Annual Financial Information, then when and if available, audited financial statements for the Promisor, as prepared and examined by the Indiana State Board of Accounts, for each twelve (12) month period ending December 31, beginning with the period ending December 31, 2019, together with the opinion of such accountants and all notes thereto, within sixty (60) days of receipt from the Indiana State Board of Accounts; and

(iii) Within ten (10) business days after the occurrence thereof, notice of any of the following events with respect to the Bonds, if material (which determination of materiality shall be made by the Promisor in accordance with the standards established by federal securities laws):

(A) Non-payment related defaults;

(B) Modifications to rights of Bondholders;

(C) Bond calls (other than mandatory, scheduled redemptions, not otherwise contingent upon the occurrence of an event, the terms of which redemptions are set forth in detail in the Final Official Statement);

(D) Release, substitution or sale of property securing repayment of the Bonds;

(E) The consummation of a merger, consolidation, or acquisition, or certain asset sales, involving the Promisor, or entry into or termination of a definitive agreement relating to the foregoing;

(F) Appointment of a successor or additional trustee or the change of name of a trustee; and

(G) Incurrence of a Financial Obligation of the Promisor or agreement to covenants, events of default, remedies, priority rights or other similar terms of a Financial Obligation of the Promisor, any of which affect Bondholders.

(iv) Within ten (10) business days of the occurrence thereof, notice of any of the following events with respect to the Bonds, regardless of materiality:

(A) Principal and interest payment delinquencies;

(B) Unscheduled draws on debt service reserves reflecting financial difficulties;

(C) Unscheduled draws on credit enhancements reflecting financial difficulties;

(D) Substitution of credit or liquidity providers, or their failure to perform;

(E) Adverse tax opinions or events affecting the tax status of the security;

(F) Defeasances;

(G) Rating changes;

(H) The issuance by the IRS of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds;

(I) Tender offers;

(J) Bankruptcy, insolvency, receivership or similar events of the Promisor; and

(K) Default, event of acceleration, termination event, modification of terms or other similar events under the terms of a Financial Obligation of the Promisor, any of which reflect financial difficulties.

(v) In a timely manner, notice of a failure of the Promisor to provide required Annual Financial Information or audited financial statements, on or before the date specified in this Agreement.

(b) Any financial statements of the Promisor provided pursuant to subsection (a)(i) of this Section 4 shall be prepared in accordance with any accounting principles mandated by the laws of the State, as in effect from time to time, or any other consistent accounting principles that enable market participants to evaluate results and perform year to year comparisons, but need not be audited.

(c) Any Annual Financial Information or audited financial statements may be set forth in a document or set of documents, or may be included by specific reference to available to the public on the MRSB's Internet Web site or filed with the Securities and Exchange Commission. If the document is a final official statement (as defined in the Rule), it must be available from the MSRB through EMMA.

(d) If any Annual Financial Information otherwise required by subsection (a)(i) of this Section 4 no longer can be generated because the operations to which it relates have been materially changed or discontinued, a statement to that effect filed with the MSRB through EMMA shall be deemed to satisfy the requirements of such subsection.

(e) All documents provided to the MSRB under this Agreement shall be accompanied by identifying information as prescribed by the MSRB.

Section 5. Termination of Obligation. The obligation to provide Annual Financial Information, audited financial statements and notices of events under Section 4(a) hereof shall terminate if and when the Promisor no longer remains an Obligated Person with respect to the Bonds.

Section 6. Bondholders. Each Bondholder is an intended beneficiary of the obligations of the Promisor under this Agreement, such obligations create a duty in the Promisor to each Bondholder to perform such obligations, and each Bondholder shall have the right to enforce such duty.

Section 7. Limitation of Rights. Nothing expressed or implied in this Agreement is intended to give, or shall give, to the Underwriter, the Securities and Exchange Commission or any Obligated Person, or any underwriters, brokers or dealers, or any other person, other than the Promisor, each Promisee and each Bondholder, any legal or equitable right, remedy or claim under or with respect to this Agreement or any rights or obligations hereunder. This Agreement and the

rights and obligations hereunder are intended to be, and shall be, for the sole and exclusive benefit of the Promisor, each Promisee and each Bondholder.

Section 8. Remedies.

(a) The sole and exclusive remedy for any breach or violation by the Promisor of any obligation of the Promisor under this Agreement shall be the remedy of specific performance by the Promisor of such obligation. Neither any Promisee nor any Bondholder shall have any right to monetary damages or any other remedy for any breach or violation by the Promisor of any obligation of the Promisor under this Agreement, except the remedy of specific performance by the Promisor of such obligation.

(b) No breach or violation by the Promisor of any obligation of the Promisor under this Agreement shall constitute a breach or violation of or default under the Bonds, the Ordinance or any other agreement to which the Promisor is a party.

(c) Any action, suit or other proceeding for any breach or violation by the Promisor of any obligation of the Promisor under this Agreement shall be instituted, prosecuted and maintained only in a court of competent jurisdiction in Monroe County in the State.

(d) No action, suit or other proceeding for any breach or violation by the Promisor of any obligation of the Promisor under this Contract shall be instituted, prosecuted or maintained by any Promisee or any Bondholder unless, prior to instituting such action, suit or other proceeding: (i) such Promisee or such Bondholder has given the Promisor notice of such breach or violation and demand for performance; and (ii) the Promisor has failed to cure such breach or violation within sixty (60) days after such notice.

Section 9. Waiver. Any failure by any Promisee to institute any suit, action or other proceeding for any breach or violation by the Promisor of any obligation of the Promisor under this Agreement, within three hundred sixty (360) days after the date of such Promisee first has knowledge of such breach or violation, shall constitute a waiver by such Promisee of such breach or violation and, after such waiver, no remedy shall be available to such Promisee for such breach or violation.

Section 10. Annual Appropriations. This Agreement and the obligations of the Promisor hereunder are subject to annual appropriation by the Promisor.

Section 11. Amendment of Obligations. The Promisor may, from time to time, amend any obligation of the Promisor under this Agreement, without notice to or consent from any Promisee or any Bondholder, if: (a)(i) such amendment or modification is made in connection with a change in circumstances that arises from a change in legal requirements, change in law or change in the identity, nature or status of the Promisor, or type of business conducted, (ii) this Agreement, as so amended and modified, would have complied with the requirements of the Rule on the date hereof, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances, and (iii) such amendment does not materially impair the interests of any Bondholders, as determined either by (A) nationally recognized bond counsel or (B) an approving vote of the Bondholders pursuant to the terms of the Ordinance at the time of such

amendment or modification; or (b) such amendment or modification (including an amendment or modification which rescinds this Agreement) is permitted by the Rule, as then in effect.

Section 12. Obligations of Dissemination Agent; Indemnity. The Promisor may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Agreement, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Promisor shall notify the MSRB through EMMA of the appointment or discharge of a Dissemination Agent. If at any time there is not any other designated Dissemination Agent, the Promisor shall be the Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Agreement and any dissemination agreement entered into by the Promisor and the Dissemination Agent, and the Promisor agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise of performance of its powers and duties hereunder, including the costs and expenses (including reasonable attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's gross negligence or willful misconduct. The obligations of the Promisor under this Section shall survive removal of the Dissemination Agent and payment of the Bonds.

Section 13. Communications. Any information, datum, statement, notice, certificate or other communication required or permitted to be provided, delivered or otherwise given hereunder by any person to any other person shall be in writing and, if such other person is the Promisor, shall be provided, delivered on otherwise given to the Promisor at the following address:

City of Bloomington, Indiana
c/o Controller
401 N. Morton Street
Bloomington, IN 47404

(or at such other address as the Promisor may, by notice to the MSRB through EMMA, provide), or, if such other person is not the Promisor, shall be provided, delivered or otherwise given to such other person at any address that the person providing, delivering or otherwise giving such information, datum, statement, notice, certificate or other communication believes, in good faith but without any investigation, to be an address for receipt by such other person of such information, datum, statement, notice, certificate or other communication. For purposes of this Agreement, any such information, datum, statement, notice, certificate or other communication shall be deemed to be provided, delivered or otherwise given on the date that such information, datum, statement, notice, certificate or other communication is (a) delivered by hand to such other person, (b) deposited with the United States Postal Service for mailing by registered or certified mail, (c) deposited with Express Mail, Federal Express or any other courier service for delivery on the following business day, or (d) sent by facsimile transmission.

Section 14. Knowledge. For purposes of this Agreement, each Promisee and each Bondholder shall be deemed to have knowledge of the provision and content of any information, datum, statement or notice provided by the Promisor to the MSRB through EMMA on the date such information, datum, statement or notice is so provided, regardless of whether such Promisee

or such Bondholder was a registered or beneficial owner or holder of any Bond at the time such information, datum, statement or notice was so provided.

Section 15. Performance Due on other than Business Days. If the last day for taking any action under this Agreement is a day other than a business day, such action may be taken on the next succeeding business day and, if so taken, shall have the same effect as if taken on the day required by this Agreement.

Section 16. Beneficiaries. This Agreement shall inure solely to the benefit of the Promisor, the Dissemination Agent and registered or beneficial owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Section 17. Waiver of Assent. Notice of acceptance of or other assent to this Agreement is hereby waived.

Section 18. Governing Law. This Agreement and the rights and obligations hereunder shall be governed by and construed and enforced in accordance with the internal laws of the State, without reference to any choice of law principles.

Section 19. Severability. If any portion of this Agreement is held or deemed to be, or is, invalid, illegal, inoperable or unenforceable, the validity, legality, operability and enforceability of the remaining portions of this Agreement shall not be affected, and this Agreement shall be construed as if it did not contain such invalid, illegal, inoperable or unenforceable portion.

Section 20. Successors and Assigns. All covenants and agreements in this Agreement made by the Promisor shall bind its successors, whether so expressed or not. No Promisee may, without the prior written consent of the Promisor, assign any of its rights under this Agreement to any other person. The Promisor may not assign any of its rights or delegate any of its obligations under this Agreement to any other person (other than to any Dissemination Agent appointed hereunder to assist the Promisor), except that the Promisor may assign any of its rights or delegate any of such obligations to any entity (a) into which the Promisor merges, with which the Promisor consolidates or to which the Promisor transfers all or substantially all of its assets or (b) which is an "issuer of municipal securities" with respect to the Bonds or an "obligated person" with respect to the Bonds for whom financial or operating data is presented in the Official Statement, as those terms are defined in the Rule.

Section 21. Immunity of Officers, Directors, Members, Employees and Agents. No recourse shall be had for any claim based upon any obligation in this Agreement against any past, present or future officer, director, member, employee or agent of the Promisor, as such, either directly or through the Promisor, under any rule of law or equity, statute or constitution.

Section 22. Rule. This Agreement is intended to be an agreement or contract in which the Promisor has undertaken to provide that which is required by paragraph (b)(5) of the Rule. If and to the extent this Agreement is not otherwise such an agreement or contract, this Agreement shall be deemed to include such terms not otherwise included herein, and to exclude such terms not otherwise excluded herefrom, as are necessary to cause this Agreement to be such an agreement or contract.

Section 23. Interpretation. The use herein of the singular shall be construed to include the plural, and vice versa, and the use herein of the neuter shall be construed to include the masculine and feminine. Unless otherwise indicated, the words "hereof," "herein," "hereby" and "hereunder," or words of similar import, refer to this Agreement as a whole and not to any particular section, subsection, clause or other portion of this Agreement.

Section 24. Captions. The captions appearing in this Agreement are included herein for convenience of reference only, and shall not be deemed to define, limit or extend the scope or intent of any rights or obligations under this Agreement.

[Signature page follows]

IN WITNESS WHEREOF, the undersigned officers of the City of Bloomington, Indiana, has caused this Agreement to be executed on the date first above written.

CITY OF BLOOMINGTON, INDIANA

By:_____
Mayor

ATTEST:

_____
Controller

# APPENDIX F

# SPECIMEN MUNICIPAL BOND INSURANCE POLICY

# MUNICIPAL BOND INSURANCE POLICY

ISSUER: [NAME OF ISSUER]

Policy No: _____

MEMBER: [NAME OF MEMBER]

BONDS: $_____ in aggregate principal amount of [NAME OF TRANSACTION] [and maturing on]

Effective Date: _____

Risk Premium: $_____
Member Surplus Contribution: $ _____
Total Insurance Payment: $_____

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above (as set forth in the documentation providing for the issuance and securing of the Bonds), for the benefit of the Owners or, at the election of BAM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the first Business Day following the Business Day on which BAM shall have received Notice of Nonpayment, BAM will disburse (but without duplication in the case of duplicate claims for the same Nonpayment) to or for the benefit of each Owner of the Bonds, the face amount of principal of and interest on the Bonds that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by BAM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of such principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in BAM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of the preceding sentence, and BAM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, any of whom may submit an amended Notice of Nonpayment. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond. Payment by BAM either to the Trustee or Paying Agent for the benefit of the Owners, or directly to the Owners, on account of any Nonpayment shall discharge the obligation of BAM under this Policy with respect to said Nonpayment.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as defined herein) are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy as set forth on the attached Schedule or other acceptable electronic delivery, in a form satisfactory to BAM, from and signed by an Owner, the Trustee or the Paying Agent, which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions and (e) the date such claimed amount becomes or became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any other person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

SPECIMEN

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee, the Paying Agent, the Member and the Issuer specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee, the Paying Agent, the Member or the Issuer (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By: _____

Authorized Officer

SPECIMEN

**Notices (Unless Otherwise Specified by BAM)**

Email:
claims@buildamerica.com
Address:
1 World Financial Center, 27th floor
200 Liberty Street
New York, New York 10281
Telecopy:
212-962-1524 (attention: Claims)

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